

Impact analysis of the review of tobacco excise duty rules

Final Report

Volume 1

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ECONOMISTI ASSOCIATI

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Abstract

The main purpose of this study is to contribute to the Commission's Impact Assessment of the revision of Directive 2011/64/EU on the structure and rates of excise duty applied to manufactured tobacco. The study's tasks involved identifying and assessing policy problems and possible options for changes of the current rules and carrying out an impact analysis of such options.

The study included an extensive consultation of relevant stakeholders, i.e.: MS tax, customs, and public health authorities; qualified officers within the Commission and the WHO; economic operators; tobacco control experts; and the general public. In addition, the analysis relied on panel data from various official and market intelligence sources as well as on five case studies covering: cross-border flows, illicit manufacturing and trade, raw tobacco, e-cigarettes and heated tobacco products.

The results of the study show that the Directive would benefit from three main policy interventions, namely: (1) the revision of the current excise duty minima; (2) the introduction of harmonised excise duty categories for new products, such as heated tobacco and e-cigarettes; and (3) the introduction of measures to strengthen the monitoring of raw tobacco flows across the EU and to prevent diversion to illicit channels.

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1. INTRODUCTION

1.1 Nature and content of the Report

➢ **NATURE AND STRUCTURE OF THE REPORT**

This report (the "Report") has been prepared in the framework of the *Impact analysis of the review of tobacco excise duty rules* (the "Assignment" or the "Study"). The Report is submitted to the European Commission Directorate-General for Taxation and Customs Union (DG TAXUD) by a grouping led by *Economisti Associati s.r.l.* ("EA" or "the Consultant").

The Report consists of two volumes. ***Volume 1*** (Main Text) summarises the policy issues addressed and the main results of the impact analysis conducted. ***Volume 2*** (Annexes) provides an extended, more detailed version of the Report, including a detailed description of the methodology used and other supporting materials like the results of stakeholder consultations, thematic case studies, and market updates.

➢ **OVERVIEW OF THE ASSIGNMENT**

The main purpose of the Assignment is to contribute to the Commission's Impact Assessment of the revision of Directive 2011/64/EU on the structure and rates of excise duty applied to manufactured tobacco.[1] More specifically, the objectives of the Study include:

- to construct a ***logic of intervention*** which is based on accurate analysis of existing policy issues and which is consistent with other EU policies on tobacco, and in particular tobacco control policies and the policies against illicit trade of tobacco products (ITTP) and related tax fraud;
- to elaborate ***policy options for changes*** of the current rules which will address the policy issues identified;
- to assess and compare the ***expected impacts*** of different possible options and to review their ***feasibility.***

The Assignment ***builds on the previous external studies*** carried out by the Consultant in 2017 ("EA 2017") and in 2019 ("EA 2019").[2] In particular, the Study expands and updates the previous works in the light of market developments and emerging issues. The outcomes and the methodology developed in previous works have been refined and integrated, where relevant.

1.2 Overview of the policy framework

1.2.1 The Directive 2011/64/EU

➢ **OBJECTIVES AND SCOPE OF THE DIRECTIVE**

Harmonised rules and arrangements for the taxation of manufactured tobacco products in the EU have been in place since the 1970s.[3] The legal framework has been revised and amended several times, i.e. between 1992-95 and 2002-03, and in 2010.[4] In 2011, the Council adopted ***Directive 2011/64/EU*** on the structure and rates of excise duty applied to manufactured tobacco, also known as the Tobacco Excise Directive (hereinafter "the Directive"), which codified the previous legislation in a single act.[5]

[1] 'Council Directive 2011/64/EU of 21 June 2011 on the structure and rates of excise duty applied to manufactured tobacco', Official Journal of the European Union L 176/24, 5.7.2011.
[2] Study on Council Directive 2011/64/EU on the structure and rates of excise duty applied to manufactured tobacco, Final Report (two separate reports).
[3] Council Directive 72/464/EEC, later amended by Directive 1979/32/EEC.
[4] Council Directive 92/79/EEC; Council Directive 92/80/EEC; Council Directive 95/59/EC; Council Directive 2002/10/EC; Council Directive 2003/117/EC, Council Directive 2010/12/EC.
[5] The Directive repealed all previous acts but most of its provisions (and underlying principles) were carried over from earlier versions, particularly the Council Directive 2010/12/EU of 16 February 2010.

The Directive aims to harmonise the excise duty regimes of tobacco products in Member States (MS) to ensure ***proper functioning of the internal market*** and, at the same time, a ***high level of health protection***, in accordance with the EU Treaty and the international treaties of which the EU is a signatory including, in particular, the Framework Convention on Tobacco Control (FCTC) of the World Health Organization (WHO). Regarding internal market functioning, the specific objectives of the Directive include: to support EU market integration and to remove obstacles and barriers to it; to prevent tax-induced distortion of competition; and to ensure freely-formed prices for all types of products in all national markets. Regarding public health protection, the Directive's specific objective is to reduce tobacco products' affordability through taxation, thus deterring consumption and curbing smoking prevalence in the EU.

Although not explicitly mentioned in the current text, the Directive also has the overarching objective of ensuring an ***efficient excise administration*** in connection, inter alia, with the objectives and provisions of the EU general arrangements for excise duty, as noted in the Directive 2008/118 (the "Horizontal Directive").[6] This includes two specific sub-objectives, namely: (1) to prevent and/or mitigate tax losses due to tax fraud, circumvention and abuse of excise product categories; and (2) to ensure the EU legal framework's obligations and requirements are fit for purpose and do not impose unnecessary burdens on competent administrations.

The main provisions to achieve these objectives include the establishment of ***excise duty categories*** for different types of tobacco products – based on ad hoc, harmonised product definitions – and the adoption of EU-level ***minimum rates*** to be applicable in all Member States, as well as harmonised ***excise duty structures*** (details in Annex D).

- **HARMONISED EXCISE PRODUCTS INCLUDED IN THE SCOPE OF THE DIRECTIVE**

The excise product categories currently established by the Directive and their corresponding excise product codes are shown in Table 1.1 below. Harmonisation currently regards only smoking tobacco products, while smokeless products like chewing and nasal tobacco, as well as new tobacco products or 'tobacco-related' substitutes (like electronic cigarettes and nicotine pouches) are not included. Smoking products consisting in whole or in part of substances other than tobacco (e.g. herbal products) are subject to the same regime as tobacco products.

Table 1.1 – Excise product categories for manufactured tobacco products[7]

Excise Products	Excise Product Code
Cigarettes	T 200
Cigars and cigarillos[8]	T 300
Fine-cut tobacco for the rolling of cigarettes	T 400
Other smoking tobacco	T 500

- **PROVISIONS ON EXCISE DUTY RATES AND STRUCTURE**

Harmonised ***excise duty structures*** can be 'ad valorem'[9] or 'specific'[10]. Related harmonised ***minimum excise duty levels*** can be expressed as minimum monetary amounts ('fixed minimum') and/or as minimum excise incidence on the retail price of harmonised products ('relative minimum'). The currently applicable minima are reported in Table 1.2 below, a full review of the provisions regarding excise duty structures and rates is provided in Annex D.

[6] Council Directive 2008/118/EC concerning the general arrangements for excise duty and repealing Directive 92/12/EEC. Directive 2008/118 has been recast under Council Directive (EU) 2020/262 outlining the general arrangements for excise duty. The new Directive will enter into force in 2023.
[7] Source: DG TAXUD – System for Exchange of Excise Data (SEED). The definition of relevant products used for excise categorisation do not always coincide with those used in other relevant frameworks, namely the customs classification (the Combined Nomenclature) and the Tobacco Product Directive (TPD). A synoptic table is provided in Annex D which shows the various correspondences and discrepancies between the different classification systems.
[8] Cigarillos are defined in Article 8(1) of Council Directive 2007/74/EC as "cigars of a maximum weight of 3 grams each".
[9] Excise duties calculated as a percentage of the (maximum) tax-included retail selling price of a product.
[10] Excise duties calculated as a fixed monetary amount per volume of product, expressed 'per weight' (per kg) or 'per unit' (per 1,000 sticks).

Table 1.2 – Excise duty minima currently in force for different product categories

Product category	Fixed minimum condition	Relative minimum condition	Notes
Cigarettes	EUR 90 per 1,000 cigarettes (irrespective of the WAP)	60% of the WAP or EUR 115 per 1,000 cigarettes at WAP level (so-called 'escape clause')	Cumulative conditions
Cigars and cigarillos	EUR 12 per 1,000 items or per kg	5% of the retail selling price (irrespective of the WAP)	Alternative conditions
Fine-cut tobacco	EUR 60 per kg	50% of WAP	Alternative conditions
Other smoking tobacco*	EUR 22 per kg	20% of the retail selling price (irrespective of the WAP)	Alternative conditions

Legend: *WAP=weighted average retail selling price.* ***Note:*** *(*) Various Member States do not distinguish between fine-cut tobacco and other smoking tobacco. In that case, fine-cut minima conditions prevail.*

- **PREVIOUS EVALUATIONS AND THE WAY FORWARD**

Since 2011, the Directive has undergone two evaluations, the milestones of which are summarised in the Annex D.1. In 2020, the Commission published a ***Staff Working Document*** ("SWD 2020") providing its own comprehensive evaluation and highlighting the need to enhance synergies with tobacco control policies and the fight against illicit trade.[11] The ensuing June 2020 ***Council Conclusions*** recognised that the Directive provisions had partly lost their effectiveness and that there was a need to update them along the lines set out in the Commission's document.[12] In December 2020, the Commission published an ***Inception Impact Assessment***, spelling out initial views on the existing policy problems and the possible solutions.[13]

1.2.2 Other relevant policies

The Directive is connected to other relevant policy frameworks, notably: (1) the EU general excise duty arrangements; (2) the EU public health and tobacco control policies; and (3) the EU policy to fight against illicit trade in tobacco products (ITTP). A brief review of these frameworks' salient features, with special emphasis on recent developments, is provided in Table 1.3 below.

Table 1.3 – Overview of other relevant policy frameworks

Policy references	Key features
General excise duty arrangements	
• Directive 2008/118/EC (Horizontal Directive), recast under Directive 2020/262 • Decision (EU) 2020/263 on computerising the movement and surveillance of excise goods (recast)	• The Horizontal Directive establishes harmonised concepts and definitions for a common understanding of the EU legal and administrative excise duty framework. It sets out rules for the ***production, processing, holding and movement of excise goods***, and related responsibilities. • The Horizontal Directive prescribes the use of the ***Excise Movements and Control System (EMCS)*** for the administration and control of the intra-EU movement of excise goods. • The recast Directive (which will enter into force in 2023) introduced and consolidated some amendments, such as: ○ the B2B cross-border ***movement of duty-paid products;*** ○ closer ***integration o***f ***excise and customs*** procedures, and review of the external transit procedure under duty suspension for excise goods leaving the EU; and ○ rules on partial ***transportation losses***. • The revision of ***Article 32*** of the Horizontal Directive is currently underway. Art. 32 pertains to the cross-border acquisition of excise goods by private individuals for their own use. These are subject to the excise duties of the country in which goods were acquired rather than where they were consumed. The revision may address the concept of ***'own use of a private individual'*** and of the minimum ***guide levels*** (i.e. quantitative amounts that national authorities can refer to when determining if the goods

[11] SWD(2020) 32 final, Commission Staff Working Document – Evaluation of the Council Directive 2011/64/EU of 21 June 2011 on the structure and rates of excise duty applied to manufactured tobacco.
[12] Council conclusions concerning the structure and rates of excise duty applied to manufactured tobacco, June 2020.
[13] The Commission's Inception Impact Assessment is available at the following webpage: https://ec.europa.eu/info/law/better-regulation/have-your-say/initiatives/12645-Tobacco-taxation-excise-duties-for-manufactured-tobacco-products-updated-rules-_en

Policy references	Key features
	transported by a private individual comply with the principle of an individual's own use). The reform aims to address the risk of abuse of importing products ostensibly for 'own use' from MS with low excise levels.
Tobacco control policy	
• Directive 2014/40, - Tobacco Products Directive ("TPD") • Europe's Beating Cancer Plan[14] • Framework Convention on Tobacco Control (FCTC)[15]	• The TPD is the mainstay of EU legislation on tobacco control. It establishes provisions concerning the ***manufacture, presentation and sale of tobacco and substitute products,*** with an eye to ensuring a minimum, homogeneous level of consumer protection across the EU. • Among other things (see the Annex D.1), the TPD has recently set up the ***systems of traceability and security features*** for tobacco products, which allow authorities to track and trace the movement of tobacco products to curb illegal flows. • Approved recently, Europe's Beating Cancer Plan calls for achieving a tobacco-free Europe in response to tobacco causing an estimated 27% of all current cancers. Targets include: (1) reaching a '***Tobacco-Free Generation'*** where less than 5% of the population uses tobacco by 2040, compared to around 25% today; and (2) in the shorter term, by 2025, to reduce ***smoking prevalence by around 20%*** compared to 2010 levels. • At the international level, the EU is engaged in a global effort to reduce the consumption of tobacco in the context of the WHO-promoted ***Framework Convention on Tobacco Control (FCTC)***.
Fight against illicit trade of tobacco products	
• Strategy to step up the fight against the illicit tobacco trade and related Action Plan[16]	• The Action Plan to implement the Commission's strategy to fight ITTP involves various intervention areas, such as: (1) strengthening enforcement authorities and ***inter-agency cooperation*** (OLAF, EUROPOL, FRONTEX, technical assistance facilities such as the *Hercule III* programme, etc.); (2) specific ***law enforcement and intelligence actions*** (OLAF seizure operations, Joint Customs Operations, anti-fraud agreements with manufacturers, customs laboratories support, data gathering, etc.); and (3) ***enhanced cooperation*** with main source and transit countries. • According to the May 2017 Report on the implementation of the ITTP Strategy, the measures taken in the first 4-year period had limited impact. The new Action Plan (2018-2022) places a reinforced emphasis on the following aspects: ○ cooperation with ITTP source and transit countries, including in the context of the ***FCTC Protocol on illicit trade***; ○ addressing the ***supply of precursors*** for the illicit manufacturing (i.e. raw tobacco, cigarette filters, equipment, machinery, etc.); ○ raising ***consumer awareness*** through communication actions; ○ enhancing ***intelligence and data analysis***. • A review of ***ITTP estimation methodologies*** has been recently carried out by RAND Europe in the framework of a study commissioned by OLAF.[17]

1.3 Methodology and tools

➢ **STAKEHOLDER CONSULTATION**

The Study involved an extensive ***consultation of relevant stakeholders***, including MS tax, customs, and public health authorities; qualified officers within the Commission and the WHO; economic operators and their organisations; tobacco control experts; and the general public. More specifically, four main consultation activities were carried out, namely:[18]

[14] COM(2021) 44 final, Europe's Beating Cancer Plan, Brussels, 3.2.2021
[15] See: http://www.who.int/fctc/en/
[16] COM(2013) 324 final. The first Action Plan was adopted in 2013 along with the overall strategy (SWD(2013) 193 final of 6 June 2013). After the implementation review carried out in 2017 (COM(2017) 235 final), a second, revised Action Plan was adopted to cover the period 2018-22 (COM(2018) 846 final). Before the adoption of the Strategy in 2013, an Action Plan was in place to fight the smuggling of cigarettes and alcohol along the EU Eastern border (SEC(2011) 791 final of 24 June 2011).
[17] RAND Europe, "Study to identify an approach to measure the illicit market for tobacco products. Final report", for the European Commission, April 2020.
[18] See Annex A for details on the methodology and full results.

- an ***open public consultation*** (OPC, 7,262 total replies);
- a ***targeted consultation*** of MS tax and customs authorities (25 MS involved),
- a ***targeted consultation*** of MS public health authorities (18 MS involved); and
- ***in-depth interviews*** with 97 stakeholders, at the EU and MS level.

➢ **DESK RESEARCH**

The impact analysis relied on panel data from various sources compiled in a comprehensive database. The collected data can be structured into nine main groups (Table 1.4 below).

Table 1.4 – Review of data sources utilised in the Study

Data	Main sources
Excise duty rates and structures	Mainly collected from DG TAXUD,[19] and complemented by information on tax regimes applied to non-harmonised products provided directly by MS authorities.
Tax revenues	Also collected by DG TAXUD and complemented by MS authorities.
Market size data	Main sources: (1) Release for Consumption (RfC) data collected by the Commission; (2) production data from the EU traceability system; and (3) third-party data, i.e. Euromonitor International, Tobacco, 2021[20] and EcigIntelligence, for gap filling and triangulation.
Price data	Also based on a variety of sources: (1) DG TAXUD MS survey for certain harmonised products; and (2) third-party data.
Unrecorded tobacco consumption	Based on triangulation of sources (since there are no official data available), including: (1) seizure data provided by the Commission and MS; (2) consumer survey data, i.e. Eurobarometer and national surveys; and (3) third-party modelled estimates, i.e. Euromonitor International and KPMG.
Raw tobacco	Based on MS information collected by DG AGRI, as well as by Eurostat (Prodcom, Comext) and FAO, complemented by MS sources and industry data.
Consumption data	Eurobarometer, Eurostat, WHO and MS authorities' statistics, complemented by market intelligence sources, i.e. Euromonitor International and EcigIntelligence.
Public health impact data	Eurobarometer data, MS statistical estimates of the smoking-related burden of disease from the EU Death from Smoking Project and the Global Burden of Disease Study (various years including the recently released 2019 data).
Other economic and statistics	Various Eurostat-sourced indicators and data on sociodemographic trends, MS macroeconomic variables, purchasing power parities, etc.

In addition to data sources, the desk work involved a substantial ***review of literature and documentary sources*** (see the Annex A.1), including EU- and MS-level policy documents, market and sectoral analyses, and scientific literature on tobacco economics and tobacco control policies.

➢ **CASE STUDIES**

Finally, the Assignment involved the implementation of five 'case studies' on specific thematic aspects. The purpose of the case studies was primarily to collect concrete evidence on the ***national measures in place*** and assess their effectiveness and efficiency, in order to draw useful lessons for the design of the EU policy. This approach aims to provide more depth and perspective to the numerical analysis of impacts and, at the same time, to permit benchmarking and comparison between different approaches and courses of action. Each case study covered between 4 and 6 MS, as illustrated in Table 1.5.

Table 1.5 – MS covered by case studies

Cross-border flows	Illicit manufacturing and trade	Raw tobacco	Heated tobacco products	Electronic cigarettes
FR, IE, SE, DK, FI, BG	FR, IE, BG, PL, CZ, HR	IT, PL, CZ, HR, BG, SE	IT, PL, FR, PT	HR, PL, SE, PT

[19] Primarily in the framework of the Commission Implementing Decision of 28 July 2011, concerning statistical data to be provided by the MS pursuant to Directives 92/79/EEC and 92/80/EEC.
[20] The following disclaimer applies to Euromonitor International's data: "While every attempt has been made to ensure accuracy and reliability, Euromonitor International cannot be held responsible for omissions or errors of historic figures or analyses

2. PROBLEM ANALYSIS AND OBJECTIVES OF THE INTERVENTION

2.1 Overview of policy issues

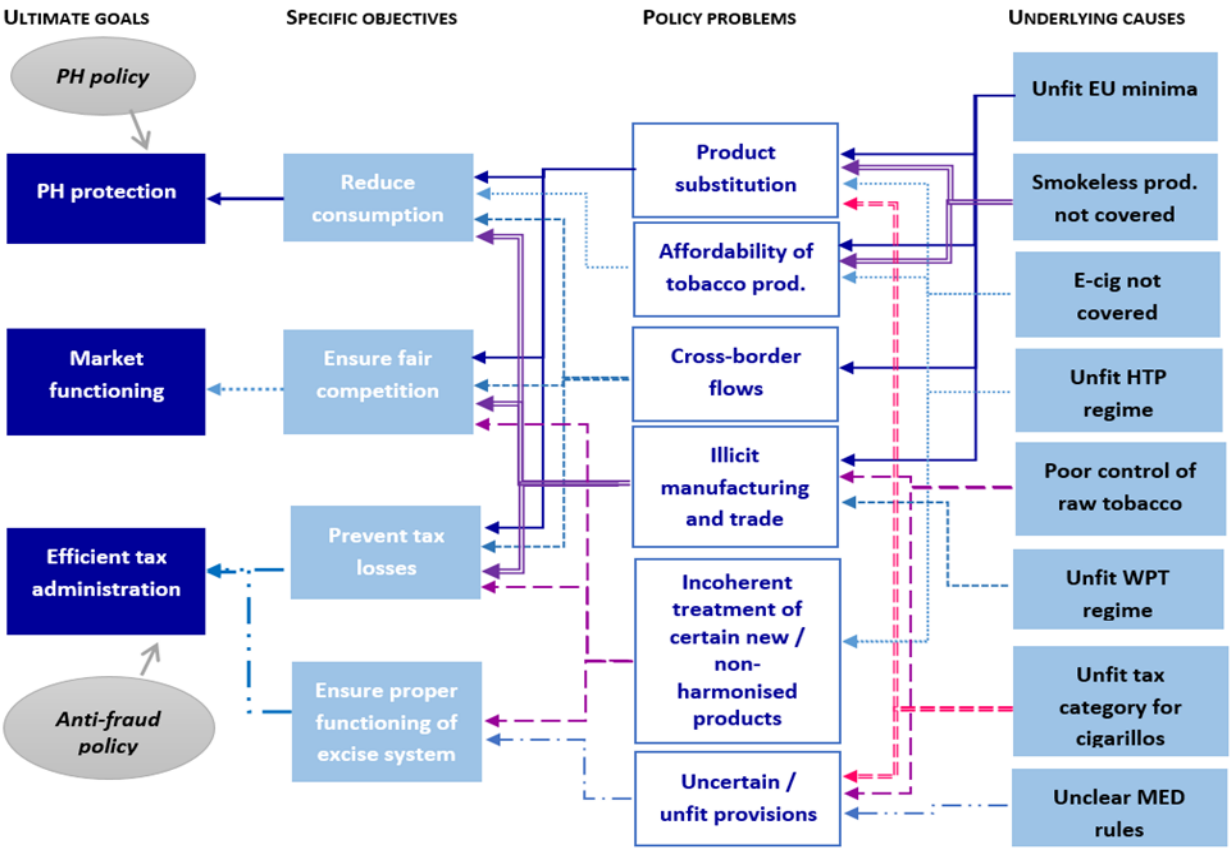
The results of the EA 2019 retrospective evaluation and the subsequent Commission Staff Working Document ("SWD 2020") showed that achievement of certain Directive objectives has been - and still is - constrained or jeopardised by a variety of issues. This Section provides a summary of the most relevant ones, combining the results of previous evaluations with ad hoc assessment carried out for this Assignment. A more detailed analysis is provided in Annexes D.2 and E (case studies).

For a general overview of the issues examined in this Report, a 'problem tree' diagram is provided in Figure 2.1 below. The diagram illustrates essential connections among four elements, namely:

- the ***ultimate goals*** of the Directive and related EU policies;
- the ***specific objectives*** that are the target of the policy measures laid down in the Directive;
- the ***policy problems*** which interfere with the policy objectives thus affecting the achievement of the ultimate objectives; and
- the ***underlying causes*** of the policy problems, which are the concrete aspects that the review of the Directive is meant to address.

As the diagram shows, interrelations among elements in the problem tree are seldom linear. In many cases, multiple causes are behind a single problem (e.g. product substitution can be caused by both unfit minima and availability of non-taxed products) and, similarly, single items can have different types of effects (e.g. tax-induced product substitution undermines tobacco control efforts, affects MS tax revenues and can generate competition distortions).

Figure 2.1 – Problem tree



2.2 Specific problems analysis

2.2.1 Product substitution

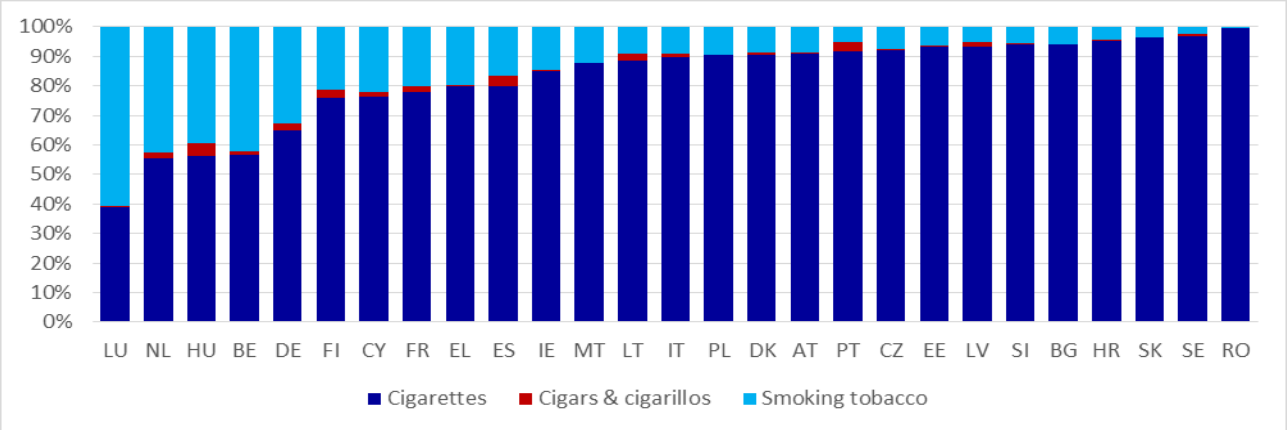
➢ **SUBSTITUTION BETWEEN HARMONISED PRODUCTS**

Tobacco consumption patterns vary across MS. Cigarettes are by far the most consumed item, but other products, especially fine-cut tobacco (FCT), have gained substantial market shares in some MS (see Figure 2.2). One of the specific objectives of the Directive is to contribute to bridging the 'tax gap' between cigarettes and FCT in order to prevent and mitigate ***tax-induced substitution***. The rationale is both to avoid competitive distortions and contribute to public health protection, considering the equally harmful characteristics of the two products.

Similar provisions for other tobacco products, like cigars, cigarillos and other smoking tobacco, are not explicitly detailed in the Directive. This can be explained by the marginality of these markets[21] - when compared to cigarettes and FCT - and the weaker substitutability when the Directive was adopted (FCT is specifically intended for rolling cigarettes). As a result of increased taxation of cigarettes and FCT in subsequent years, there have been cases of 'borderline' products being commercialised as substitutes for cigarettes such as 'eco-cigarillos', 'party cigars', etc. These loopholes were then closed but future tax increases on cigarettes and FCT can still incentivise the ***development of new 'borderline' products*** and/or ***encourage consumers to down-trade*** to less expensive products available on the market. Similar patterns have already been registered in some MS during COVID-19-related confinements, when cheaper non-domestic products were not available.[22] For this reason, addressing the risk of tax-induced product substitution should remain a key priority for the Directive.

Results from the survey of MS authorities support this finding. Nearly half of tax authorities have registered an increase in the substitution between cigarettes and FCT in the past three years. In the remaining MS, the relative market share of these products has remained stable and only one country reported a decline. In the case of cigarillos, substitution trends have accelerated in a smaller number of countries (4 out of 20 MS) with none reporting a decline. For the majority of public health authorities, substitution with FCT or cigarillos is rather stable and is no longer a top priority from the tobacco control perspective, when compared to other policy issues such as substitution with new products.

Figure 2.2 – Market share of tobacco products, by country (2019)



Source: *DG TAXUD release for consumption data, with integrations from Euromonitor International, where needed.*
Note: *For comparability, smoking tobacco has been converted into units applying a conversion rate of 0.75g=1 stick. Release-for-consumption data do not necessarily correspond to actual consumption, due to cross-border flows and unrecorded product consumption.*

One of the main causes of product substitution is the fact that ***EU minima have lost their effectiveness*** over time. Two analytical dimensions are relevant in this regard:

[21] The demand for FCT had been on a steep rise until 2012, due to low price levels in most MS. Conversely, the demand for other tobacco products remained very modest over time compared to cigarettes and FCT (altogether, cigars, cigarillos and other smoking tobacco accounted for only 3.5% of the expenditure on smoking tobacco in the EU).
[22] In DE, FR, ES and HU, in particular.

1) the level of EU minima for tobacco products other than cigarettes, vis-à-vis the actual excise duty rates currently applied in MS. As described in Annex D, the current excise duty levels applied in MS are generally much higher than the EU minima.
2) the differential in tax levels for different tobacco product categories. Notable differences are registered across MS (see the Annex D.2 for a review). Both the excise duty band and the ranking of different products within it vary greatly. In particular, in some MS (SK, RO, HR and PL) the excise band is rather compressed, with small differences between the least and the most taxed products. Conversely, in countries like IE, NL, MT and DE, the band is scattered, offering – in theory – more opportunities for tax-induced substitution.

➢ **SUBSTITUTION DRIVEN BY NON-HARMONISED PRODUCTS**

The second main cause of tax-induced substitution across products does not regard minimum rates but the sheer excisability of certain products. At present, three categories of ***potential substitutes are not explicitly included*** in the scope of the Directive, which means that there is no clear obligation for the MS to tax them, namely:

- ***Heated tobacco products (HTP)*** have been developed and marketed as substitutes for cigarettes. However, MS have different views as regards their current excisability: some consider them to be part of 'other smoking tobacco' and tax them accordingly, while others do not consider them to be a harmonised product and have set up ad hoc consumption taxes. According to the majority (eight out of ten) of the MS authorities, the substitution between cigarettes and HTP has increased in the past three years.
- ***E-cigarettes*** can also be considered (at least from a purely fiscal perspective) as a substitute for conventional products, as also confirmed by the results of various surveys (including Eurobarometer).[23] The current generation of e-cigarettes appeared on the market after the adoption of the Directive and are therefore not subject to harmonised rules. Therefore, various MS have established national ad hoc tax regimes to fill this gap and offset the tax revenue losses caused by the substitution of cigarettes. Around six out of ten MS authorities reported a moderate increase in the substitution of conventional cigarettes with electronic cigarettes in the 2018-20 period.
- ***Other non-harmonised products*** have become increasingly available across the EU, especially after a new generation of oral tobacco and tobacco-free products containing nicotine has appeared on the market. The sale of snus-type products for oral use is forbidden in most MS. Only nasal and chewing tobacco products are allowed, although often difficult to distinguish from snus.[24] The new generation of oral products is free for sale as they either belong to these approved categories or – as in the case of tobacco-free 'nicotine pouches' – are not even covered by the TPD. Some MS have addressed this gap by establishing national taxes on these products, but the lack of a harmonised EU regime for these products may trigger new opportunities for tax-induced substitution.

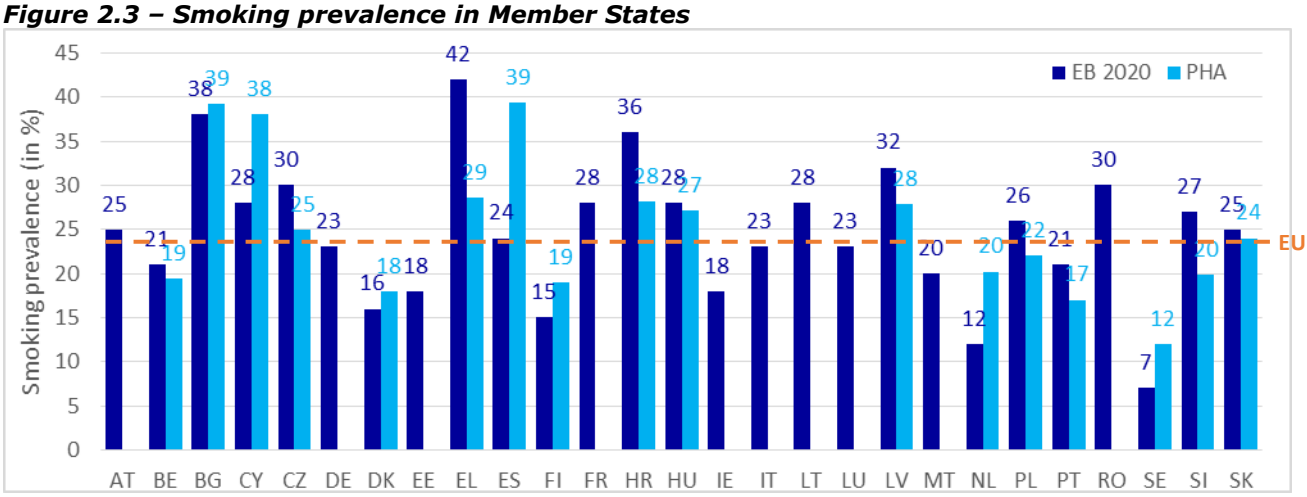
2.2.2 Affordability of tobacco products

➢ **SMOKING PREVALENCE TRENDS AND ISSUES**

Smoking prevalence in EU27 has declined from 28.1% to 24.5% between 2012 and 2020,[25] which reflects the fact that the number of regular smokers has reduced from roughly 101 million to 92 million. However, substantial differences remain among countries and population groups. In some MS (e.g. EL, BG and HR) smokers still represent more than 35% of the population, while in others (e.g. FI, NL, and SE) prevalence has fallen below 15% (see Figure 2.3). Furthermore, while prevalence has declined in most MS, in a few cases it has remained stable or has even increased, a more detailed assessment of which is provided in Annex D.

[23] As discussed more extensively in Annex F, the concept of 'substitution' applied to e-cigarettes requires a word of caution. As some public health experts correctly noted, switching from cigarettes to electronic cigarettes can be motivated by various reasons among which price differences play a minor role. In the Study, we considered substitution from the perspective of fiscal neutrality, thus in more extensive terms than how it is normally used in market analysis.
[24] A waiver has been extended to Sweden regarding the marketing of 'snus' (which is a kind of moist snuff).
[25] Source: Eurobarometer. Figures for 2020 are drawn from the draft Special Eurobarometer 506.

Figure 2.3 – Smoking prevalence in Member States



Source: *EB 2020=Eurobarometer 506; PHA=Public health authorities survey (based on various national research studies).*

Note: *PHA data refer to various years (from 2018 to 2020). Figures refer to all smokers, both daily and occasional. The estimates collected from MS authorities are not always comparable with EB, due to differences in: (1) the population of reference; (2) the population sample size, which was generally much greater in the case of national surveys; (3) the products considered, as some national surveys include vaping and/or smokeless tobacco consumption; and (4) frequency, with survey questions formulated differently.*

The majority of public health authorities surveyed (six out of ten) confirm a ***high or moderate reduction in smoking prevalence***, but in various other countries, the decline was limited. Smoking reduction trends have been slightly more marked among young people than in the overall population. Conversely, MS public health authorities reported limited achievements with curbing smoking prevalence among women.

In this context, and based on the results reported by the Commission in SWD 2020, the 2020 Council Conclusions reiterate the need to strengthen policy coherence, in particular given the newly released ***Europe's Beating Cancer Plan***, which remarks that tobacco consumption remains one of the greatest preventable health risks. As discussed in Section 1.2.2, the Plan aims to create a 'tobacco-free generation' by 2040, reducing prevalence to less than 5% in 20 years. In the shorter run, a reduction of smoking prevalence to less than 20% by 2025 is also envisaged. The effects of the COVID-19 pandemic on this target are still unclear and subject to debate.[26]

- **AFFORDABILITY AND THE ROLE OF EU EXCISE DUTY MINIMA**

As scientific literature shows, the causal link between taxation and smoking cessation patterns is far from linear. Many policy measures can reduce demand, namely: product regulation, smoke-free environment policies, tobacco advertising bans, health warnings and labelling, smoking cessation support, mass media campaigns, etc. Still, there is overwhelming consensus in the public health community and among stakeholders that taxation is the single most effective measure to curb tobacco consumption. The analysis of the (scant) quantitative literature on the subject suggests that ***between one-third and a half of the smoking prevalence decline might be roughly attributed to the impact of taxation policies***.[27] It is generally observed that, in reality, tobacco control policies and tobacco taxation tend to operate in synergy, and the credibility and effectiveness of the former is greatly enhanced by consistency with the latter, in that taxation delivers an overall 'price signal' to society that smoking is indeed harmful for consumers and should be discouraged by all possible means. So, the relationship between the two is not substitutive but rather complementary in fostering greater reduction in smoking prevalence than each element would have achieved alone.

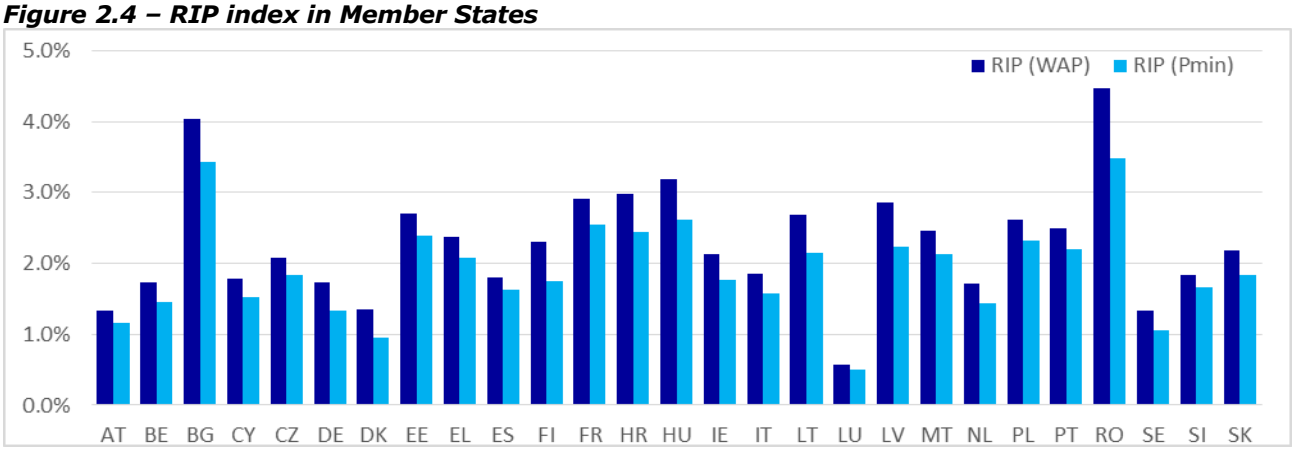
[26] The debate was triggered by TTC releasing market information on the positive but temporary turnover perspectives opened by the pandemic in the European market. There is also scattered evidence that smoking intensity may have increased in a number of countries and some quitters went back to their early habit during confinement periods. However, an increase in the number of those who declared themselves willing to quit was also registered.

[27] See, among others, the EU-funded SimSmoke project as well as the Tobacco Control Scale (Joossens L., Raw M). According to the results of the EA 2019 econometric analysis, some 40% of the smoking prevalence reduction registered in the 2010-2018 period could be attributed to fiscal policies.

The standard indicator used in scientific literature to measure the affordability of cigarettes is represented by the ***relative income price*** (RIP), i.e. the percentage of per capita gross domestic product (GDP) (as a proxy for disposable income) required to buy 100 packs of cigarettes.[28] An increase in the RIP value roughly indicates that cigarettes have become less affordable and vice versa.[29] Figure 2.4 below provides the current RIP levels in MS with reference to both the weighted average price (WAP) of cigarettes registered in 2020 and the lowest price category available on the market (P_{min}). As shown, affordability levels vary greatly across MS: the highest RIP levels (hence lowest affordability levels) can be found in countries with comparatively lower income, such as RO and BG, but also FR. Conversely, cigarettes are most affordable in LU, DK, SE and AT.

The affordability of cigarettes decreased until 2014, then substantially stalled until 2019, and registered a decrease again in 2020, due to a generalised lower GDP per capita, as a consequence of the COVID-19 crisis (see the Annex D.2 for a detailed review). In practice, since 2014, cigarette price increases hardly compensate for income growth. In other words, the price of cigarettes in real terms has not increased in MS (although trends varied across MS).

Figure 2.4 – RIP index in Member States



Source: *DG TAXUD (Price data), with integration from TCA survey; Eurostat (GDP per capita data)*
Notes: *The RIP index is calculated by dividing the price of 100 packs of cigarettes (WAP or lowest price – P_{min}) by the GDP per capita (as a proxy of average income): the higher the index, the lower the affordability.*

The slow-down in real price levels registered in the past few years can be attributed partly to the fact that the ***EU minima laid down in the Directive have become largely irrelevant,*** because the current excise levels in MS are generally much higher than the EU minima. Regarding cigarettes:

- In all MS, the current excise duty yield at WAP level is above the prescribed EUR 90 per 1,000 sticks applicable to all cigarettes.
- In the majority of MS (18 countries), the current excise duty level is also higher than the escape clause (EUR 115), so the relative minimum (60% of WAP) is not applicable.

Additionally, the current Directive approach to minima presents major limitations as to public health protection objectives. The main limitation is that ***EU minima do not actually address affordability,*** as they are expressed in nominal terms and do not consider the disparities of income or purchasing power that exist between MS. For instance, in nominal terms cigarettes in

[28] See: Blecher EH, van Walbeek CP, "An international analysis of cigarette affordability", Tobacco Control 2004; 13:339-346. The GDP per capita is an imperfect proxy of consumer's income. Other metrics can be developed reflecting more accurately the disposable income and, therefore, the actual affordability. The current RIP formulation has the advantage of being immediately available for virtually all countries in the world, thus allowing WHO to conduct comparisons at the international level. In the EU, a more precise index could be elaborated starting from Eurostat's disposable income indicator, which is, however, expressed in purchasing power terms and, therefore, has to be translated in nominal terms to make it coherent with the numerator of the RIP formula, i.e. price levels (or prices have to be translated in PPP terms). As alternative metrics for the calculation of an EU-specific RIP needs are not readily available, in this Study we used provisionally the RIP standard formulation, based on GDP per capita, as it nonetheless provides a sufficiently accurate picture of the affordability situation in MS.

[29] Cross-country comparisons of cigarette affordability based on simple RIP values would nevertheless require some words of caution since there can be significant inequalities in income distribution and/or in the consumption patterns among different socioeconomic groups between countries that can eventually distort the results.

BG and RO are among the cheapest in the EU, but the RIP index in these countries is the highest (see Figure 2.4). Conversely, price and tax levels in DK and SE are among the highest in the EU, but in terms of RIP, cigarettes are more affordable there than in most EU countries. This has practical implications for policy design, which will be discussed in Section 3.1.

Finally, brief mention of the affordability problem is due. It is not limited to the price levels of regular products, because consumption is partly made of products purchased in other countries or on the black market. ***Unrecorded tobacco products*** can limit the effectiveness of fiscal policies, as they offer cheaper alternatives to smokers.

2.2.3 Cross-border flows

- **OVERVIEW OF THE POLICY PROBLEM AND ITS MAGNITUDE**

One of the main objectives of minimum rates provisions outlined in the Directive was to ***encourage convergence in excise duty rates applied by MS*** in order to reduce disparities in price levels. The existence of significant price differences is a major driver of 'cross-border shopping', i.e. the activity wherein private individuals buy goods abroad because of lower taxes and bring them home for their consumption. The general excise duty arrangements regulating cross-border acquisition of tobacco products by private individuals (Article 32 of the Horizontal Directive) establish that, when excise goods are acquired and moved across MS by private individuals for their own use, these goods are subject to the excise duties of the country of purchase and not the country of consumption. To prevent abuse, MS may establish conventional rules to quantify the extent of the individual's personal-use principle, including setting 'guide levels' of allowed goods, which cannot be lower than 800 cigarettes, 400 cigarillos, 200 cigars and 1 kg of smoking tobacco.

In practice, ***large differences in price levels between MS can create incentives for cross-border flows*** going beyond the limits and/or the intended purpose of Art. 32. As the results of the EA 2019 econometric analysis confirmed, the extent of these flows is statistically correlated with the price differentials between countries. The limited risk of being checked while travelling within the EU, combined with the modest penalties envisaged in case of irregularities, can further fuel abuse of the EU rules. Overall, cross-border flows can be associated with: (1) an overstretching of the concept of 'own use of a private individual' (i.e. purchases for family members, friends, etc.); (2) ant-smuggling, also referred to as 'bootlegging' – (i.e. continuous, frequent shopping trips, including multiple trips per day or week, involving the purchase of small, legitimate quantities of tobacco, for re-selling at a profit); and (3) organised smuggling activity, especially when it involves buying cigarettes in low-price markets to resell them in high-price markets that are not geographically close.

The ***adverse effects of cross-border flows*** are manifold. They can undermine tobacco control objectives, as they make it possible for consumers to procure cheaper products in neighbouring countries. This also affects excise duty revenues, with the MS of origin registering an increase in their revenues at the expense of the MS of destination. They can also distort competition and market functioning at the country level, due to 'cross-border substitution'.[30] The severity of these adverse effects varies greatly across MS. Only a minority of countries reported an increase in the magnitude of these flows over the past three years, while most of them reported no change.

Accurate estimates of the extent of cross-border flows are not available and very difficult to produce, due inter alia to the scarcity of border controls. Even more difficult is to assess what share of cross-border flows can be attributed to irregular and/or abusive movements. Nonetheless, triangulation can highlight hotspots where the magnitude of cross-border flows seems substantial (details in Annex E.1). In particular:

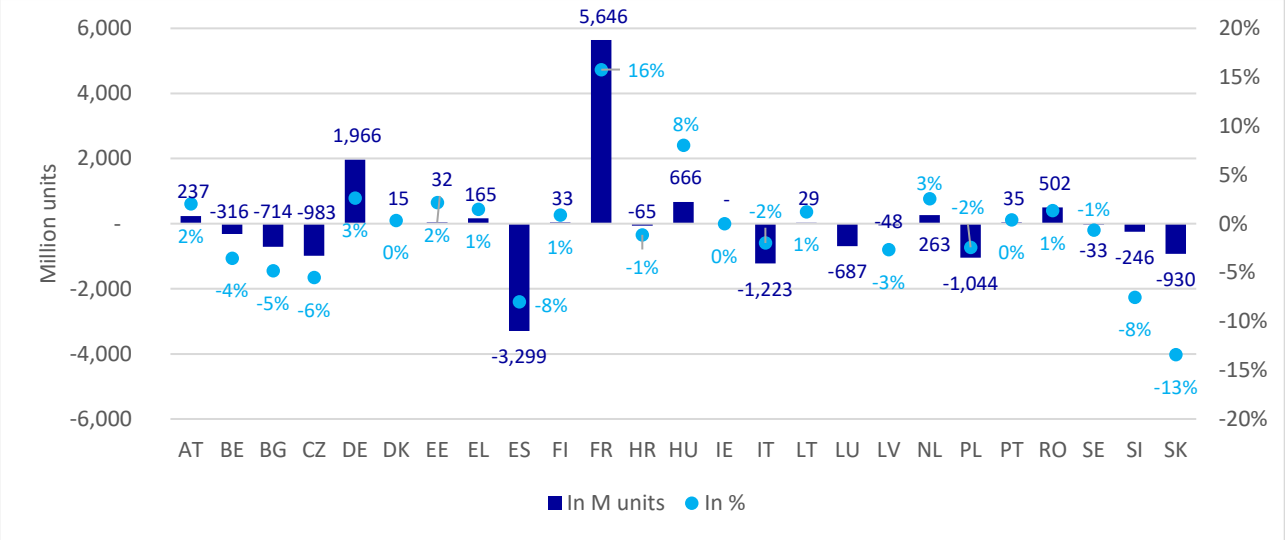
- Econometric models have been applied to the ***Commission's traceability system*** data, to test the possibility of extrapolating estimates. The quality of reporting in the system is still often not ideal, but results proved sufficiently robust to allow for making preliminary

[30] In the past, some cases were registered (and sanctioned) involving manufacturers' practice of oversupplying one market, with the surreptitious aim of reaching a neighbouring market.

estimates. Full specifications of the models used are provided in Annex A. In summary, variation in the demand for cigarettes at the NUTS3 level was estimated in relation to price levels in neighbouring regions abroad and a set of other control variables. Overall results are reported in Figure 2.5 below. Total net cross-border flows among neighbouring regions would amount to some ***11.1 billion units***.[31]

- The KMPG's Project Stella (formerly 'Sun' and 'Star') collects and elaborates on estimates based on empty pack survey data collected by different contractors in all MS (a review of the methodology is provided in Annex E.2). It has the advantage of being relatively stable over time (as the time series starts in 2008). On the other hand, as it is an industry-sponsored exercise, there is an inherent risk of bias. According to KPMG, cross-border flows have increased steadily since 2011 (except in 2015-17) both in absolute terms and as a percentage of total consumption. In 2019, the consumption of non-domestic cigarettes in EU27 was estimated to exceed 31 billion pieces, i.e. around 6.8% of total consumption. The aggregated ***foregone tax revenues*** would amount therefore to ***approximately EUR 1.0 billion***.
- Finally, COVID-19-related restrictions that occurred in 2020 let further evidence emerge on the magnitude of cross-border flows. During confinements, consumers have had limited access to non-domestic legal products and as such, increases in the sales of domestic products have been registered, e.g. in certain border regions of FR, DE and various other countries. MS tax authorities largely confirmed this effect: only a tiny minority of countries did not register fluctuations in the demand for domestic products during confinements.

Figure 2.5 – Estimated net cross-border flows by MS, based on Commission traceability system



Note: *The traceability system baseline figures on cigarettes distributed at the retail level have been re-proportioned to the total releases for consumption (RfC). The units represent the total net flows (inflow + outflows). Outflows are indicated with the negative sign.*

Box 2.1 – Overview of the quantitative analysis of cross-border flows through the EU traceability system data

The **EU traceability system** put in place by the Commission allows to collect geolocalised data on cigarette packs delivered across all EU. The system is fully in force since mid-2020, and for this study, we had access to delivery data for two quarters, Q4 2020 and Q1 2021. The extent of implementation varies across MS. In some countries the system covers more than 70% of cigarettes deliveries (e.g. 12 countries) while in others implementation is still lagging behind.

[31] This estimate cannot be compared to the KPMG estimates because (1) it refers to net flows (outflows minus inflows); (2) it is based on flows involving bordering regions belonging to different MS; and more importantly, (3) it refers to a period (Q4 2020 and Q1 2021) where COVID-19-related restrictions have likely reduced cross-border flows substantially.

We have gathered delivery data aggregated by EU regions (NUTS3 level)[32,33] and other relevant territorial statistics, and we have applied the appropriate statistical controls to cope with the under-reporting issues affecting some MS (see Annex A for details). We have run several regression models using these data to investigate the **correlation between price difference across neighbouring regions (belonging to different countries) and the magnitude of cross-border flows**. In particular, the regional domestic consumption (approximated by cigarette packs deliveries) has been assessed in relation to the weighted average price in neighbouring regions, population, GDP per capita, population age, infrastructures (cities, airports, and roads), and country-specific unobserved factors. Different regressions were tested involving either all regions (1,100 units) or a subsample excluding those where the traceability system coverage was below 70% (226).

Overall, the results indicate that a statistically robust correlation exists between cigarettes deliveries in MS border regions and price levels in foreign neighbouring regions. More specifically, a 1% increase in the price of cigarettes in neighbouring regions is roughly associated with an increased demand of domestic cigarettes **of approximately 1.11%.** The statistical significance is 99%, and the standard error is 0.25. Assuming the demand as stable, the impact on domestic sales is paralleled with an equivalent but inverse impact on cross-border shopping. In this sense, the model allowed to formulate estimates on the extent of cross-border flows by simply testing the effects on domestic sales from a hypothetical complete levelling of prices between regions.

The model turned out robust and scalable. However, the results of its application to the estimation of cross-border flows (see Annexes E.1 and F.3) possibly underestimate the magnitude of the issue in normal times, for three main reasons:

1) The period covered by traceability system data (4Q 2020 – 1Q 2021) largely coincides with COVID-19-related restriction of movement in several MS. Country-level investigations (see Annex E.1) reported substantial anomalies in the domestic deliveries registered in bordering regions, especially in countries highly affected by cross-border shopping. In this sense, the analysis should be run again with data related to periods with no travelling restrictions in place, in order to have a more accurate quantitative assessment of the real extent of cross-border flows.
2) The analysis was built on price differential between bordering regions, not directly considering the impact of differential between faraway places. It also focuses on net flows between regions, which can lead to underestimate total flows, and in particular flows that occur from high-price to low-price countries (i.e. linked to consumption during travelling). Such 'non-economic-driven' flows were estimated under EA 2019 accounting for approximately 30% of the total.
3) In various countries, the traceability system data underestimate the volume of actual shipments. Corrections have been applied, but estimates remain inevitably imprecise as far as absolute numbers are concerned. So, it is suggested to recast the exercise as soon as the system's coverage improves.

- **EXCISE DUTY CONVERGENCE AND THE ROLE OF EU MINIMA**

This policy problem may require coordinated interventions at multiple levels, including in areas outside the scope of the Study. The ongoing ***review of Article 32*** of the Horizontal Directive might lead to a revision of the guide levels (and waivers thereof) and/or of the definition of cross-border acquisition of excise goods by private individuals for their own use.[34] Two MS, i.e. FR and FI, have already adopted special measures to address the issue. The French have introduced stronger quantitative restrictions than the EU guide levels, while in Finland the restriction regards products that do not carry the prescribed health warnings in the local language. In both cases, evidence of quantitative effects is not available. In the past, similar restrictions were adopted for countries benefitting from the 'transitional period' in the application of EU minima. According to MS authorities, these measures had a deterrent effect that helped diminish substantial cross-border flows, but enforcement and controls were generally limited.

[32] The Nomenclature of territorial units for statistics (NUTS) is a hierarchical system for dividing up the economic territory of the EU for the purpose of statistics collection and analysis. The NUTS3 level is the most granular subdivision available.
[33] NUTS3 level aggregates have been elaborated and provided to the team by DG SANTE's staff responsible for the traceability system.
[34] The evaluation of Directive 2008/118/EC carried out in 2017 and a subsequent specific assessment of Article 32 carried out by PricewaterhouseCoopers LLP – "Study assessing articles 32 and 36 of Council Directive 2008/118/EC concerning the general arrangements for excise duty, 2020" - raised a series of issues with these provisions, due to the strong economic incentives that exist for 'ant-smuggling' excise goods from cheaper countries to more expensive ones and related enforcement difficulties. The Commission has initiated a procedure for a possible review of Article 32.

Additionally, the ***EU excise duty minima can help mitigate disparities*** in MS tax levels, removing incentives for abusing the individual's own use principle. As EA 2019 indicates, Directive achievements in this regard have been mixed so far. Over the years, the gap between 'high-tax' and 'low-tax' countries did not close but expanded slightly. EU minima have contributed to the mitigation of divergences like this, but their effectiveness has progressively declined as periodical increases were insufficient to cope with increasing price levels and income growth.

This issue is explicitly mentioned in the 2020 Council Conclusions, which affirm that minimum excise duty rates need to be increased to 'regain traction' and that greater ***convergence in rates across the EU is necessary,*** since the disparity in tax (and prices) facilitates illegal trade in cheaper products across borders, in contradiction with the principle that excise duties have to be paid in the country of consumption. At the same time, the Council recognised the potentially disruptive effects of excessive tax increases in MS with lower levels of income and worse economic conditions. In other words a mechanism has to be devised to reconcile two partly-conflicting policy needs: (1) to increase EU minima to reduce tax-level disparities between MS, and (2) to prevent disproportionate effects in low-tax MS markets, where tobacco is already less affordable than the EU average.

2.2.4 Illicit manufacturing and trade

- **OVERVIEW OF THE POLICY PROBLEM AND ITS MAGNITUDE**

The illicit trade of tobacco products (ITTP) reveals variations in size and features across MS. Some countries may be more exposed because of geographic proximity to illicit trade hubs, enforcement capacity deficits or greater social acceptability of illicit product consumption. The value of the potential market is given by the number of consumers; price level is another relevant factor. ITTP represents a severe problem both in terms of ***foregone tax revenue*** and of ***security***, as it might contribute to financing organised crime. Additionally, it ***undermines tobacco control policy,*** causing adverse public health effects, as it makes more affordable (and potentially more hazardous) products accessible to consumers. Finally, it ***distorts competition***, as it subtracts consumers from the legal market.

Most of the illicit tobacco trade consists of ***cigarettes***, but tax authorities, industry and public health stakeholders agree that the illicit trade of other tobacco products is on the rise. In this respect, the main concerns regard: (1) ***unmanufactured tobacco*** sold directly to consumers (sometimes referred to as 'bulk' tobacco); and (2) ***waterpipe tobacco*** (according to stakeholders' estimates, non-duty-paid WPT accounts for roughly 50% of total consumption).

Illicit cigarettes are generally segmented into three categories:[35] (1) ***contraband*** products, i.e. branded products manufactured by a legitimate operator in a third country that are smuggled into the EU; (2) ***counterfeit*** products, i.e. fraudulent imitations of branded products illegally manufactured and sold by non-authorised operators; and (3) ***'illicit whites'***, i.e. non-branded cigarettes which are generally manufactured by a legitimate operator in a third country, which are diverted to illicit trade and smuggled into the EU. In recent years, cases of counterfeiting of 'illicit whites' have also been reported. Illegal tobacco products are mostly smuggled into the EU through the Eastern borders, the Balkan route, or from North Africa. However, in recent years, a surge in ***illicit manufacturing within the EU*** has also been registered. Online illicit trade of tobacco products seems also to be on the rise, although there are still limited data on the magnitude and the functioning of ***tobacco crypto-markets*** in the EU (see Annex E.2).

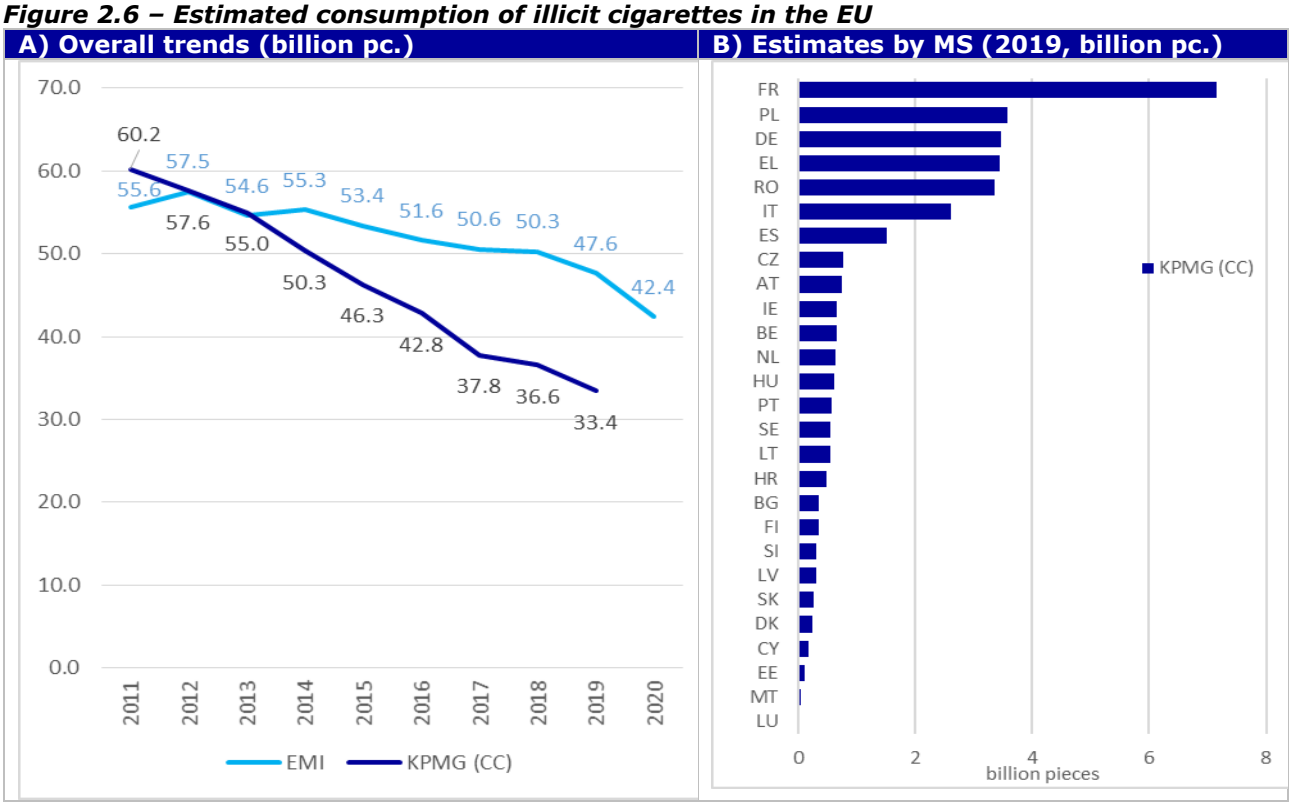
Measuring the illicit tobacco trade is complicated and, as of today, ***there is no widely accepted methodology***. OLAF has recently commissioned a study (RAND 2020) reviewing the main existing methodologies[36]. These include empty-pack surveys, consumer surveys (with and without pack inspection), tax gap analyses (i.e. comparison of sales volumes and consumption

[35] This classification does not include intra-EU cross border flows of products with duty paid in another country, which are discussed in the previous section, although in some cases they possibly abuse excise duty rules.
[36] RAND Europe, "Study to identify an approach to measure the illicit market for tobacco products. Final report", for the European Commission, April 2020.

statistics), and various estimation models. The RAND 2020 study suggests that none of these methods would be sufficient if used in isolation and that a combination of multiple methods should be employed to obtain reliable estimates.

Figure 2.6 below reports the most recent estimates and trends from the most common third-party sources available in this research area, namely: (1) Euromonitor International, Tobacco, 2021; and (2) KPMG's Project Stella and SUN (based on empty pack surveys). The two sources concur that ***illicit trade has been declining in the EU in the past decade***.[37] However, Euromonitor International reports a slow decline, while KPMG reports that the contraband and counterfeit component of unrecorded consumption has fallen steeply (partly compensated by the consumption of non-domestic legal products – see Section 2.2.3 above). Compared to total consumption, Euromonitor International estimates that the share of the illicit cigarette market is stable around 11% to 12% of the total market share, while KPMG registers a decline from approximately 11% to 8% of total consumption. ***Foregone revenues*** range between EUR 5.7 billion and EUR 7.2 billion, with an average value of ***EUR 6.5 billion***.

Figure 2.6 – Estimated consumption of illicit cigarettes in the EU



Sources: *(1) Euromonitor International (EMI), Tobacco, 2021; (2) KPMG's project Stella and SUN.*
Note: *Euromonitor International estimates refer to total illicit cigarettes (data for CY, LU and MT not provided); KPMG data refer to contraband and counterfeit (CC) and do not include non-domestic legal consumption.*

- **ILLICIT MANUFACTURING WITHIN THE EU AND RAW TOBACCO DIVERSION**

If the volume of illicit tobacco products consumed in the EU is difficult to measure, determining ***where and how illicit products are manufactured and shipped*** is even more challenging. The main information source in this respect consists of law enforcement reports and some studies that draw an accurate, though qualitative, picture. More specifically two sources have been reviewed here: (1) an internal report made under the EUROPOL's AP Smoke initiative examining

[37] The estimates provided are subject to methodological limitations and have to be taken with caution. KPMG's Project Stella (and its predecessors) is an industry-sponsored exercise. In the past, some criticisms have been raised on this exercise by tobacco control experts. See, for instance: Joossens et al., 'From Cigarette Smuggling to Illicit Tobacco Trade', 2012; Gilmore et al., 'Towards a Greater Understanding of the Illicit Tobacco Trade in Europe: A Review of the PMI Funded 'Project Star' Report', 2013.

130 investigations in the 2016-19 period;[38] and (2) KPMG Project Stella's 2019 report dedicated to illicit manufacturing.[39] The salient findings from these analyses can be summarised as follows:

- The number of reported illicit manufacturing facilities dismantled in the EU is rising, suggesting a possible spread of the issue in the past few years. Clandestine factories have been detected in the majority of EU countries, without a clear geographical concentration, but it appears that illicit activities are progressively moving closer to consumption markets, which are mostly located in the Western EU.
- Most reports underline that clandestine factories were equipped with full production lines, from tobacco cutting machinery to packaging lines. In most cases, production lines were relatively modern and high performing, with a capacity comparable to big legal factories (i.e. up to 4,000 cigarettes per minute). Machinery was operated by skilled workers, often formerly employed in legal manufacturing plants in the EU or abroad.
- The production focused on cigarettes (illicit whites and counterfeit brands) but the production of FCT and WPT was also frequent. The estimated production volumes and – where available – the details of packaging suggest that production often addressed multiple national markets.
- Reports seldom state where the tobacco used in illicit factories was sourced. In general, intelligence data indicate connections with Eastern Europe - both EU and third countries like Ukraine and Belarus. Some reports mentioned the involvement of networks in the Baltic region, Turkey and the Balkans, as well as the overseas origin of tobacco (e.g. Brazil).

A ***quantitative estimation of the volume of illicit manufacturing activities*** has been carried out, based on the available sources. The results (shown in Table 2.1) are indicative and should be seen as approximating the 'order of magnitude' of the problem. In particular:

- It is estimated that illicitly manufactured cigarettes account for ***approximately one-third of total illicit cigarettes*** consumed in the EU. This estimate is based on the triangulation of (1) MS' own estimates; and (2) extrapolation from seizure volumes (applying the seizure rate registered for total illicit cigarettes).[40] Overall, illicit cigarettes manufactured in the EU would amount to around 15 billion units annually. A 10% correction factor has been applied to take into account illicit manufactured cigarettes meant for foreign markets (mainly the UK).
- For FCT, the estimated total illicit trade (23 million kg annually) has been extrapolated from seizure data (using the cigarette rate). This is consistent with the previous estimate made by EA 2019. Lacking other reliable sources, it has been assumed that half of it originates from illicit manufacturing in the EU, while the rest is of foreign origin (this would essentially be retail bulk tobacco sold in the Balkans). It was also assumed that part of the FCT seized was intended for use as cut filler for cigarette and not for retail sale, and reclassified as such.
- The same FCT assumptions have applied to WPT. In this case, the total illicit trade has been based on the triangulation of (1) EA 2019 estimates and (2) updated industry's estimates. According to some stakeholders, some 100% of illicit WPT may be manufactured in the EU. However, the information could not be verified, so for prudence's sake, the same parameter used for FCT has been applied. The WPT seizure rates from clandestine factories appear to be lower than for cigarettes, but this seems to be compatible with the specific nature of illicit WPT operations, which are much smaller and "garage"-like.

The results of the MS tax authorities' survey also confirm the perception of a growing problem, in particular:

[38] EUROPOL, "Illicit tobacco production facilities in the EU. Situation report." Unpublished. Data were collected in the framework of the EMPACT Actions 2.3 Excise Fraud and Action 2.6., on precursors and workforce for illicit manufacturing. More recent data relating to 2020 were also shared by EUROPOL.

[39] KPMG, Project Stella – Illicit manufacturing in the EU, November 2019. As an industry-sponsored project (prepared for Philip Morris Products SA), results have not been officially validated, but authors affirm that background data on seizure and illicit factory raids are sourced from law enforcement entities. Some of the report findings are cited also in the EUROPOL report, which could be considered an indirect validation of the accuracy of the information reported.

[40] KPMG's estimates laid down in Project Stella have not been used. However, in terms of percentage of total ITTP, KPMG's estimates (28%) appear to be consistent with the Study estimate (31%). In absolute terms, the Study estimates are higher than KPMG's because they are based on the Euromonitor International's total illicit cigarette data (Tobacco, 2021), which are higher than KPMG's data.

- half of the MS which were in a position to reply reported an ***increase in the illicit trade of cigarettes manufactured within their country***;
- four out of ten respondents reported a share of ***domestic-made illicit cigarettes*** on total seizures of ***no less than 10%***; and
- three out of ten respondents reported a share of ***EU-made (non-domestic) illicit cigarettes*** on total seizures of ***no less than 10%***.

Table 2.1 – Indicative magnitude of illicit manufacturing in the EU (average for 2018-20)

	Total ITTP	IMP	ITTP seizure rate	IMP seizure rate
Cigarettes	47 billion sticks	Approx. 31%= 15 billion sticks	6.5%	10%
FCT (including 'bulk')	23 million kg	Assumed 50%= 11 million kg		<2%
WPT	4.4 million kg	Assumed 50%= 2.2 million kg		<2%

Source: *Own estimates based on: (i) seizure data (EUROPOL, OLAF, and DG TAXUD – confidential figures); (ii) Euromonitor International, Tobacco, 2021; (iii) interviews with stakeholders.*
Legend: *ITTP=illicit trade of tobacco products; IMP=Illicit manufactured products.*

➢ **RAW TOBACCO SUPPLY CHAIN ISSUES**

The issue of illicit manufacturing of tobacco products in the EU calls into question the degree and the effectiveness of monitoring and control applied to the raw tobacco supply chain. Evidently, the availability of raw tobacco is a precondition for illicit manufacturing activities, which implies some sort of ***diversion of raw tobacco from the legitimate supply chain***. Raw tobacco – including intermediate products like first-processed tobacco, reconstituted/homogenised tobacco and tobacco refuse – is not a harmonised excise good and falls outside the excise system. For this reason, it is not subject to the security features required for manufactured tobacco products, such as registration of authorised operators, the obligation to store and transform goods in tax warehouses, the electronic control of movement through the EMCS, financial guarantees etc. In this sense, the lack of stringent EU-wide monitoring and control rules can facilitate the emergence of parallel supply chains operating in a grey area, outside of the conventional channels. The results of the MS tax and customs authorities' survey reveal the following:

- The two most-frequently mentioned ***reasons behind the increase*** of illicit manufacturing activities in the EU are: (1) poor control of the supply chain (mentioned by six out of ten tax authorities); and (2) the increase in price levels, which enabled illicit activities that were not economically viable in the past (mentioned by eight out of ten tax authorities).
- Regarding the ***modus operandi*** for raw tobacco diversion, the near totality of respondents mentioned the repeated movement of raw tobacco across MS borders, which makes it very difficult for MS authorities to track. Typically, fictitious, unregistered companies acquire legitimate raw tobacco (i.e. legally imported or processed) and divert it to clandestine factories (mentioned by seven out of ten respondents). The use of false import declarations is reported by a minority of MS authorities, while only one respondent reported registered manufacturing plants engaged in unlawful production in parallel to legal production.
- Regarding the ***origin of raw tobacco*** used in these clandestine factories, MS authorities indicate that both EU-grown and imported tobacco is involved, with similar frequency. This seems plausible considering that the total annual production in the EU is 140,000 tonnes (2019) and that the amount of raw tobacco diverted to illicit manufacturing is approximately 28,000 tonnes (see Table 2.1 above). Assuming that 'diverted' tobacco were entirely EU-grown would not be realistic, because it would entail a rate of diversion of nearly 20%. This is hardly compatible with the control regimes already in place in most tobacco-growing countries and with authorities' estimates of elusive practices (i.e. undeclared cultivations, diversion of surpluses, etc.). Foreign raw tobacco is certainly involved, as it emerges inter alia from some law enforcement reports, but the exact proportion is difficult to quantify.[41]

[41] For instance, the origin of the tobacco seized in the largest customs operation against illicit manufacturing ever carried out in Belgium (August 2021) was Brazil, according to Belgian authorities. Source: https://www.rtbf.be/info/societe/detail_la-production-de-cigarettes-de-contrebande-un-business-purement-illegal-mais-tres-lucratif?id=10818582

To tackle the supply chain monitoring gap, some MS have adopted ***ad hoc policies and measures for raw tobacco*** and related operators. These measures include, for instance, fiscal definitions of raw tobacco, authorisation schemes for operators, administrative controls on holding and movement of raw tobacco, deposits and financial guarantees to cover diversion risks, prohibition to sell to unauthorised operators, and application of tax rates on raw tobacco. A detailed review of the supply chain structure and operations, as well as of the measures adopted by some MS to monitor them is provided in Annex E.3.

In addition to the issue of diversion to illicit manufacturing, these national raw tobacco regimes were designed to address two partly-related additional issues:

- ***Diversion of raw tobacco to retail sale.*** While illicit manufacturing is a major concern that affects most EU countries, some MS are also faced with the problem of non-duty-paid raw tobacco being sold directly to consumers. This is particularly widespread in the Balkans and in other tobacco-growing countries. In the Nordic countries, where tobacco is not grown, a similar issue regards the direct sale of tobacco refuse to consumers for self-fabrication of snus. Sometimes, traders operate by exploiting legal loopholes. More frequently, they sell on the black market (including online crypto-markets) bulk first-processed tobacco, which can be transformed into FCT with simple home processing.
- ***Uncertain demarcation*** between excisable smoking tobacco and non-excisable intermediate products. The excise definition of smoking tobacco outlined in Art 5.1 of the Directive offers room for interpretation.[42] This has become problematic in recent years for a few concomitant reasons. Firstly, the standard for first-processed tobacco has evolved, and manufacturers now demand products that may fall more easily into a strict interpretation of Art. 5.1 than in the past. Secondly, the substantial absence of an EU-wide regulation for, and the monitoring of raw tobacco has created opportunities for tax fraud which, in turn, prompted affected countries to adopt a stricter interpretation of Art. 5.1 criteria. This culminated with the CJEU ruling on the *Eko-Tabak* case,[43] which created a precedent that eventually fuelled disparities across MS in the interpretation and implementation of Art. 5.1. Specifically, some MS started seizing and applying excise duties on shipments of (claimed) first processed tobacco, so processors stopped shipments to and/or across these countries. Eventually, different ways were found to cope with this issue (described in Annex E.3), but a need for harmonised solutions addressing all EU cross-border movement remains.

2.2.5 Incoherent fiscal treatment of certain new / non-harmonised products

➢ HEATED TOBACCO PRODUCTS

In the past five years, marketing of heated tobacco products (HTP) has accelerated both in the EU and globally. The leading tobacco manufacturers have all developed their own heated products, and others are emerging at the international level, suggesting that the HTP market is set to further expand and diversify in the coming years. In 2020, the estimated retail value of the EU HTP market exceeded ***EUR 4.2 billion,***[44] thus accounting for around 3% of the total tobacco market. The total HTP user population in the EU can be estimated at around 4.8 million,

[42] Article 5.1: "*For the purposes of this Directive smoking tobacco shall mean: (a) tobacco which has been cut or otherwise split, twisted or pressed into blocks and is capable of being smoked without further industrial processing; (b) tobacco refuse put up for retail sale which does not fall under Article 3 and Article 4(1) and which can be smoked. For the purposes of this Article, tobacco refuse shall be deemed to be remnants of tobacco leaves and by-products obtained from tobacco processing or the manufacture of tobacco products.*"

[43] The CJEU ruling on the *Eko-Tabak* case (C-638/15) clarified the interpretation of the 'smoking tobacco' definition laid down in the Directive. The issue derives from the unclear interpretation of certain terms used in the Directive definition, namely 'tobacco which has been cut or otherwise split' and 'industrial processing'. The CJEU eventually ruled that (1) since the product at stake consisted of tobacco leaves which have been partly stripped to remove the petiole, and (2) it was ready, or could easily be made ready, by non-industrial means, to be smoked, then it fitted with Art 5(1) of the Directive and had to be considered as an excise good and not as raw tobacco.

[44] The figure includes the sales of HTP devices, which represent some 10% of the total (Source: Euromonitor International, Tobacco, 2021).

and the consumption prevalence in MS is generally comprised between 1% and 2%.[45] HTP users are actually, to a large extent (75%), dual users of both heated tobacco and regular cigarettes. HTP were not yet on the market when the Directive was designed. Hence, these products are not explicitly mentioned there, and MS have developed ***different views on the excise regime applicable*** to them. In essence, two main approaches have appeared: (1) MS classifying HTP as a harmonised product – primarily, in the 'other smoking tobacco' (OST) category; and (2) MS establishing an ad hoc, non-harmonised category for HTP. Figure 2.7 below provides a recently updated overview of the tax regimes applied across the EU. In particular:

- HTP are now commercialised in 22 MS. These products are absent only in IE, FI, BE, MT and LU– often in connection with these countries' own product regulations.
- The majority of MS (16) have established an ad hoc excise regime for HTP. In twelve of them, a specific tax per weight is applied. This is typically set at the same rate as FCT or OST. In PL and PT an ad valorem component is also levied. HU is the only MS where the tax structure consists of a specific amount per unit. IT is also a particular case, as the HTP tax is a percentage of the rate on cigarettes (after the application of a consumption equivalence).
- HTP is taxed as a harmonised product in ES, FR, DE, NL, EE and SE. In all these countries, HTP is taxed as 'other smoking tobacco'. The only exception is Sweden, where it is taxed as cigarettes if it is presented in the form of sticks, while it is taxed as OST in any other case. Two countries (DK and LT) that previously treated HTP as other smoking tobacco have recently introduced an ad hoc regime. Finally, DE announced the introduction of a new regime starting 2022 that will progressively align the taxation of HTP with cigarettes.[46]

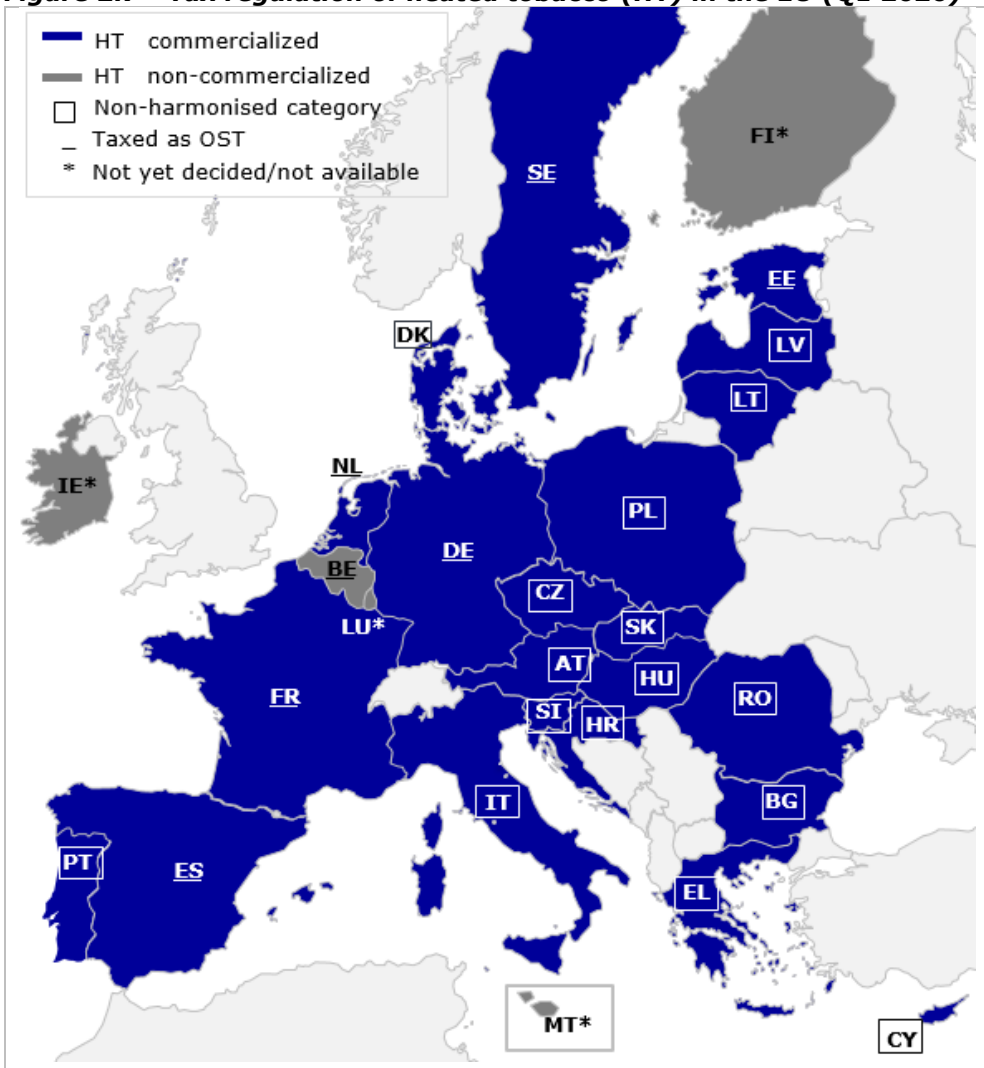
Currently, the ***EU average tax incidence on HTP price is 23%***, ranging from 11% in AT to 62% in SE.[47] The level of taxation currently applied in MS seems to have a limited impact on HTP selling price. In the past few years, most MS have revised upward the tax levels that were initially adopted on HTP, but this has had seemingly limited effects on retail prices, suggesting that producers able to absorb the tax increases. For benchmarking, in Japan – which is the most developed HTP market worldwide - the tax incidence on HTP price is currently 43%. The HTP selling price appears to be connected to the conventional cigarette price levels (in 12 MS the price difference does not exceed +/-5%).

In addition to the product substitution issue described in Section 2.2.1, the current disparities in the regime applied to HTP across MS constitute a ***policy problem*** with at least three main impact types:

- ***Legal and administrative uncertainty***. The differences of interpretation and approach may cause administrative issues in cross-border movement, especially when these happen between countries with different views on HTP inclusion in the EMCS system. Reportedly, ad hoc administrative arrangements had to be established on a case-by-case basis, to allow the circulation of HTP between certain MS.
- ***Functioning of the Single Market***. The above situation not only negatively affects the Single Market, but the lack of a proper monitoring system may also reduce the authorities' capacity to prevent fraudulent trade and detect the emergence of 'borderline' products.
- ***Unintended effects on other products***. Some MS include HTP in harmonised categories, but this approach also presents downsides. With this approach, tax authorities cannot distinguish between the regime applied to HTP and the regime applied to other OST, such as pipe tobacco. However, the optimal tax rate for HTP is not necessarily a suitable rate for pipe tobacco and vice versa, due to the specificities of the two products and their consumption patterns. So, whichever solution one MS adopts, one of the two sub-categories may result subject to a regime that was conceived for another product.

[45] The reported number of users is the average estimate of three sources: (1) Euromonitor International (3.7 million); (2) Ecigintelligence (5.0 million); and (3) Eurobarometer 506 (5.7 million). Consumption prevalence is based on Eurobarometer 506.
[46] Tobacco Duty Modernisation Act (*Tabaksteuermodernisierungsgesetz*), adopted by the German Government in March 2021.
[47] For reference, the average excise duty incidence on the price of cigarettes is, on average, 61.4%.

Figure 2.7 - Tax regulation of heated tobacco (HT) in the EU (Q1 2020)



Non-harmonised category		Taxed as OST	
AT	€123/kg	**DE**	*Ad valorem* 13.13% of RSP and *specific* €15.66/kg. MED: €22/kg
BG	BGN 233/kg (€119.1)	**EE**	€97.1/kg
CY	€150/kg	**ES**	Ad valorem 28.4% of RSP. Minimum Excise €22/kg
CZ	CZK 2,460/kg (€ 94.9)	**FR**	*Ad valorem* 51.4% of RSP and *specific* €31.3/kg. MED: €135.2/kg
DK	DKK 1,350.9/kg (€ 181.7)	**NL**	€160.91/kg
EL	€156.7/kg	**SE**	Sticks: *specific* SEK 1,620 kg (€158.9) / 10,00 sticks + a*d valorem* 1% Other: SEK 1971/kg (€194.5)
HR	HRK 1400/kg (€185.3)		
HU	HUF 12,500/1,000 sticks (€34.5)		
IT[48]	€45.09 /1,000 sticks		
LV	€160/kg		
LT	€113.2/kg		
PT	*Ad valorem* 15% of RSP and *specific* €83.7/kg. Minimum tax: €180/kg		
PL	*Ad valorem* 32.05% of RSP and *specific* PLN 155.79/kg (€34.1)		
RO	RON 423.59/kg (€85.9)		
SK	€132.2/kg		
SI	€88/kg		

[48] In Italy, the specific tax is 30% of the excise duty levied on cigarettes at the WAP level. The consumption equivalence is determined through technical procedures, which lead to (slightly) different taxation across stock-keeping units. In the national legislation, all fiscal categories are defined by weight, so, formally, the tax structure is per weight and not per stick.

- **ELECTRONIC CIGARETTES**[49]

After a few years of double-digit growth, recent figures suggest that the EU e-cigarette market is ***slowing down or, possibly, declining***. In 2020, the total market value was worth some EUR 2.6 billion, down by 7% compared to the previous year.[50] There are various possible reasons for this trend, as emerged from data analysis and stakeholder consultation, namely:

- e-cigarette consumers do not remain loyal for prolonged periods: as Eurobarometer data shows, the number of consumers who have stopped using e-cigarettes is now greater than the number of those who use it;
- the prevalence among young people is twice as high as among adults (Eurobarometer) and it is generally associated with social gatherings, but these were significantly reduced in 2020 due to COVID-19-related restrictions;
- the perception of health risks associated with e-cigarettes have possibly changed, due to more widespread scientific evidence, and to the effects of the 2019-2020 outbreak of severe lung illness among users of cannabis vaping products in the United States; and
- possible cannibalisation induced by HTP uptake and other new products.

According to Eurobarometer, the share of Europeans regularly using e-cigarettes is stable at 2%. The majority (about 60%) consists of dual users of both e-cigarettes and tobacco products.

An important aspect of the market and demand for e-cigarettes regards the use of ***liquids not containing nicotine***. Ecigintelligence data on market composition shows that these represent some half of the products marketed in DE and FR. This figure is associated with the development of ***'do-it-yourself' (DIY) practices*** among consumers. In essence, DIY consists of purchasing the ingredients of e-liquids separately for self-mixing. There can be various degrees of DIY, from simply adding neutral 'nicotine booster' to 'shortfills', i.e. underfilled bottles of flavoured e-liquids, to more radical homemade mixing of all basic ingredients of e-liquids. This practice is used, inter alia, to partly avoid taxation in countries where only nicotine-containing liquids are taxed, such as PT, RO and IT.[51] As nicotine-free products are not subject to TPD-related notification rules, it can be assumed that producers are encouraged to push consumers towards DIY, irrespective of taxation.[52] At the same time, Eurobarometer data suggest there exists some consumption of nicotine-free liquids *per se*. On average, approximately 11% of e-cigarettes total consumers declare using nicotine-free liquids daily.

E-cigarettes are not covered by Directive 2011/64 since they appeared on the market in more recent years. However, the growth rate registered in the initial years after their introduction prompted 14 Member States to establish ***ad hoc national taxes***, with the aim of: (1) facilitating the monitoring of market and consumption trends, and (2) possibly offsetting the tax revenue losses caused by the substitution of conventional cigarettes (Figure 2.8). The plethora of adopted national ad hoc tax regimes has led to substantial market and legal fragmentation in the EU, which is connected to three types of negative effects:

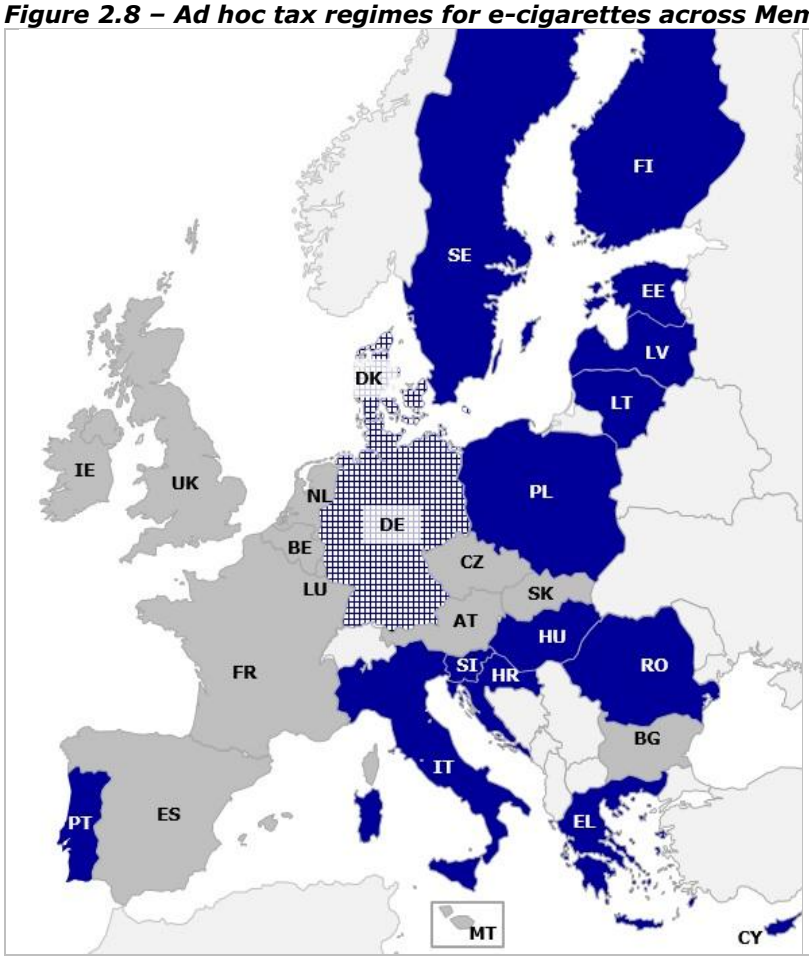
- ***Competition issues***. The impact on the price of national ad hoc taxes distorts competition between domestic manufacturers and foreign players, especially in MS that adopted relatively high tax rates. In principle, foreign operators selling their products in these countries should

[49] For consistency with the terminology used in the TPD and in the background documents concerning the review of the Directive (Commission's evaluation reports, Council Conclusions, background studies etc.) in this Study we opted for using the terms 'electronic cigarettes' for this class of products, although compared to the past the market is now dominated by products with little visual similarities with traditional cigarettes. In this sense, the WHO has adopted a more neutral term for these products: Electronic Nicotine Delivery System (ENDS) - or ENNDS for nicotine-free systems.
[50] Estimates combine EcigIntelligence and Euromonitor International sources that both concur on a decline in sales in 2020.
[51] Currently, nicotine-free liquids are taxed in IT but at a lower rate. Previously, due to a judicial dispute, the status of nicotine-free liquids has been unclear for a few years, with de facto no tax being paid on it.
[52] Manufacturers and importers' costs, related to notification dossiers for numerous nicotine-containing products, can be significant, especially in countries where the notification fee is high (e.g. DK), or where the same products have to be re-notified when sold by different players (e.g. DE). In addition, the six-month notice requirements add time-to-market adverse effects to these products. In this sense, there is an economic rationale in developing a range of nicotine-free liquids that are exempt from the regulation obligation and submit to notification only the neutral nicotine booster, which is then sold separately, as a standard product to be added to all different bases.

be subject to the same tax regime as domestic ones; however, poorly controlled cross-border online sales and 'bootlegging' allow easy circumvention of national taxes, creating an unfair competitive environment for legitimate domestic operators. In addition to the tax charge, national tax regimes also imposed extra administrative and compliance costs (e.g. registering, establishing tax warehouses, anticipating the excise at the import stage, buying tax stamps, etc.). These additional costs are further passed on to the selling price, especially by SMEs, which may have limited capacity to absorb regulatory costs. Eventually, as the market shifted to cross-border trade and e-commerce to avoid taxes – even in MS where online sale is forbidden – a large share of physical outlets closed down.

- ***Tax fraud***. For their intrinsic characteristics, e-liquids can easily be moved across borders elusively, especially when directly shipped to consumers in small quantities, through ordinary courier delivery services. Additionally, B2B movements are also difficult to control, since the EMCS system does not cover e-cigarettes. At the same time, e-cigarette tax fraud remains a low-priority issue compared to that of tobacco, given the smaller amounts involved.[53] According to interviews with MS authorities, limited resources are invested in detecting and prosecuting this issue specifically. This lack of policy attention has created a breeding ground for 'bad players' and illicit practices, which translates into severe tax losses, in percentage terms, for MS (only one-fifth of the theoretical tax yield is actually collected).
- ***Disparity of coverage.*** The MS approach towards e-cigarettes differs also in the definition of tax base. Some MS are taxing only nicotine-containing liquids, while others tax also nicotine-free liquids. Furthermore, a few countries are introducing differentiated regimes based on nicotine content and strength. Therefore, it is important to harmonise the scope of e-cigarettes' fiscal regimes, remove disparities and ensure that similar products have the same fiscal status in the internal market.

Figure 2.8 – Ad hoc tax regimes for e-cigarettes across Member States



	No tax
	Tax in force
	Tax planned
CY	€0.12/ml on all e-liquids
EE	€0.20 on all e-liquids
EL	€0.10/ml on all e-liquids
FI	€0.30/ml on all e-liquids
HR	HRK 0.00/ml on all e-liquids
HU	HUF 30/ml (€0.08/ml) on all liquids
IT[54]	€0.12/ml w/ nicotine €0.08/ml w/out nicotine
LT	€0.12/ml on all e-liquids
LV	€0.12/ml on all e-liquids
PL	PLN 0.55/ml (€0.13/ml) on all e-liquids
PT	€0.32/ml on nicotine liquids
RO	RON 0.55/ml (€0.11/ml) on nicotine liquids
SE	SEK 2/ml (€0.20/ml) (SEK 4/ml if nicotine exceeds 15 mg/ml). Nicotine-free liquids not taxed.
SI	€0.18/ml on nicotine liquids (planned: €0.08 for nicotine-free liquids)
(DK)	1.5 DKK (€0.20/ml) (DKK 2.5/ml (€0.34/ml) if nicotine exceeds 12 mg/ml) (under discussion)
(DE)	€0.16/ml on all e-liquids (from 2022; to increase to € 0.32 by 2026)

[53] The theoretical total tax revenue from e-cigarettes in the EU represents less than 0.3% of the revenue collected from smoking products. The actual e-cigarette tax collected is even smaller, i.e. 0.05%.

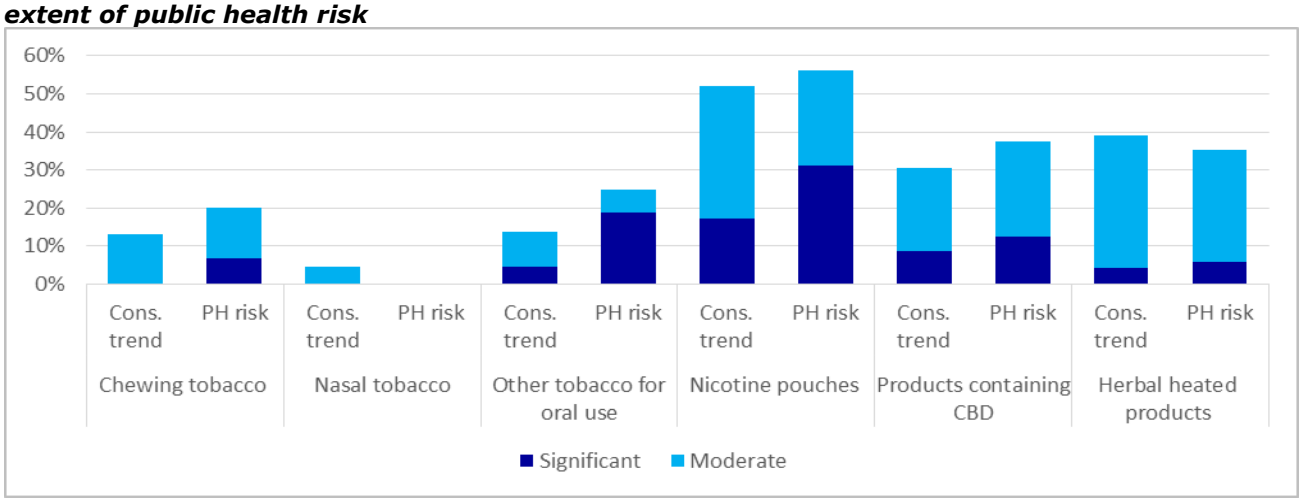
[54] *In IT the tax is expressed as a % of the excise duty applied to the equivalent volume of cigarettes (1 ml = 5.63 cigarettes). For liquids containing nicotine the rate is 15%, for other liquids is 10%.

➢ **OTHER NON-HARMONISED PRODUCTS**

There is a variety of other products containing tobacco or nicotine that currently fall outside of the scope of the Directive, and whose fiscal status is therefore uncertain. These include primarily a new generation of smokeless products (such as the so-called 'nicotine pouches'), as well as some traditional, 'niche' products (i.e. nasal tobacco, traditional chewing tobacco). A tentative taxonomy of all products that are not currently (explicitly) covered by the Directive are provided in Annex F.4. However, the list cannot be exhaustive as new products are constantly being developed and/or can be imported from countries where consumption is established.

In absolute terms, the sales volume of non-harmonised products other than HTP and e-cigarettes is small and often concentrated in a few EU markets, but the majority of MS authorities expect ***substantial growth in the next five years,*** especially of nicotine pouches and, to a lesser extent, of 'herbal heated products' and of products containing cannabidiol – see the Annex F.4 - which are however prohibited in at least 8 MS.[55] Similarly, MS public health authorities consider these products to be a challenge for future tobacco control policies (see Figure 2.9 below).[56]

Figure 2.9 - Expected increase in the consumption of non-harmonised products and perceived extent of public health risk



Source: *TCA and PHA surveys.*
Note*: The figures combine the results of two questions: (1) "cons. trend" indicates the expected consumption trend in the next five years according to MS tax authorities; (2) "PH risk" indicates the perceived public health challenges connected to the consumption of these products according to MS public health authorities. Results are expressed in percentage of respondent MS who considered 'significant' or 'moderate' the expected increase in consumption (1) or the level of public health risk involved (2).*

In sum, there are three policy problems connected to these products:

- As discussed in Section 2.2.1, the main problem is the ***risk of substitution*** of conventional smoking products with non-harmonised products, induced by the absence of excise duty regimes.
- Then, there is a risk connected to ***'borderline' new products***, i.e. the risk that an extension of the perimeter of the Directive (e.g. to e-cigarettes and HTP) could encourage the marketing of opportunistic products designed to circumvent the new tax categories created.
- Finally, there are ***product regulation issues*** with some new-generation products that currently fall outside the TPD (e.g. nicotine pouches) or whose definition has been subject to judicial disputes (as in the case of some new types of chewing tobacco). These issues could

[55] The question posed to tax and customs authorities regarded all legal cannabis products (i.e. with THC content not exceeding 0.2%), including smoking products, which are already taxed in some constituencies (e.g. BE). However, CBD products for smoking can already be considered as harmonised excise goods under Article 2.2 of the Directive.
[56] There are few heated herbal products currently on the market, however the survey results show that public health authorities perceived them as a 'moderate/significant' challenge. This perception is likely due to the various advance notifications submitted in this area (a step that precedes marketing), combined with the fact that these products currently fall outside of all EU tobacco legislation (TPD or fiscal legislation).

be addressed, at least in part, through appropriate tax categorisation within the framework of the Directive.

2.2.6 Other uncertain / unfit provisions

- **UNFIT DEFINITION OF CIGARILLOS**

Some types of low-price cigarillos (i.e. the so-called 'borderline' cigarillos) have the potential to become a relevant substitute product for cigarettes, taking advantage of the lighter regulatory regime imposed on them under the TPD – regarding flavour banning, minimum pack size, pictorial warnings, etc. – and lower excise duty rates. Affordability and substitution issues have been discussed already in Sections 2.2.1 and 2.2.2. In addition, there is an issue with the current tax categorisation of cigarillos, which includes three aspects:

- ***Misalignment with customs definition***, which creates situations where the same product can be theoretically classified as a cigarette under the customs nomenclature and as a cigarillo for excise duty purposes (with ensuing legal disputes).[57]
- ***Lack of differentiation between cigars and cigarillos***, which could limit MS' room for manoeuvre if the need arises for specific measures to address 'borderline' products.
- ***Disparities in the tax base***, with countries taxing these products 'per weight' while others 'per unit', de facto creating a disparity in the EU minima applied.

- **UNFIT REGIME FOR WATERPIPE TOBACCO**

Two key issues have been identified in connection with WPT. Firstly, there is generally ***poor knowledge of the WPT market***, consumption magnitude and trends. Secondly, a large share of WPT consumed in the EU ***comes from illicit sources***. These issues are partly connected to the lack of a separate excise category for WPT.

- **UNCERTAINTIES WITH THE INTERPRETATION OF THE MED PROVISION**

The minimum excise duty (MED) provision (Article 8.6 of the Directive) allows MS to establish a minimum excise 'floor' that comes into effect when the sum of the specific and ad valorem excise duty falls below a fixed monetary amount. There is no (longer) a ceiling to the MED, but there is an obligation to respect the 'mixed structure' requirements, which can be seen as a de facto limit to the MED level permitted. However, this provision is interpreted differently across MS, leading to non-uniform views and practices concerning the upper limit of the MED. Consultation of tax authorities conducted under EA 2019 confirmed the existence of legal uncertainties with this provision and a ***demand for clarification*** to avoid disparities of implementation. An in-depth assessment of MED-related issues was conducted in the EA 2019 study and therefore this Report does not contain any additional analysis on this subject.

2.3 Intervention logic and objectives of policy revision

In conclusion, Table 2.2 provides the ***intervention logic*** supporting the proposed revision of the Directive. The diagram connects the policy problems described in Section 2.2, with their underlying main causes (drivers), and with the specific objectives of possible EU intervention. In this scheme, the 'inputs' of the intervention logic are represented by the proposed policy options, whose expected effects will be examined in the next sections.

[57] See CJEU Case C-638/17.

Table 2.2 – Intervention logic for the revision of the Directive

Policy problem	Drivers	Specific objectives	Policy options
Tax-related substitution across products	• Too large taxation differentials among products • No tax on certain substitute products	• Approximate the level of taxation among products to mitigate substitution • Mitigate tax revenue losses linked to substitution	• Revise EU minima • Introduce new tax categories for non-harmonised products
Affordability of tobacco products undermining tobacco control goals	• Unfit EU minima no longer effective in pushing up MS tax levels • No tax on certain substitute products	• Restore the effectiveness of EU minima in deterring consumption • Extend harmonised excise duty to currently untaxed products	• Revise EU minima • Introduce new tax categories for non-harmonised products
Cross-border flows of duty-paid products, abusing the principle of individual use	• Tax-level disparities among MS which are not effectively addressed by EU minima	• Enhance tax-level convergence among MS to mitigate cross-border shopping • Prevent disruptions in MS markets related to unfit minima • Mitigate tax revenue losses linked to cross-border flows	• Revise EU minima
Incoherent treatment of new / non-harmonised products	• Unfit tax regime for HTP • E-cigarettes falling outside of the scope of the Directive • Other smokeless products not covered by the Directive	• Improve internal market integration with respect to new products • Remove disparities in the excise regime applied to new products • Prevent the emergence of 'borderline' products eluding the excise duty system	• Introduce new tax categories for non-harmonised products
Illicit manufacturing and trade of tobacco products	• Substantial economic returns from ITTP • Poor control of raw tobacco cross-border flows enabling diversion to illicit channels • Uncertainties with the tax definition of smoking tobacco	• Secure the raw tobacco supply chain through appropriate control tools and sanctions • Mitigate tax revenue losses linked to ITTP • Clarify the demarcation between raw and smoking tobacco	• Revise EU minima • Introduce raw tobacco in the scope of the Directive • Revise Art. 5.1 (definition of smoking tobacco)
Uncertain / unfit Directive provisions to be fixed	• Unfit tax category for cigarillos, offering opportunities for 'borderline' products • Unfit tax regimes for WPT, fostering illicit trade • Unclear MED rules	• Remove the risk of opportunistic cigarillo products • Establish a tax regime in keeping with WPT characteristics • Clarify the rules for the application of MED	• Revise cigarillo categorisation • Revise WPT categorisation • Revise the MED provision

3. REVISION OF MINIMUM RATES

3.1 Overall approach

➢ **OBJECTIVES OF THE POLICY REVISION**

This Section briefly recapitulates the roles of EU minima within the overall intervention logic of the tobacco excise policy. The purpose is to clarify the objectives, drivers and intrinsic limitations of this tool, so that future minima can be designed appropriately, and results can be maximised. As to the overarching objective of the excise legislation, two considerations can be made:

- Regarding the ***contribution of the minima to the functioning of the internal market***, there are two main intended effects: (1) ***fostering convergence*** of the tax levels applied in MS, so as to mitigate cross-border flows of duty-paid products driven by price differences (see Section 2.2.3); and (2) ***contributing to fair competition*** between different types of products, preventing or mitigating substitution caused by tax (hence price) differentials.
- For ***public health protection***, taxation is considered to be one of the main policy tools for curbing smoking prevalence, as recently called for, inter alia, by Europe's Beating Cancer Plan. In terms of tobacco control, it is not the nominal price of products that matters but their ***affordability*** for consumers. Nominal price increases do not necessarily affect the final demand if consumers' income has increased proportionally or more-than proportionally. Affordability is generally measured with reference to the weighted average price (WAP) of cigarettes, or the price of the most popular products on the market. However, entry-level prices also matter (so-called 'accessibility'), especially for the most price-sensitive layers of the population, including youth. Indeed, when average tax levels increase, down-trade effects can happen, and some consumer groups can turn to cheaper alternatives.

The revision of EU minima should reconcile these overarching objectives as much as possible. In practical terms, attention should be paid to the different and sometimes opposite effects that current mechanisms can have on the achievement of these policy objectives. In particular:

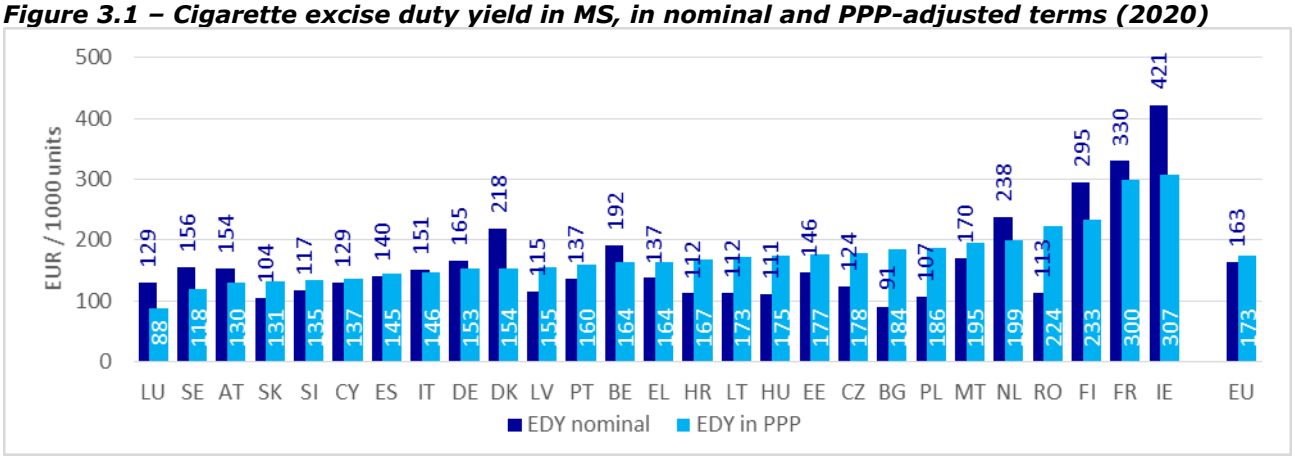
- A ***fixed minimum*** excise duty expressed in monetary terms can foster convergence among tax levels, as it imposes a floor that MS are required to comply with. A progressive upward lifting of this floor can reduce, in principle, disparities between national levels, but only under the assumption that excise duty levels remain stable in MS that already comply with EU minima. In practice, MS do continuously increase their tax levels regardless of EU minima to pursue their policy objectives. A convergence objective could be theoretically achieved only by imposing a 'tax ceiling' in addition to the floor, but this is not feasible, as it would damage both MS revenue, raising capacity and tobacco control objectives. So, a fixed minimum cannot per se induce any EU-wide convergence, although – as EA 2019 showed – it can at least prevent more serious divergences and the risk of disruptions. Furthermore, from a tobacco control perspective, a fixed minimum which is equal for all MS does not appear to be a very efficient tool either, because it ends up putting fiscal pressure only on MS with relatively low purchasing power, which are also those where affordability is already below the EU average.
- The ***relative minimum*** condition can theoretically address the above issues. By linking excise levels to price levels, this condition would have equivalent effects in all MS, thus addressing the affordability issue more consistently than a fixed minimum would. However, for the very same reason, the relative minimum can contribute to increasing price divergence. Nominal price levels vary greatly between MS and applying excise duties that are purely proportional to prices would strengthen and widen this gap. Further price divergence would, in turn, fuel cross-border flows, thus jeopardising tobacco control targets, at least partially. For this reason, the current excise structure for cigarettes includes an 'escape clause' from the relative minimum condition for MS where excise duty levels exceed a certain threshold. The escape clause partly removes the distortive effects of the relative minimum and transforms the system into a sort of two-tiered fixed minimum system where the relative minimum condition de facto prevails on the fixed minimum condition only in a

small window (see Annex F.3). Additionally, from a tobacco control perspective, the relative minimum can unintendedly produce detrimental effects on the accessibility of tobacco. In a scenario where only a relative minimum condition would apply, manufacturers would be encouraged to refrain from increasing prices (as these would translate into further tax increases) but rather to seek profits through expanding the volume of low-price product sales. In the case of cigarettes, such risk is avoided by the combination of the fixed- and the relative-minimum conditions.[58] For other tobacco products, MS are required to comply with either condition, so they can opt for a full ad valorem structure, setting a rate that is equivalent to (or higher than) the minimum. However, as highlighted in the literature, including recent WHO guidelines, pure ad valorem taxes are less effective from a tobacco control perspective because they encourage the development of the low-price segment.[59]

- **ALTERNATIVE APPROACHES TO EU MINIMA**

When converted in real terms, the excise duty levels applied in MS differ significantly from the nominal ones. Figure 3.1 below shows the baseline situation for cigarettes, comparing national excise duty levels in nominal terms and in Eurostat's ***Purchasing Power Parities (PPP)*** terms, i.e. after adjusting rates by the country's Price Level Index (see the Annex F.3 for details). Raising EU minima in purely nominal terms would end up affecting primarily those MS where, in real terms, excise duties are already comparatively high and well above the EU average. From the perspective of the Directive objectives, this would constrain the expected benefits of the policy revision regarding both the harmonisation objective – as MS would not be equally impacted in relation to their economy – and the public health protection objectives because tax (hence price) levels would increase, especially where tobacco products are already the least affordable in the EU.

Figure 3.1 – Cigarette excise duty yield in MS, in nominal and PPP-adjusted terms (2020)



Source: *Own elaboration of TAXUD excise duty data and Eurostat 2019 Price Level Indexes (based on actual individual consumption).* ***Legend****: PPP=purchasing power parity; EDY=excised duty yield at weighted average price (WAP) level.*

To address these shortcomings, the current EU minima expressed in nominal monetary amounts could be expressed instead in real terms to take MS economic differences into account. Two main approaches have been considered: (1) ***expressing EU minima in relation to PPPs***, as is customary for comparing quantities expressed in monetary amounts (e.g. GDP, prices, income levels, etc.); and (2) ***adjusting EU minima by income levels***, through the 'relative income price' (RIP) indicator (see Section 2.2.2), thus linking excise levels to affordability. As described in detail in Annex F.3, the PPP-based approach emerged as most appropriate for impact analysis purposes but, for all practical purposes, the two parameters are closely connected, so very similar impacts can be expected regardless of which approach is adopted.

[58] In practice, only a few MS are affected by the relative minimum because of the escape clause.

[59] Among the vast literature on the effectiveness of different excises to curb tobacco consumption, it is worth mentioning the seminal paper from Sofia Delipalla and Michael Keen, "The comparison between ad valorem and specific taxation under imperfect competition", Journal of Public Economics, 1992, vol. 49, issue 3, 351-367, as well as the later work: Sophia Delipalla and Owen O'Donnell, "Estimating tax incidence, market power and market conduct: The European cigarette industry", International Journal of Industrial Organization, 2001, vol. 19, issue 6, 885-908.

Various approaches have been considered for mainstreaming PPP-based adjustments in the current EU minima mechanism. First of all, the use of a ***pure PPP-based system*** – i.e. a system where EU minima are entirely expressed in PPP terms – has been considered, but then dropped at an intermediate stage because of its disproportionate effects, i.e. huge and potentially disruptive tax hikes for a few high-income countries and, conversely, significant tax reduction in others[60]. Then, a few alternative PPP-based corrective measures have been tested. Eventually, the most suitable approach appears to be a '***partial PPP' system***, where two-thirds of the tax is expressed in nominal terms and one-third in PPP terms, thus reflecting the MS price levels. The rationale behind this choice is described in detail in Annex F. It is worth highlighting that the proposed proportion between nominal and PPP component is conventional and may be adjusted in accordance with policy needs. In revising this proportion it can be useful to consider that:

- An ***increase of the PPP component*** would reduce the impact on MS with a low PLI, which are often those where, in nominal terms, the excise duty levels are the lowest. The main advantage is a reduced risk of internal market disruption in MS where, in relation to the domestic purchasing power, prices are already high. This also includes a reduced pressure on consumers to make recourse to cheaper products of foreign and/or illicit origin. Secondly, the PPP mechanism would extend the impact of EU minima to high-PLI countries, where the price of tobacco is higher than EU average in nominal term, but fairly low in real terms. By reducing tobacco affordability in these countries, enhanced public health benefits can be expected. On the other hand, a greater reliance on PPP would mitigate the 'convergence' effects of an upward revision of minima. The price gap, in nominal terms, between MS may not reduce significantly or even expand. This would have repercussions in terms of cross-border flows and ensuing negative public health and tax revenue impacts.
- An ***increase of the nominal component*** would have specular effects. Considering that in the approach examined the nominal component prevails, a further expansion would in practice maintain the status quo, with its pros and cons. On the positive side, this approach would have a more marked effects on price convergence, thus reducing cross-border flows and their adverse effects on tobacco control and MS tax revenues. On the other hand, a more limited number of MS would be affected, mostly including countries where affordability of tobacco is already below the average, and therefore, where there is less need of support to public health objectives.

PPP levels evolve and are re-estimated by Eurostat annually. However, it is not recommended to revise EU minima annually in accordance with PPP variations, as it would be more difficult for MS to prepare their multi-annual tax increase plans. Furthermore, PPP is not a suitable tool for MS-level dynamic trends (indices' fluctuations may depend on all other MS economies). It is rather suggested to establish a ***fixed reference year*** and schedule periodic revisions over longer periods (e.g. five years), in conjunction with the periodic update of EU minima.

The possibility of introducing alternative approaches for EU minima was tested among ***MS tax and customs authorities*** through the targeted survey. As reported in Annex C.2, the initial feedback was cautious, especially as regards the effects on convergence in price levels across MS. However, half of respondents did not provide feedback, which indicates there is a need for an in-depth, technical discussion on the benefits and constraints of this approach.

3.2 Policy options

➢ SCENARIOS FOR THE INCREASE OF EU MINIMA

Various scenarios for the increase of EU minima on tobacco products – from moderate increases to very ambitious ones – have been examined in the Study. The proposed scenarios involve a simultaneous and equivalent increase of all conditions involved, namely: (1) the ***fixed minimum***

[60] A review of the market impact associated to the adoption of a pure PPP approach is provided in Annex F.3. In summary the results indicate that, compared to a pure nominal approach, the pure PPP approach would lead to a smaller average increase of excise duty levels (hence to a milder reduction in consumption levels), with substantial redistributive effects across MS. For products other than cigarettes the impact difference between the two approaches would be negligible, because the relative minimum condition (which is unrelated to PLI) would prevail over the fixed minimum condition.

expressed in monetary terms; (2) the ***relative minimum*** expressed as a percentage of the retail selling price; and, for cigarettes, (3) the ***'escape clause'***, i.e. the excise level threshold above which MS can forgo the relative minimum. The arrangements for cigarettes require that all minima conditions be met cumulatively, whereas for the other products it is sufficient for MS to comply with either the fixed minimum condition or the relative minimum condition. Other differences regard the tax base of reference, which can be 'per unit' or 'per weight', and the price of reference, which can be the 'weighted average price' (WAP) or any price category (which, for compliance purposes, is practically equivalent to the lowest price category).

The extent of the increase scenarios proposed varies across products, taking into account the baseline situation and 'convergence' targets, i.e. the need to reduce and remove tax gaps that can result in tax-driven substitution issues. Regarding the ***baseline situation***, cigarettes and FCT minima have been subject to periodic increases in the past years. In particular, the last update for FCT was activated in 2020. Conversely, the EU minima for the cigar and cigarillos category and for other smoking tobacco have not changed for many years and are well below the levels currently applied in MS. The proposed increases have been modulated to reflect these differences. Regarding ***substitution***, there is an explicit requirement in the Directive for reducing the gap between cigarettes and FCT taxation, as FCT is perceived as a relevant substitute product. There are no similar provisions for the other product categories, as their substitutability is lower (with the exception of certain 'borderline' cigarillos).

The results of the tax authorities survey largely confirmed that the scenarios considered are relevant, meaning that they ***reflect the range of increases called for by MS***, and that intermediate scenarios broadly correspond, with minor exceptions, to the average minima levels which emerge from the consultation. It should be noted that MS provided extremely polarised feedback, with the majority of respondents clustering either around the 'no change' option or around the maximum increase proposed. So, a reconciliation of positions does not appear straightforward.

All increase scenarios have been considered both in ***nominal terms*** (as in the current approach), as well as in ***partial PPP-adjusted terms*** (with the methodology described above). Table 3.1 below summarises the proposed scenarios for the revision of current EU minima. In addition to harmonised categories, the Table also includes the minima for an optional separate excise category for WPT, which is presented in the next subsection. The proposed scenarios are grouped by product category as each category represents an independent policy option in itself to be ***assessed against the 'no change' option*** (In theory, the proposed scenarios are coherent across products but, in principle, there is no obstacle to implement e.g. Scenario B for one product category and Scenario C for another one.). Four scenarios have been developed for cigarettes and FCT (from A to D), while three scenarios are provided for cigars and cigarillos, and for OST, so for the latter products the intermediate scenarios B and C actually coincide with each other.

Table 3.1 – Possible scenarios for revising EU minima

	Baseline	Nominal increase - scenarios				Partial PPP
Option 1A - Cigarettes		**A**	**B**	**C**	**D**	**A-D**
Fixed minimum (€ / 1,000)	90	115	130	150	180	*Same as nominal*
Relative minimum (% of WAP)	60%	60%	61%	62%	63%	*Same as nominal*
Escape clause (€ / 1,000)	115	145	170	195	230	*Same as nominal*
Option 1B - FCT		**A**	**B**	**C**	**D**	**A-D**
Fixed minimum (€ / kg)	60	90	105	130	160	*Same as nominal*
Relative minimum (% of WAP)	50%	51%	53%	56%	60%	*Same as nominal*
Option 1C – Cigars and cigarillos		**A**	**B/C**		**D**	**A-D**
Fixed minimum (€ / 1,000 or kg)	12	60	90		120	*Same as nominal*
Relative minimum (% of RSP)	5%	20%	30%		40%	*Same as nominal*
Option 1D – OST		**A**	**B/C**		**D**	**A-D**
Fixed minimum (€ / kg)	22	60	90		120	*Same as nominal*
Relative minimum (% of RSP)	20%	30%	30%		50%	*Same as nominal*
Option 1D – Waterpipe tobacco		**A**	**B/C**		**D**	**A-D**
Fixed minimum (€ / kg)	22	40	60		90	*Same as nominal*

Relative minimum (% of RSP)	5%	30%	40%	50%	*Same as nominal*

Legend: *WAP=weighted average price; RSP= tax-included retail selling price.*

- **ESTABLISHMENT OF A SEPARATE CATEGORY FOR WATERPIPE TOBACCO**

The 'other smoking tobacco' (OST) category currently includes a number of very heterogeneous products, which have different characteristics and consumption trends, namely: (1) pipe tobacco, which is a declining, niche product; (2) waterpipe tobacco (WPT), which is also a niche product, but whose consumption is on the rise in various MS; and (3) in several MS, even heated tobacco products (HTP) have been included in this category. At present, the same EU minima apply to the three subcategories. In this respect, the revision of the OST tax regime should not be limited to updating the current EU minima levels, which have increasingly become irrelevant over time, but also includes the ***establishment of separate categories*** better tailored to product characteristics, with a view to allowing more fine-tuned regimes for HTP and WPT. Regarding HTP, the relevant policy options are presented in Section 4.2 below.

Regarding ***WPT***, there are two key issues that the ***creation of a separate excise category*** can help address[61]: (1) current, limited knowledge of the market, its magnitude and underlying trends; and (2) substantial illicit trade levels. First, a separate category would allow tax authorities to monitor the WPT market more effectively. Secondly, a separate category would enable modulation of a tax regime that could account for product specificities, in particular its specific weight, which is much higher than other tobacco products, because WPT typically contains only 15% of tobacco, the rest being syrup, glycerine and flavourings. The application of the OST regime can easily lead to a very high level of excise duties, thus making illicit trade highly profitable.[62] A separate excise category would, therefore, allow MS to apply regimes that reduce such incentives. A relative majority of MS authorities surveyed (44%) would be in favour of a separate tax regime for WPT. One-third is not in favour, and the remainder expressed a cautiously open attitude.

- **ANCILLARY REVISIONS OF THE CIGAR AND CIGARILLO EXCISE CATEGORY**

Additional revisions have been examined regarding the definition and categorisation of cigars and cigarillos. None of them emerged as particularly urgent or crucial from MS authorities' and other stakeholders' perspectives, so they have been considered to be low priority revisions, with limited practical effects. A detailed review of the proposed measures and of the rationale behind them is provided in Annex F.3. In summary these measures consist of:

1) The ***removal of discrepancies*** in the 'de facto' EU minima, which are caused by the fact that some MS apply duties on a 'per 1,000 units' base (like cigarettes) while others on a 'per kg' base (like FCT). As 1,000 units of cigars and cigarillos typically weigh more than 1 kg,[63] minima are de facto higher in MS where the tax base is expressed 'per weight' (6 MS) than where it is per unit.
2) The establishment of ***differentiated minima between cigars and cigarillos***, to reflect the different characteristics and consumption patterns of these products. According to the MS authorities surveyed, such a distinction should be based on the physical characteristics of the products, e.g. weight and/or other size-related criteria (length, radius, etc.)
3) The ***alignment of the current excise definition with the customs definition***, to remove the risk that certain 'borderline' cigarillos – very similar to cigarettes in many respects – are classified differently in the two systems, thus creating administrative and legal issues.[64]

[61] WPT is already subject to a separate classification in the customs nomenclature (HS 2403 11). So, this policy option would also increase the alignment between customs and excise classification.

[62] The tax-driven incentive to illicit trade is much greater than for other tobacco products. For instance, 1kg of WPT with an assumed import price of EUR 10 can be sold to consumers for a price ranging from EUR 75 in Germany (lowest excise rate) to EUR 316 in Ireland (highest excise rate). By contrast, the price of 1kg of illicit WPT on the black market is, reportedly, around EUR 40 to EUR 50. This means that profits from the illicit trade of WPT can be as high as 84% in MS with high excise duties but 'only' 34% in low tax countries.

[63] Most cigars on the market fall between the 2.5g and 3.0g range per unit, while cigarillos typically weigh between 1.2g and 1.5g per unit.

[64] The discrepancies between the two classifications regard in specific the presence of a further paper layer partially covering the outer wrapper.

3.3 Impact analysis

3.3.1 Market impacts

The first set of impacts examined here regard how the increase of EU minima would influence the market for tobacco products. In particular, the analysis has involved three main impact areas: (1) the direct ***impact of EU minima on excise duty levels applied in MS***; (2) the consequent ***effects on price levels***, based on an estimation stemming from the econometric models used in the EA 2019 study, and which shows the extent to which tax increases are passed on to prices/consumers; and (3) the resulting ***impact on the demand*** for (and sales of) tobacco products, based again on the elasticity coefficient calculated under the EA 2019 study. Additionally, the analysis of market impacts has included a specific assessment of the expected variations in cross-border flows and of tax-driven substitution between cigarettes and FCT.[65]

A fully-fledged review of the methodology used is provided in Annex A, including the methodology's limitations and detailed results of simulations. It is important to highlight that the simulations regard the ***estimated effects which are directly attributable to EU minima increases***, assuming no impact on other MS, for analytical purposes. This assumption is needed to disentangle the expected effects of the proposed revisions from other changes that would spontaneously occur as a result of MS' internal excise policies. In this sense, these scenarios should not be seen as a prediction of future evolution in excise and price levels across the EU. In practice, such levels would evolve, even in the absence of EU minima increase: two-thirds of the surveyed MS authorities reported plans to increase excise duty levels over the next three years, regardless of EU minima.[66]

The degree of reliability of these estimates varies depending on numerous factors described in the methodology provided in Annex F. It should be mentioned that estimates on cigarettes are more reliable than the estimates on other products because of more robust and comprehensive data (price, sales volume, etc.). Secondly, the reliability of estimates is inversely correlated to the extent of the tax increase. Some of the scenarios examined have no precedent at MS level so market reactions are more difficult to predict.

- **IMPACT ON EXCISE DUTY LEVELS**

To estimate the impact of the proposed scenarios on the excise duty levels applied in MS, the effects of both the minima conditions (fixed and relative) have been calculated separately and then combined, to determine which condition would prevail.[67] Where relevant, two indicators have been used: (1) the average ***excise duty yield (EDY),*** which refers to the excise duties applicable at the WAP price category (or, in the absence of WAP, the price of popular products); and (2) ***the lowest excise duty (EDmin),*** which corresponds to the lowest price category (Pmin) on the market. The aggregated effects of the examined increase scenarios are reported in Table 3.2. The key findings from the simulations can be summarised as follows:

- ***Cigarettes.*** The excise duty yield at the WAP level (EDY) would move from the current EUR 163 (1,000 units) to between EUR 167 and EUR 208. EU minima would especially affect low tax countries, so the lowest EDY currently registered in the EU (EUR 91) would be raised to between EUR 115 and EUR 176. In relative terms, the average EDY increase in MS would fall

[65] These additional analyses focussed on the main tobacco products; as for the other products, data are insufficient for a quantitative assessment.
[66] In 2011-20, the average excise duty increase in MS which was not directly affected by EU minima was 31% vis-à-vis a 38% increase observed in directly affected countries. So, all evidence suggests that the total increase in MS excise duty levels will be substantially higher than the impacts attributable to EU minima increase. It should be added that the concept of 'direct attribution' remains imprecise, as it is possible that some 'affected' MS would have increased their rates even if they were not compelled to do so by the revision of EU minima. Similarly, some 'non-affected' MS might be encouraged to increase their levels by the fact that other countries (especially neighbouring countries) are doing so.
[67] In the case of cigarettes, the condition which implies the highest increase prevails (cumulation of fixed and relative minima requirements), while for other products the condition which implies the lowest increase prevails (alternative fixed and relative minima requirements).

between 4% and 38%. However, in a few countries, the expected impact would be much higher (close to 100% increase in Scenario D). With the exception of Scenario A, the majority of MS would be forced to increase their rates in all scenarios (up to 22 MS in Scenario D). The partial PPP approach would mitigate and partly distribute effects more evenly among MS. Countries where affordability is already above the EU average would face more moderate increases and vice versa.[68]

- ***Fine-cut tobacco***. The direct impacts of the scenarios for an increase in EU minima which are examined here would be influenced by the prevailing relative minimum condition (low-taxing countries can meet the relative minimum condition more easily than the fixed minimum). The expected average EDY increases would be moderate and fall between 3% and 12%. However, for a few low-tax countries, the required increase would be substantial – up to 50%. The partial PPP approach would have smaller effects, both regarding the number of MS affected and the extent of the induced increase (from 2% to 11% on average). It is worth emphasising the 'incremental' nature of the expected impacts on FCT. In 2011-20, the excise duties on FCT applied in MS increased by 62% on average, regardless of EU minima. In the past three years, the increase in MS which was not directly affected by EU minima was even faster than in other countries. So, a substantial increase in national rates can be expected, even in the 'no-change' scenario. These spontaneous increases, which can be estimated at approximately 6% annually, would add up to those directly fostered by EU minima, shown in Table 3.2.
- ***Cigars and cigarillos***. The baseline situation for cigarillos is characterised by large disparities in excise duty levels across MS, with levels ranging from less than EUR 20 per 1,000 units (DE, NL and HU) to more than EUR 200 (FR and FI), going as high as EUR 415 (IE). As national regimes are primarily based on specific excise structures (or the MED), the same levels apply to roughly all products, from low-price cigarillos (with market price below EUR 120 per 1,000 units) to expensive cigars (exceeding EUR 10,000 per 1,000 units). Disparities are much greater compared to cigarettes or any other tobacco product, so the impact of the proposed increases will inevitably be highly skewed, with very low taxing countries compelled to significantly increase domestic rates, while others remaining completely untouched. This effect is especially evident in the intermediate- or high-increase scenarios, under which certain MS would be required to increase their excise duty levels between 300% and 400%.
- ***Other smoking tobacco***. The average excise duty applied in MS on OST is approximately EUR 116/kg, and accounts for nearly 50% of the average retail price, whereas EU minima currently amount to only EUR 22 and 20%, respectively. Therefore, the proposed increase scenarios are substantially higher than the baseline situation. This is especially true for the proposed fixed minima range which would be from three times to nearly six times the current level. Still, only the most ambitious scenarios would foster some significant changes at the MS level, i.e. ***between 6% and 16%***. This is true for two main reasons: (1) the relative minimum condition would prevail in low tax countries, offsetting any ambitious increases in the fixed minimum (see description above for FCT); and (2) there are huge disparities in starting conditions: in two MS, the current EDY is lower than EUR 30, while in two others it is close to EUR 300 (also due to its equivalence with the FCT treatment). Clearly, a substantial increase in the minima would severely affect a limited number of MS before hitting a critical mass.

[68] For instance, in Scenario B, Romania should increase its rates by 19% under the 'nominal' excise duty approach and by 11% under the partial PPP approach. In the case of Poland, the required increase would reduce from 25% to 7%, while in the case of Bulgaria from 44% to 19%. Conversely, the requested increase for Luxembourg would move from 12% to 27%, for Sweden from 9% to 17% and for Germany from 3% to 6%.

Table 3.2 – Estimated impact of the proposed EU minima on excise duty levels

	EU minima		EDY		EDmin		EDY increase		EDY in PPP	MS affected
	F	R	min	avg	min	avg	avg	max	avg	No. (PPP)
Cigarettes										
baseline	90	60%	91	163	91	159				
A	115	60%	115	167	115	163	*4%*	*27%*	166	12 (9)
B	130	61%	130	174	130	170	*10%*	*44%*	171	17 (16)
C	150	62%	150	187	150	182	*20%*	*66%*	181	21 (21)
D	180	63%	176	208	176	203	*38%*	*99%*	201	22 (22)
FCT										
baseline	60	50%	57	131	55	130				
A	90	51%	59	134	57	132	*3%*	*22%*	133	7 (6)
B	105	53%	61	136	59	134	*6%*	*32%*	135	8 (7)
C	130	56%	65	138	63	136	*9%*	*40%*	137	8 (8)
D	160	60%	70	141	67	139	*12%*	*50%*	140	10 (10)
Cigarillos										
baseline	12	5%	16	106	12	105				
A	60	20%	23	109	19	109	15%	161%	109	5 (5)
B/C*	90	30%	34	113	31	112	32%	294%	113	5 (5)
D	120	40%	46	122	43	121	56%	428%	121	15 (15)
Cigars										
baseline	12	5%	25	629	-	-				
A	60	20%	57	630	-	-	5%	138%	630	2 (1)
B/C*	90	30%	75	635	-	-	15%	257%	633	5 (6)
D	120	40%	100	645	-	-	31%	375%	642	11 (11)
OST										
baseline	22	20%	22	116	-	-				
A	60	30%	22	117	-	-	1%	19%	117	1 (1)
B/C*	90	40%	25	119	-	-	6%	61%	119	6 (6)
D	120	50%	32	125	-	-	16%	103%	124	10 (10)

***Legend**: EDY=excise duty yield at weighted average price level; EDmin=excise duty level on lowest price products; PPP=partial PPP scenario; F=fixed minimum condition; R=relative minimum condition; min, avg, max=minimum, average and maximum values among the 27 MS. **Notes:** Estimates refer to the EU aggregated market (disaggregated figures are provided in Annex F.3). The baseline situation refers to 2020 (or 2019 where more recent data were not available). Monetary data are expressed in EUR / 1,000 for cigarettes, cigars, and cigarillos, and in EUR / kg for FCT and OST. 'Cigarillos' are defined as products weighting 3g or more. The numerous gaps, especially in the cigar/cigarillo and OST market data, have been filled in through the use of Euromonitor International, online research, or extrapolation from other countries. The results inevitably present some degree of approximation. (*) For OST, cigars and cigarillos the intermediate scenario is called 'B/C' to underline that it corresponds to both Scenarios B and C in the four-tiered scale used for cigarettes and FCT.*

- **IMPACT ON PRICE LEVELS AND DEMAND**

The impact of EU minima increases on the price of tobacco products would depend not only on the extent of excise duty increases prompted in MS, but also on how much increase is passed on to consumers or, conversely, absorbed by manufacturers by reducing trade margin or implementing portfolio optimisation strategies (i.e. distributing effects among different products). According to the results of the econometric model developed under the EA 2019 study, the cigarette market in the EU is characterised by a ***pass-through elasticity*** coefficient of 0.7, which means that a tax increase of 10% generally translates into a price increase of 7%.[69] For analytical purposes, the same coefficient has also been applied to the other products.

Similarly, the impact on demand, which would follow an increase in price levels, has been estimated by applying a ***demand elasticity*** coefficient of -0.54 (i.e. a price increase of 10% would reduce the demand by 5.4%), in line with the results of the EA 2019 econometric assessment. This coefficient regards the aggregate demand for all tobacco products (not only of cigarettes).

[69] Considering that the EU average EDY is 62% of WAP, the increase of excise duty and of prices in monetary terms would be roughly the same.

The analysis involves two variables: (1) the ***weighted average price (WAP),*** replaced – where unavailable - by proxy indicators, like the price of popular products; and (2) ***the lowest market price (Pmin)***, i.e. the price of the cheapest (non-negligible) product available (which is also the measure of 'accessibility' or entry-price affordability).

Regarding cigarettes, the salient results can be summarised as follows (Table 3.3):

- Price impacts will be largely equivalent to the increase in excise duty levels discussed in the previous subsection. In aggregate terms, the ***average WAP*** in the EU would move from the current EUR 263 (per 1,000 units) to ***between EUR 268 and EUR 312***. The average lowest price category (Pmin) would increase from EUR 220 to between EUR 224 - 256.
- Under the ***partial PPP approach***, the expected impacts would be milder, with the prospected average WAP lying between EUR 266 and EUR 305. This approach would also deliver - as intended - distributional effects. As shown in Figure 3.2 below, the MS with a low 'real' WAP, measured in PPP terms, would be comparatively more affected by tax-driven price increases (Panel B) than under the nominal increase approach (Panel A).
- Price level increases would in turn reduce demand and sales. Based on the estimation model applied, such ***reduction would range from 1% to 10%*** under the nominal increase approach and up to 8% under the partial PPP approach. These figures refer to the reduction which would be directly attributable to the EU minima revision. Further demand reduction can be expected from (1) tax increases spontaneously adopted by MS, (2) the effects of tobacco control policies, and (3) the effects of broader societal changes in the attitude towards tobacco.[70]

The EU's average WAP for FCT would be driven up from EUR 221 to ***between EUR 225 and EUR 235***. The partial PPP approach would have a stronger effect on FCT price levels than the nominal increase one. The bottom price levels would apparently not be affected by EU minima increase because – as discussed – the relative minimum condition prevails in low tax countries. So, there, ***manufacturers would be incentivised to absorb the tax***, by reducing their margins (to avoid triggering further increases) and pursuing 'volume' strategies instead. MS can tackle these undesired effects through greater recourse to specific taxation and, more importantly, by means of a 'minimum excise duty' (MED), where feasible. The expected reduction in FCT sales would range between 2% and 5% under both the nominal and the partial PPP approach. These figures refer to the incremental impact directly attributable to EU minima and do not include the effects of spontaneous tax increases at the MS level. They also do not incorporate the effects of cross-substitution, which are examined below.

The expected impact of the proposed revisions on the demand for cigarillos would be more pronounced than for other products. In this respect, it is important to stress the existing disparities between national markets. In MS where 'borderline' products are marketed, they typically account for the majority of sales, thus average prices tend to be substantially lower (by approximately 50%) than in MS where such products do not exist.[71] The consequence is that in a handful of countries, price levels would, in theory, register ***increases exceeding 100%*** and the majority of cigarillo demand would theoretically disappear.[72] The demand for cigars would be comparatively more resilient. Their baseline price levels are already much higher than those of cigarillos, so the excise duty increase would have smaller effects.

The aforementioned data limitations and caveats require to that we take the OST simulation with due caution. Assuming the excise duty increase would be entirely passed on to consumers, we can expect average prices to increase to between ***EUR 229 and EUR 246***, which is moderately

[70] For an assessment of changes in the demand not related to EU minima, see EA 2019. Decline in the total demand for cigarettes that is not induced by taxation was estimated to be at around -1.6% annually.
[71] For instance, in DE and HU – where 'price-fighter' cigarillos account for more than 75% of the market, according to Euromonitor International data – the average price level reported by authorities is around EUR 115 (1,000 units); conversely, in BE ('price-fighter' cigarillos represent around 19% of the market) the average price of cigarillos is EUR 360, in BG and IE ('price-fighter' cigarillos hold less than 5% of the market), the average price exceeds EUR 500.
[72] The estimation is based on the same elasticity parameters used for cigarettes, as data for cigarillos are insufficient and not suitable for calculating a specific elasticity.

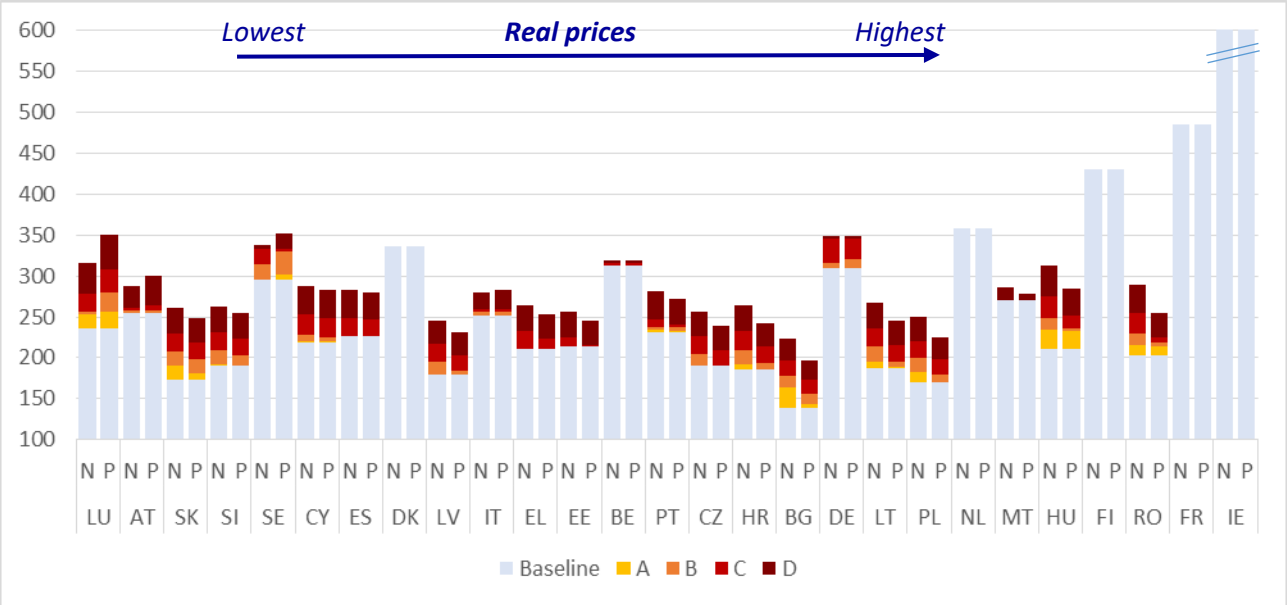
higher than FCT (but in low tax countries the price would remain below FCT levels). Market sales would not change under Scenario A but would decline by ***6% to 11%*** under the other scenarios. This would add up to the effects of MS' spontaneous excise duty increases (around 6% annually, in recent years), which could roughly double the impacts shown in Table 3.3 below.

Table 3.3 – Estimated impact of the proposed EU minima on price levels and sales

	WAP		Pmin		WAP in PPP	Market sales	
	min	avg	min	avg	avg	Qt	%
Cigarettes						billion units	
baseline	138	263	118	220		429.4	
A	164	268	137	224	266	-5.2	-1%
B	178	276	147	230	272	-12.4	-3%
C	197	290	159	241	283	-26.5	-6%
D	224	312	174	256	305	-42.8	-10%
FCT						million kg	
baseline	114	221	98	194		78.8	
A	114	225	98	198	223	-1.7	-2%
B	114	228	98	200	227	-2.2	-3%
C	114	231	98	202	230	-3.0	-4%
D	114	235	98	205	234	-4,1	-5%
Cigarillos						billion units	
baseline	115	334	-	-		9.1	
A	127	353	-	-	353	-0.5	-9%
B/C*	127	371	-	-	371	-1.0	-11%
D	127	403	-	-	402	-1.4	-16%
Cigars						billion units	
baseline	740	6,643	-	-		1.2	
A	740	6,705	-	-	6,697	0	0%
B/C*	740	6,991	-	-	6,887	< -0.1	-2%
D	868	7,531	-	-	7,308	-0.1	-5%
OST						million kg	
baseline	63	229	-	-		8.5	
A	63	229	-	-	229	< -0.1	0%
B/C*	70	235	-	-	234	-0.6	-7%
D	82	246	-	-	244	-1,1	-13%

***Legend**: WAP=weighted average price (or – where unavailable - proxies based on popular products etc.); Pmin=lowest market price; PPP=partial PPP scenario; avg= average price levels; lowest=lowest price segment among the 27 MS.*
***Notes:** Estimates refer to the EU aggregated market (disaggregated figures are provided in Annex F.3). The baseline situation refers to 2020 (or 2019 where more recent data were unavailable). Monetary data are expressed in EUR / 1,000 for cigarettes, cigars and cigarillos, and in EUR / kg for FCT and OST. The baseline data on price and market volume are subject to a high degree of uncertainty, especially for products other than cigarettes. (*) For OST, cigars and cigarillos the intermediate scenario is called 'B/C' to underline that it corresponds to both Scenarios B and C in the four-tiered scale used for cigarettes and FCT.*

Figure 3.2 – Comparative effects on WAP of the nominal and the partial PPP excise duty increase



Legend: *N: Nominal increase approach; P= Partial-PPP adjusted increase approach; A, B, C, and D= excise duty increase scenarios, as defined in Table 3.1 above.*
Note: *In the figure MS, are ordered based on their WAP in PPP terms, with the lowest (WAP in PPP) on the left and the highest on the right. To represent differences as well as possible, the scale displays ranges from EUR 100 to EUR 600 (per 1,000 pieces). Ireland's WAP falls outside of the range (EUR 641).*

- **IMPACT ON CROSS-BORDER FLOWS OF CIGARETTES**

To estimate the impact of the EU minima revision on cross-border flows of cigarettes, three tests have been carried out. The first simply consists of verifying the ***variance in WAP levels*** across the four scenarios. This can be measured through the standard deviation in the distribution of WAP values across MS. As shown in Table 3.4, all scenarios would reduce this variance as compared to current levels. Higher increases in nominal terms would achieve the best results.

Table 3.4 – Standard deviation of the WAP distribution by scenarios

		Nominal increase				Partial PPP			
Scenarios	**Baseline**	**A**	**B**	**C**	**D**	**A**	**B**	**C**	**D**
Standard Deviation	111	107	103	97	87	109	108	102	93

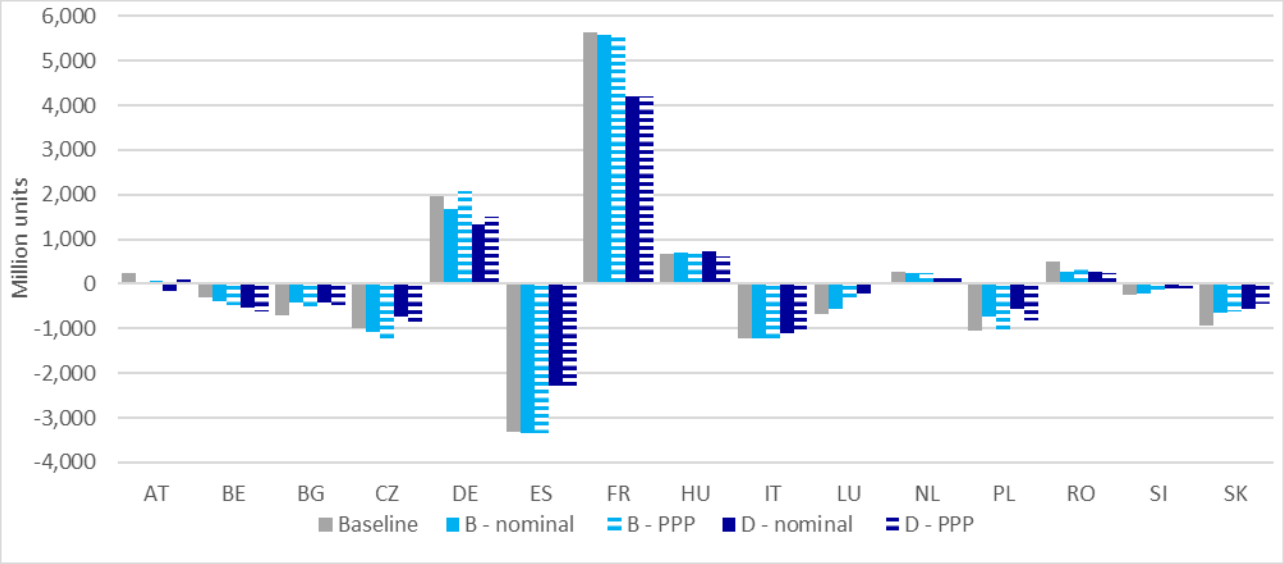
Note: *A reduction in the standard deviation indicates WAP-level convergence among MS. This can be seen as a proxy for cross-border flows. However, this indicator regards the EU as a whole and does not consider the distance between regions and the fact that most (price-induced) flows occur between neighbouring regions.*

The second test has explored empirically the ***evolution of price differentials between specific MS***, identified as particular hotspots of cross-border flows. Fifteen such cases have been considered. For simplicity purposes, only four EU scenarios have been tested, and namely scenarios B and D in both nominal and partial PPP terms. The results confirm that (with few exceptions) the price differential would diminish, especially under Scenario D. Therefore, it can also be expected that the incentives to engage in illegal cross-border trade would weaken. As expected, the PPP-adjusted approach is less performative than the nominal one. This is because it mitigates – by design –the impact of the EU minima increases in low-tax countries and, conversely, might require an increase in high-tax ones, thereby increasing price disparities. Details on the results of this test are provided in Annex F.3.

In the third and last test, we have estimated the ***change in the volume of flows*** at the MS level through the econometric model that was developed ***based on the Commission's traceability system data***. We have compared the baseline situation with scenarios B and D, both in nominal and PPP-adjusted terms. The results, summarised in Figure 3.3 below, confirm that an increase in EU minima is associated with a reduction in cross-border flows. Scenario D

(in nominal terms) could significantly reduce flows from ES to FR and – to a lesser extent, from CZ to DE, leading to an aggregate EU-level reduction by 3.7 billion pieces (33% of flows between bordering regions, 12% of pre-COVID19 estimated total flows). Under Scenario B (nominal) the reduction would amount to 1.2 billion pieces (approximately 11% of estimated flows between bordering regions, i.e. 4% of pre-COVID19 estimated total flows).[73] In the PPP-adjusted scenario, such reduction would be smaller, i.e. 10% under Scenario D and 2% under Scenario B, and some MS (e.g. DE) might actually experience some worsening in their net inflows.

Figure 3.3 – Net cross-border flows by country under different scenarios



Note: *Negative values indicate net outflows, while positive values indicate inflows. Figures provide an aggregate estimate of net flows of each country vis-à-vis all other MS. Countries with very limited flows are not displayed.*

- **SUBSTITUTION BETWEEN CIGARETTES AND FCT**

The proposed scenarios have been designed to ***reduce the gap in the EU minima applied to FCT and cigarettes*** and foster convergence in their price levels. The gap reduction has been applied to both the fixed and the relative minimum conditions, and it progresses from Scenario A through D. This design responds to the specific public health objective of bringing the EU minima for FCT closer to that of cigarettes, considering their equally harmful effects.[74]

As the results of the Directive's evaluation show, the gap has been bridged progressively over time, through both scheduled increases in the FCT minima (the last step entered into force in 2020) and MS tax policies. Over the past decade, excise duty levels for FCT have been increasing at an average annual rate of over 7%, whereas for cigarettes this increase has been 4%. As a result, FCT is already taxed at the same or similar level as cigarettes in some MS (e.g. PT, SE, EL, IE, HR, etc.). This trend would increasingly close the gap and so further ***slow the tax-induced substitution between these products***. Market data (see Annex D) clearly show that the current extent of substitution is modest compared to ten years ago, but the qualitative evidence collected during fieldwork suggests that in some MS, substitution increased again due to the COVID-19 restrictions and subsequent decreased access to cross-border products.

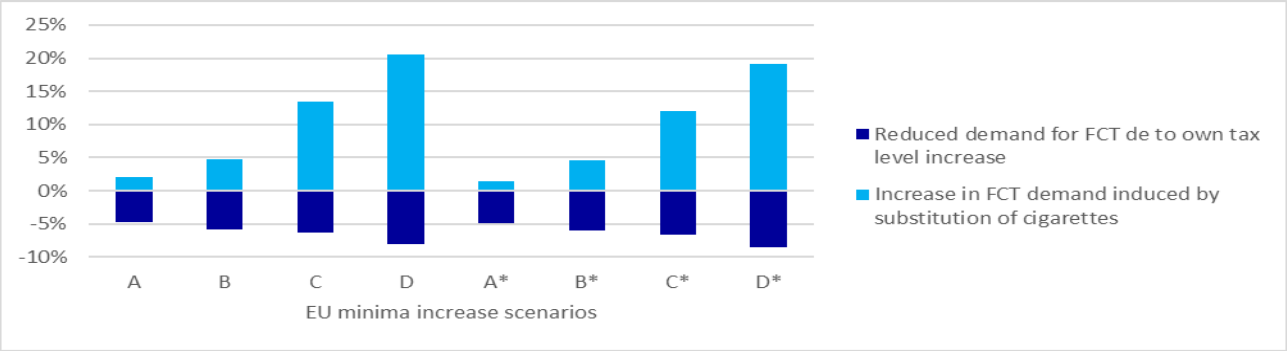
An attempt to quantify the potential for substitution being associated with proposed EU minima scenarios was made using the cross-elasticity parameters elaborated econometrically under EA

[73] As explained in the methodology (see Annex A and Appendix 3 to Annex F), absolute values calculated through the Commission traceability system data may underestimate the overall historical magnitude of the issue because (1) the period of observation largely coincides with COVID-19-related restrictions of movement; (2) the analysis focuses on the EU bordering regions, not considering flows between faraway places (which conversely exist, according to 'empty pack surveys' data); and (3) the traceability systems in some countries underestimate the volume of actual shipments, which has been corrected by resizing flows to the overall country's RfC, but estimates remain nevertheless inevitably somewhat imprecise.

[74] Recital #19 of the Directive.

2019.[75] The findings suggest that the decrease in the aggregate demand for cigarettes and FCT shown in Table 3.3 would likely be accompanied by redistributive effects. As reported in Figure 3.4 below, the tax increase scenarios considered have ***different effects on the substitution of factory-made cigarettes with FCT***. In specific, under the scenarios A and B the reduction in the demand for FCT would be greater than substitution effects, while under scenario C and D the extent of substitution might exceed the FCT demand reduction, possibly leading to net positive effects on FCT sales.[76] This is partly explained by the starting conditions of the respective markets (EDY levied in MS and price levels) but also by the EU minima mechanisms. As discussed at the beginning of this section, in Scenarios C and D, the relative minimum condition would largely prevail for FCT, allowing a less marked EDY increase in low-tax countries than in the case of cigarettes, for which the fixed minimum condition would prevail. Hence, in these scenarios, it is theoretically possible that the respective EDY of FCT and cigarettes does not converge as expected. This can be avoided choosing to combine different scenarios (e.g. Scenario B for cigarettes with Scenario C for FCT).

Figure 3.4– Estimated impacts of the substitution of cigarettes with FCT



Note: *(*) Partial PPP scenarios. The variation is expressed in percentage of the baseline market volume. The estimation is based on parameters drawn from the econometric analysis carried out under EA 2019.*

3.3.2 Impact on excise duty revenues and tax fraud

➢ **EXCISE DUTY REVENUES**

The estimated market effects that have been outlined in the previous section can be easily translated into excise duty revenues by multiplying the increased rates by market sales adjusted for the expected decline in demand. The results of the estimate are reported in Table 3.5 below. Overall, an increase in MS revenues ranging ***between 2% and 14%*** can be expected. Similar effects would be registered in the partial PPP-adjusted scenarios. The expected increase is coherent with the rather inelastic nature of tobacco products and the fact that a decline in volume sales would be less than proportional to the tax (hence price) increase.

Table 3.5 – Estimated impact on Member States' excise duty revenues

Scenarios		ED revenue impact (EUR million)					Growth
		Cigarettes	FCT	C&C	OST	TOTAL	%
						Baseline*	79,224
Nominal	A	966	208	18	0	1,192	2%
	B	2,560	280	43	32	2,916	4%
	C	6,176	385	43	32	6,636	8%
	D	10,752	549	87	66	11,453	14%
PPP	A	399	206	18	0	624	1%
	B	1,626	279	44	32	1,981	3%
	C	4,425	384	44	32	4,885	6%
	D	8,928	548	88	66	9,630	12%

[75] The results of the econometric analysis suggest a statistically relevant correlation (1.38) between the demand for FCT and the price of cigarettes (but not vice versa, indicating that consumers seldom come back to cigarettes when the price difference decreases). See Volume 3 of EA 2019 for the detailed model specifications.

[76] In this simulation the aggregate reduction in the demand for cigarettes and FCT is held constant. Only distributive effects between these categories of products are discussed here.

Note: *Estimates refer to aggregated EU impacts. (*) The baseline for MS' excise duty revenue has been calculated by applying the 2020 rates to the estimated market volumes. This value is slightly lower (2.3%) than the excise duty revenue amounts compiled by DG TAXUD (EUR 81,378 million in total). The difference is primarily explained by the fact that the latter often also includes HTP revenues and other factors, including time effects on the registration of revenues, and margins of error in the calculation of average price levels and market volumes for some categories of products.*

- **TAX FRAUD**

According to various non-official sources, illicit trade has been generally declining in the EU in the past decade. For *Euromonitor International* the decline has been slow, and illicit cigarettes' market share is still 11-12% of the total, while KPMG estimates a steeper decline of contraband and counterfeited cigarettes, from 11% to 8% of total consumption. This is confirmed also by the results of the econometric analysis of the demand for illicit cigarettes that was carried out under EA 2019, which found a correlation between the steady downward trend of illicit trade and the uprising affordability.

More specifically, the EA 2019 found some connections between illicit trade in the EU and three main determinants, as follows:

1) The increase of illicit trade appears positively linked to the increase in the ***price of legal tobacco***. In particular a price increase of 1% seems associated to an ITTP increase between 1.0% and 1.4%. However, the statistical standard error is high and the confidence interval is large, which makes punctual measurement unsupported. In the case of FCT, the impact of price increases seems milder, i.e. between 0.3% and 0.4%, and even less robust from a statistical perspective (signalling that other more relevant determinants exist).
2) An ***increase of income*** is, unsurprisingly, inversely associated with a decrease in the demand of illicit products. In other words, as legal products become more affordable (in relation to consumer's purchasing power), consumers consistently switch from illegal to legal products. According to EA 2019 estimates, an increase of 1% in income level, correspond to a reduction of ITTP by 0.9% - 1.8%. Again, margins of errors are substantial.
3) Finally, there are unexplained ***country-specific factors***, which seems to contribute to the abovementioned overall inertial decline in the demand of ITTP over time. These factors can be intuitively related to country's geographical position and proximity to international ITTP hubs[77], enforcement capacity, consumer awareness and other cultural factors etc.

The results of EA 2019 are fairly consistent with the works of other scholars (reviewed in Annex E), including with the EU-funded PPACTE project (Pricing Policies and Control of Tobacco in Europe)[78] which could not find statistically-significant association between illicit trade and the price of cigarettes. As some of its authors suggested: '*the supply of illicit tobacco, rather than its price, is a key factor contributing to tax evasion*'.[79]

In other words, ***high prices appear more as an enabler of ITTP rather than its determinant***, or as a 'pre-condition'. As MS authorities confirmed, the price of illegal products is typically set in relation to the price of legal ones, and at about 50%-60% of it. In this sense, assuming production costs as fixed, the higher legal prices go the more profitable is ITTP business. For this reason, there is an economic incentive for illegal suppliers to focus on markets where the level of price is comparatively higher. On the other hand, there are other evident drivers behind the supply of illicit products, including (a) the permeability of borders and in general the capacity of local authorities to detect and prosecute ITTP (b) the severity of sanctions against offenders; (c) the geographical proximity to illicit production/distribution sites, which minimise the travel risks; (d) the 'real' price of legal products, in terms of consumer's affordability etc.

Against this framework, a quantitative assessment of the possible ITTP impact of excise duty increase scenarios is not supported. On a more qualitative level, the scenarios implying more

[77] A relevant aspect of the analysis carried out under EA 2019 consisted in examining price differential across EU Eastern and Balkans borders, i.e. between Belarus, Russia, Ukraine and Serbia and the neighbouring EU MS. The results showed that fluctuations in price levels in those third countries could play a relevant role in ITTP trends in some MS
[78] See: https://www.tri.ie/ppacte.html
[79] Joossens L, Lugo A, La Vecchia C et al. Tob Control 2014; 23:e17-e23 (cited from EA 2019).

substantial increases are possibly associated to a higher risk of fostering ITTP, although, as discussed, other factors are also at play. The results of the MS consultation carried out for the EA 2019 study showed that MS more exposed to smuggling from external borders were comparatively more concerned of the unintended effects of increasing EU minima. In the meantime, steps were made to fight ITTP, including the adoption of the EU Traceability System, However, it is too early to register concrete results.

In conclusions, it can be worth highlighting that the impact simulations carried out for EA 2019 suggested a decline of ITTP even under the most ambitious tax increase scenario. Similarly, from a ***tax revenue perspective***, the expected increase of excise duty yield, generated by higher rates, would largely offset the foregone revenues due a potential increase of ITTP.

3.3.3 Public health impacts

According to the latest WHO estimates, some 27 percent of cancers diagnosed in Europe may have a link to tobacco smoking[80]. Overall, tobacco consumption represents the single leading preventable cause of cancer and cancer-related deaths. Irrespective of smoking, no tobacco product has been conclusively proven to be safe and risk free. Oral tobacco, for instance, also conclusively appears to be a notable cause of overall mortality, as emerged from epidemiological data, among others, from Sweden, which is the only MS where 'snus' is permitted and widely consumed.[81] There is major tobacco-induced mortality and morbidity also from other causes, notably cardiovascular diseases and chronic obstructive pulmonary disorder. In certain regions of Europe, smoking-related cardiovascular diseases actually appear to prevail. Any reduction in tobacco consumption therefore triggers a major impact on public health and results in health benefits (defined as reduced health costs).

The public health impact of the EU minima increase scenarios has been assessed on two levels: (1) ***reduction in smoking prevalence*** and (2) the effects of smoking prevalence reduction on mortality- and morbidity-related ***social cost savings***,[82] defined as a lower burden of 'value of lives lost', smoking-attributable healthcare costs and productivity losses.

- ***Impact on smoking prevalence***. In Europe's Beating Cancer Plan, the EU has recently endorsed the WHO objective of creating a 'tobacco-free generation', where less than 5% of the population will use tobacco by 2040, compared to around 24% today. The interim goal is to reach the WHO target of a 30% relative reduction in tobacco use by 2025 as compared to 2010, corresponding to a smoking prevalence of roughly 20% in the EU (i.e. an overall 17% reduction in current consumption levels). Table 3.6 below summarises the various options' estimated impact on smoking prevalence under the assumptions of a fixed population and smoking intensity. The calculations also include rough estimates of the additional decline linked to MS spontaneous tax increases and to non-fiscal factors (tobacco control policies and broader changes in cultural attitude). As shown, ***all scenarios would support the achievement of the Plan's short-term goals***, with the only exceptions being scenarios B in partial PPP. In terms of individuals, the contribution of the EU minima revision could amount to ***between 11 and 15 million fewer smokers***. Needless to say, the highest decline corresponds to the highest tax increase scenario (Scenario D) and, vice versa. Long-terms effects cannot be accurately predicted, nonetheless the proposed measures represent a tangible contribution to the ultimate Tobacco-Free Generation objective of the Plan. The order of magnitude of expected impacts roughly corresponds to some 20% of the reduction required to achieve the target. Still, further steps will evidently be necessary to meet that long-term goal, including other non-fiscal policies.
- ***Impact on public health social costs*.** In line with the above projections of smoking

[80] See: https://www.euro.who.int/en/health-topics/disease-prevention/tobacco/news/news/2020/2/tobacco-use-causes-almost-one-third-of-cancer-deaths-in-the-who-european-region.
[81] Smokeless tobacco is estimated to account for some 7800 annual deaths in Europe, mainly from cardiovascular diseases. Their overall total DALY burden for Europe is estimated to be in the range of 170,000, i.e. some 1% of smoking-related burden, in the EU only. See Siddiqi, K., Husain, S., Vidyasagaran, A. et al. "Global burden of disease due to smokeless tobacco consumption in adults: an updated analysis of data from 127 countries". BMC Med 18, 222 (2020).
[82] See Appendix 2 to Annex F for a detailed description of the underlying methodological approach.

prevalence, all scenarios considered will generate incremental benefits, in contrast with the 'no change' scenario. More stringent scenarios would reduce consumption more markedly, resulting in greater cumulative savings (between EUR 35 and EUR 45 billion), than would lower-increase scenarios (approximately EUR 25 to EUR 30 billion). It is worth noting the figurative nature of the estimates on social cost savings, not only in relation to evident limitations in measurement accuracy, but also because of the time-lag between smoking cessation trends and the materialisation of the various benefits beyond the value of life (see Annex F - Appendices). Nonetheless, it can be assumed that the effect of possible errors is fixed across scenarios, so the estimates provided below can still be useful in comparative terms. In the long run (namely, in 2040), the corrective factor related to the inertia of health risks would no longer apply and over a generation's time, when all the benefits of tobacco control would be attributable to smoking prevention, the undiscounted, no-change scenario would be worth some ***EUR 68 billion***. On the other hand, the greater additional cumulative benefits of the more stringent scenarios would be in the order of magnitude of ***EUR 60-90 billion,*** and the softer options in the region of ***EUR 45-55 billion.***

Table 3.6 – Estimated impact on smoking prevalence in the EU

Scenarios		Reduced consumption (annualised)				Variation in consumption			
		EU minima	MS tax	Non-tax related factors	Total	Demand impact		Smoking prevalence	
		billion units	billion units	billion units	billion units	1 Y	2025	1 Y	2025
	baseline	556.2						24%**	
Nominal	**A**	-8.0	-5.8	-9.6	-23.4	-4%	-15%	23%	20%
	B	-17.3	-5.0	-9.6	-31.9	-6%	-16%	23%	20%
	C	-32.4	-2.4	-9.6	-44.4	-8%	-16%	22%	20%
	D	-51.2	-2.2	-9.6	-63.1	-11%	-20%	21%	19%
PPP	**A**	-4.9	-6.5	-9.6	-21.0	-4%	-15%	23%	20%
	B	-12.4	-4.2	-9.6	-26.2	-5%	-14%	23%	21%
	C	-24.9	-2.3	-9.6	-36.8	-7%	-15%	22%	20%
	D	-44.8	-2.2	-9.6	-56.6	-10%	-18%	22%	20%

Note: *Estimates refer to EU aggregated impacts. (*) The reported baseline figure is drawn from Eurobarometer 506, expressed as the MS weighted average. The baseline consumption figure refers to the year 2020. FCT and OST have been converted into units applying a 0.75g=1 stick equivalence. 'EU minima' reductions refer to the effects of EU minima increase scenarios; 'MS tax' reductions refer to the additional decline linked to MS spontaneous increase of excise duty levels, based on historical trends (2.5% for FMC and C&C, and 4% for FCT and OST). 'EU minima' effects can be seen as a 'one-off' (and would materialise in the year of entry into force) while 'indirect' ones would recur annually. 'Non-tax-related factors' relate to tobacco control policies, cultural denormalisation of tobacco, etc. Under EA 2019, this factor was estimated to induce a reduction in market sales of -1.72% annually. The projections for the year 2025 include the cumulative effects of recurring factors (referring to the baseline year 2020).*

Table 3.7 – Cumulative social costs savings (2021-2025, in current EUR billions)

			Nominal				PPP			
	Baseline (2019/20)	No change	A	B	C	D	A	B	C	D
			additional savings over the 'no change' scenario							
Value of life costs	747	-34.1	-27.5	-27.5	-32.3	-44.9	-25.0	-24.0	-26.9	-40.1
Healthcare costs	30	-2.5	-2.0	-2.0	-2.0	-3.3	-1.8	-1.7	-2.0	-2.9
Productivity loss	10	-0.8	-0.7	-0.7	-0.8	-1.1	-0.6	-0.6	-0.6	-1.0
TOT	**787**	**-37.3**	**-30.2**	**-30.2**	**-35.1**	**-49.3**	**-27.4**	**-26.3**	**-29.5**	**-44.0**

Source: *Author's elaboration based on the estimates from Table 3.6 above.*

The public health impacts examined in this section regard the direct effects of taxation specifically. Other additional effects could derive from, for instance, reduced cross-border shopping (as a possible consequence of the revision of Art.32 of the Horizontal Directive) and/or illicit trade, for which, however, precise quantification is not feasible. Regarding smokeless tobacco products, consumption in the EU is very limited (excepted 'snus' in Sweden, which is, however, banned in other EU countries), so any public health benefits from the introduction of tax regimes (discussed in Section 4.2) would have limited quantitative effects.

3.3.4 Environmental impacts

Tobacco products are characterised by a peculiar environmental footprint[83] in the various phases of their lifecycle. In particular, tobacco is characterised by being a crop with very ***high water demand*** (higher than rice), whose manufacturing can be seen as ***relatively energy-intensive***, both because of curing requirements and because its complex logistics and distribution require a notable number of km be travelled (over 2,300 km travelled per tonne of tobacco produced). Hence, tobacco production requires substantial amounts of oil (tonnes), with the consequential adverse environmental effects in terms of CO2 emissions. Any reduction in tobacco consumption triggered by taxation would, in theory, reduce such impact. However, the net environmental impact would require an assessment of alternative production and/or consumption patterns. Similar considerations apply to the other stages of the tobacco production chain, for which the estimation of net impact would require counterfactual assumptions on alternative production patterns. Although it has never been rigorously demonstrated on empirical grounds, it is likely that any reduction in tobacco consumption would be associated *ceteris paribus* with some ***reduction in the overall energy intensity and CO2 emissions*** of an economy as a whole, as well as ***water consumption***. The closer the environmental impact takes place to the final act of tobacco consumption, the more likely the impact itself is to occur within the EU. Finally, any reduction in tobacco consumption remains characterised by a parallel reduction in the ***littering caused by cigarette butts.*** This is possibly the best-known cause of pollution from cigarettes; it is estimated that tobacco products worldwide amount to between 340 and 680 million kilograms of waste.

3.3.5 Impact from ancillary revision of excise categories

- **SEPARATE CATEGORY FOR WATERPIPE TOBACCO**

Given the informality of the WPT market, accurate consumption figures could not be collected, but there is widespread consensus that a large share of the market consists of illicit (tax-evaded) products, and that this phenomenon is unintendedly encouraged by inappropriate taxation. WPT is to a large extent made of molasses, which significantly increases its specific weight compared to any other tobacco product. So, a rate fit for pipe tobacco may result in unduly high duties for WPT and vice versa. This translates into high profit margins for illicit traders and, consequently, a buoyant illicit market that is estimated by some stakeholders to be as high as 50% of total consumption. As discussed in Section 5 below, the illicit manufacturing of WPT in the EU has become widespread over the past few years.

A possible policy option consists of applying ***milder EU minima increases to WPT*** than to the OST (see Table 3.1 above). The lack of robust market data hampers any quantitative impact estimation. Nonetheless, some hypothetical scenarios to appreciate the order of magnitude of such effects can be developed. The details of these simulations are provided in Annex F.3. In summary, results suggest that a reduction in WPT average excise duties may contribute to a ***substantial decline in the illegal market.*** Conversely, the business-as-usual scenarios – where WPT is subject to the same regime (and planned increase) as OST - could lead to a (moderately) worse situation. Of course, major excise duty (hence price) reductions are not in line with a ***public health protection*** objective and they might encourage ***tax-induced substitution***. Still, to potentially reduce illicit trade by 12% (approximately 500 tonnes), it would be sufficient to have the average WPT price go down by 10%.[84] Additional beneficial impacts can be achieved with enhanced monitoring of the raw tobacco supply chain, as discussed in Section 5.

[83] See: Maria Zafeiridou, Nicholas S Hopkinson, Nikolaos Voulvoulis, "Technical Report for the FCTC Cigarette smoking: an assessment of tobacco's global environmental footprint across its entire supply chain, and policy strategies to reduce it", 2018 WHO FCTC Secretariat.

[84] The price reduction tested does not refer to current baseline levels, but to the expected price levels after the implementation of the excise duty increases described in this section.

➢ **IMPACT FROM THE REVISION OF THE CIGAR AND CIGARILLO CATEGORY**

A first possible revision of the cigar and cigarillo category consists of applying ***differentiated EU minima depending on the tax base*** to remove treatment disparity induced by the current implicit '1 unit = 1g' equivalence, which does not correspond to the real weight of products. The 'per weight' tax base is currently used in CY, IT, IE, PL, SK, LT and EL. However, in some cases, a conventional weight-to-unit ratio is applied, so that products are de facto taxed by unit. If the new proposed rates (see Table 3.1) were applied maintaining the current implicit equivalence, the tax pressure in countries with a 'per weight' tax base would be theoretically higher than in the other MS. In practice, a very limited number of countries would be affected (none under the lowest increase scenario) and, in terms of sales, an additional decline of modest entity (between 0.1% and 0.3%, depending on the scenario) would be registered.

The second possible revision consists of ***splitting regimes for cigars and cigarillos***. The rationale behind this revision lies in allowing MS to have differentiated tax policies, with the aim of tackling 'borderline' products which take advantage of cigarillo fiscal and TPD regimes, but which can be seen as low-price substitutes for cigarettes. For consistency with the criteria used both in art. 32 of the Horizontal Directive and in market intelligence sources, the excise category "cigarillos" would encompass products weighing less than 3 g. The new category would include 88% of products currently falling under the 'cigars and cigarillos' category. Low-price products would account for 45% of this new category, the other being made up of standard ('non-borderline') ones. So, splitting regimes would allow for the application of differentiated EU minima for cigarillos; it would not, however, allow for singling out 'borderline' products nor for addressing the policy issue connected to them. As the analysis of market impact carried out confirms (see Annex F.3), the combination of different increase scenarios for cigars and cigarillos is not associated to a more effective tackling of the issue. When compared to the application of homogenous minima to the entire cigars and cigarillos category, the marginal effects on the total demand hardly exceed 0.5%.

MS' experience suggests that 'borderline' products' can be tackled effectively through well-designed policies, and, in particular, by ***adopting a mixed structure with a substantial MED***, since this would establish a tax floor that would hit especially low-price 'borderline' products.[85]

3.4 Comparison of scenarios

This section summarises the results of the above analysis in comparative terms. For each policy option, synthetic ratings and judgments (Table 3.8) which reflect the expected impact on a set of relevant policy objectives are provided. Impact areas where none or limited effects are expected are not displayed. The policy change options regard various products and are not mutually exclusive. Where policy options include alternative scenarios, the differentiated expected impacts are reported (see Table 3.2 for EU-minima scenario details for each product). Finally, a brief reference to main risks and implementation challenges have been added, where relevant. Further details on who will be affected and how, and a review of the proportionality of the proposed measures are provided in Annex F.3.

Table 3.8 – Comparison of options and scenarios for the revision of EU minimum rates

Key objective	No change	Policy change	Rationale, sensitivity across scenarios, and risks
Option 1A – Increase in EU minima on cigarettes ***Four increase scenarios:*** *from A (lowest) to D highest (see Table 3.2 for details)* ***Variant 1:*** *EU minima partly expressed in PPP terms*			
Reduction in cross-border flows	-1	A,B: 0 C,D: +1	• Price level convergence moderately fostered by EU minima increase (proportionally to it). High increases in nominal terms more effective than low increases in PPP-adjusted terms

[85] A 'success story' in this sense is offered by Finland. There, the market share of low-price cigarillos rose to 22% between 2016 and 2017. The Finnish authorities responded by introducing a MED of EUR 240 per 1,000 units (that reached EUR 300 in later years). The following year, low-price cigarillos fell to 6% and in 2020 their share was below 4%. Similarly, in MS with a substantial MED on this category, like FR, BE and AT, low-price cigarillos never took off.

Key objective	No change	Policy change	Rationale, sensitivity across scenarios, and risks
			• Moderate risk of effects being offset by MS-tax increase policies. Other complementary EU policies required (Art. 32 of Horizontal Directive)
Reduction in tax-driven substitution	0	A,B,C: 0 D: -1	• All scenarios designed to reduce the tax gap between different products, but high-increase scenarios are more likely to encourage down trade • High risk of impact volatility, as it depends on actual ED levels in MS
Reduction in illicit trade	0	A,B,C: 0 D: -1	• Price increase would enhance the economic interest in illicit trade, but other more relevant factors are at play. Sc. D is higher risk
Increase in excise duty revenues	0	A: 0 B,C: +1 D(V1): +2	• Revenue increases expected under all scenarios. Impact proportional to the extent of the EU minima increase. Sc. D associated to possible drop in revenue in some MS, which would be avoided through a PPP approach • High tax increases are more at risk of tax evasion
Improved market functioning and competition	0	A,B,C: 0 D: -1 V1: 0	• The highest ED increase scenarios can lead to ED increase of nearly 50% in some MS, with unpredictable market effects. • PPP-adjusted approach (V1) would mitigate most extreme effects in MS
Reduction in affordability	-1	A: 0 B,C: +1 D: +2 V1: +1	• Reduction in affordability expected under all scenarios and proportionally to the extent of the EU minima increase • PPP-adjusted approach (V1) more effective in distributing impact across a larger number of countries where real prices are low
Public health benefits	-1	A: 0 B,C: +1 D: +2	• Most scenarios theoretically conducive to meet the interim target of Europe's Beating Cancer Plan. High-increase scenarios are associated with higher reduction in smoking prevalence and related social costs.
Environmental benefits	0	A: 0 B,C: +1 D: +2	• Reduction in demand is associated with a reduction of environmental impact related to tobacco manufacturing and consumption (proportionally to the extent of ED increase)
Option 1B – Increase in EU minima on FCT ***Four increase scenarios:*** *from A (lowest) to D (highest), (see Table 3.2 for details)* ***Variant 1:*** *EU minima partly expressed in PPP terms*			
Reduction in tax-driven substitution	0	A,B,C: 0 D: -1	• All scenarios designed to reduce the tax gap between different products, but high-increase scenarios are more likely to encourage down-trade • High risk of impact volatility, as it depends on actual ED levels in MS
Reduction in illicit trade	0	A,B,C: 0 D: -1	• Price increase would enhance the economic incentives behind illicit trade, but other more relevant factors are at play. Sc. D is more at risk
Increase in excise duty revenues	0	A,B: +1 C,D: +2	• Revenue increases expected under all scenarios. Impact proportional to the extent of the EU minima increase. • High tax increases are more at risk of tax evasion
Reduction in affordability	-1	A: 0 B,C: +1 D: +2 V1: +1	• Reduction in affordability expected under all scenarios and proportionally to the extent of the EU minima increase • PPP-adjusted approach (V1) more effective in distributing impact across a larger number of countries where real prices are low
Public health benefits	-1	A: 0 B,C: +1 D: +2	• Most scenarios theoretically conducive to meet the interim target of the Europe's Beating Cancer Plan. High-increase scenarios are associated with higher reduction of smoking prevalence and related social costs.
Environmental benefits	0	A: 0 B,C: +1 D: +2	• Reduction in demand is associated with a reduction in environmental impact related to tobacco manufacturing and consumption (proportionally to the extent of ED increase)
Option 1C – Increase in EU minima on cigars and cigarillos ***Three increase scenarios:*** *A (lowest), B/C (intermediate), D (highest), (see Table 3.2 for details)* ***Variant 1:*** *EU minima partly expressed in PPP terms* ***Variant 2:*** *Alignment with customs definition of cigars and cigarillos* ***Variant 3:*** *Removal of discrepancies in EU minima levels due to tax-base disparities across MS* ***Variant 4:*** *Split regimes for cigars and cigarillos*			
Reduction in tax-driven substitution	0	+1 V4: 0	• All scenarios designed to reduce the tax gap between different products. • High risk of impact volatility, as it depends on actual ED levels in MS • Splitting regimes (V4) would allow more focused ED levels in MS, but the distinction is largely artificial and only mildly address the issue of 'borderline' cigarillos.
Improved market functioning and competition	0	A: 0 B/C: -1 D: -2	• All scenarios can lead to substantial (>100%) ED increase in some MS. The highest scenarios envisage ED increases up to more than 400% and are associated to 'negative demand' (i.e. market collapse) in some MS.
Increase in excise duty revenues	0	0	• Limited ED revenue increases expected under all scenarios. Impact proportional to the extent of the EU minima increase.
Reduction in affordability	-1	A: 0 B/C: +1 D: +2	• Reduction in affordability expected under all scenarios and proportionally to the extent of the EU minima increase
Public health benefits	-1	A: 0 B/C: +1 D: +2	• Most scenarios theoretically conducive to meet the interim target of the Europe's Beating Cancer Plan. High-increase scenarios are associated with higher reduction of smoking prevalence and related social costs.

Key objective	No change	Policy change	Rationale, sensitivity across scenarios, and risks
Improved harmonisation of fiscal regimes	0	V3: +1	• Separate minima for the 'per weight' and the 'per unit' tax base would make harmonising the real EU minima applicable in MS possible, but how to establish an appropriate weight-to-unit equivalence is far from evident.
Improved legal certainty	0	V2: +1	• Alignment with the customs definition would reduce classification issues and the risk of disputes.
Option 1D – Increase in EU minima on other smoking tobacco ***Three increase scenarios:*** *A (lowest), B/C (intermediate), D (highest), (see Table 3.2 for details)* ***Variant 1:*** *EU minima partly expressed in PPP terms* ***Variant 2:*** *Establishment of a separate category for waterpipe tobacco, with lower EU minima*			
Reduction in tax-driven substitution	0	+1	• All scenarios designed to reduce the tax gap between different products. • High risk of impact volatility, as it depends on the actual ED levels in MS
Improved market functioning and competition	0	A,B/C: 0 D: -1	• The highest ED-increase scenarios can lead to ED increase of nearly 100% in some MS, with unpredictable market effects.
Reduction in illicit trade	-1	+1	• Separate, lower minima for WPT would reduce illicit trade profits, hence also demand
Increase in excise duty revenues	0	0 V2: +1	• Limited ED revenue increases expected under all scenarios. Impact proportional to the extent of the EU minima increase. • A separate regime for WPT could reduce illicit trade, thus tax evasion
Reduction in affordability	-1	A: 0 B/C,D: +1 V2: 0	• Reduction in affordability expected under all scenarios and proportionally to the extent of the EU minima increase. • Legal WPT would potentially become more affordable under V2, but adverse effects appear to be offset by lower demand for illicit products.
Public health benefits	-1	A: 0 B/C: +1 D: +2	• Most scenarios theoretically conducive to meet the interim target of the Europe's Beating Cancer Plan. High-increase scenarios are associated with higher reduction of smoking prevalence and related social costs.
Improved monitoring	-1	V2: +1	• A separate WPT tax category would allow a better monitoring of the WPT market, which is largely unknown but seemingly on the rise.

***Legend**: **+2** = major positive effect; **+1** = moderate positive effect; **0 =** no effect or neutral impact; **-1 =** moderate negative effect; **-2** = major negative effect. **Note:** The 'key objectives' relate to different policy aspects which cannot be combined to make an aggregated rating. In this sense, synthetic judgments are also not intended as being cumulative.*

4. HARMONISATION OF TAX REGIMES FOR NEW PRODUCTS

4.1 Overall approach

➢ **OVERVIEW OF THE POLICY RATIONALE**

Various new tobacco and related products have appeared or become widespread on EU markets since the Directive entered into force in 2011. These include heated tobacco products, e-cigarettes and new products for oral intake, such as nicotine pouches. These products are not (explicitly) covered in the Directive and, as described in Section 2, several MS have introduced ad hoc tax regimes to bring them within the scope of their national excise systems. Three main reasons lie behind these actions: (1) to offset fiscal losses; (2) to monitor emerging trends; and (3) to protect public health. This created a situation where different rules apply in different countries with ensuing adverse effects on the functioning of the internal market and on the effectiveness and efficiency of the national regimes themselves, which are challenged by a lack of control and enforcement mechanisms for cross-border movements. More generally, as emerged from the previous evaluations of the Directive,[86] the ***current legal text is obsolete when it comes to new products*** and requires a revision of the scope of harmonisation.

The rationale for an EU-level legislative intervention regarding the taxation of new products relates to the overarching objective of ***ensuring proper 'functioning of the internal market' through excise harmonisation***. Evidently, these products also raise policy questions in the field of tobacco control and public health protection. In this respect, some products have already been regulated under the TPD and have been the subject of policy discussion at the FCTC level. However, while the debate on the health risks of these products continues to advance and new scientific evidence is produced,[87] the excise harmonisation proposal assessed in the Study has no direct connection with the health risks of these new products. Indeed, the proposed taxation is mainly driven by the need to close possible loopholes in the EU excise system and remove the inefficiencies and unintended effects on the internal market caused by multiple, heterogeneous national tax regimes. This approach is consistent with the priorities expressed by MS authorities in previous consultations and with the 2020 Council Conclusions.

➢ **ENLARGING THE SCOPE OF THE DIRECTIVE**

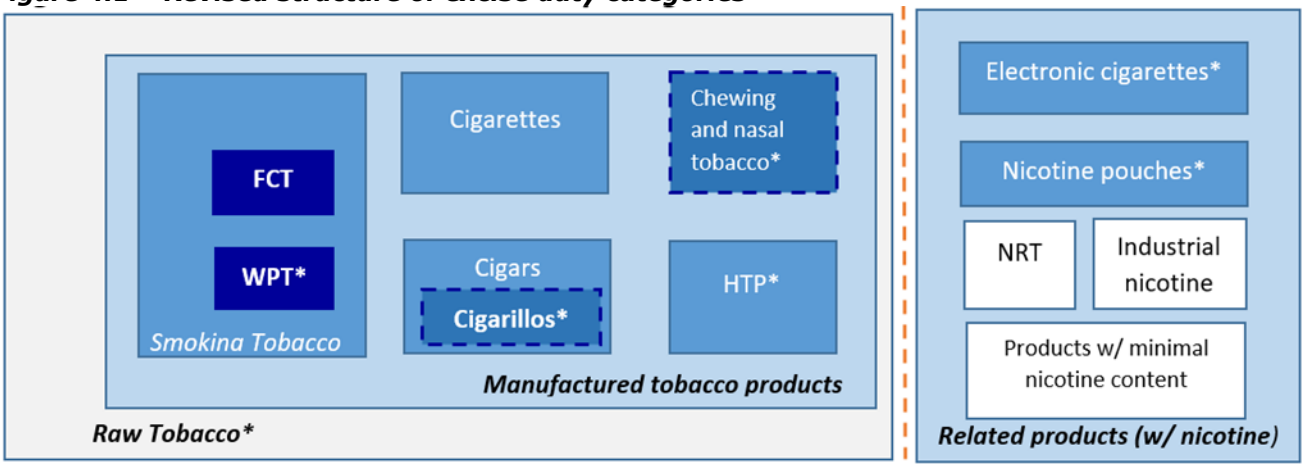
The proposed revision aims at ***enlarging the established scope of the Directive*** by also involving tobacco-related products, i.e. alternative products containing nicotine which can be seen as substitutes for tobacco products from a fiscal perspective (e.g. electronic cigarettes and nicotine pouches). At the same time, a ***'catch-all' approach*** should be adopted, rather than limiting the scope of the extension to specifically identified products. Future developments are difficult to predict, but there is evidence that a new generation of products is being developed. So, there is a need for flexible and technologically-neutral categories that are able to subsume any current or prospective new market development. This does not mean that all new products would fall into the same tax category, but rather that product-specific categories – for products that have reached a sufficient degree of market maturity like HTP and e-cigarettes – should be paralleled by additional, more general categories which are able to capture other manufactured tobacco and related products which do not fit in any of the more specific categories.

Figure 4.1 below shows, in simplified terms, how the perimeter of the excise legislation would be redrawn based on the general approach outlined in this Report. The following sections examine the proposed regimes for new specific categories of products and their expected impacts. Based on the revised structure depicted in Figure 4.1, the three following policy revisions are assessed: (1) a new harmonised regime for ***heated tobacco products*** (Section

[86] The matter was extensively investigated under EA 2017 and EA 2019, the conclusions of which were largely adopted in the Commission's reports in 2018 and 2020.
[87] For instance, the opinion of the SCHEER Scientific Committee commissioned by DG SANTE, the definitive version of which was published in April 2021.

4.2); (2) a new harmonised regime for ***e-cigarettes*** (Section 4.3); and (3) new 'catch-all' regimes covering all ***other manufactured tobacco*** and ***related products*** (Section 4.4).

Figure 4.1 – Revised structure of excise duty categories



Notes: *(*) products not currently harmonised or lacking an ad hoc tax category. Each category of products for smoking or inhalation also includes direct substitute products that do not contain tobacco (or nicotine as applicable). Dotted lines indicate optional subcategories. White boxes indicate exemptions. The raw tobacco tax category would be defined in contrast with the manufactured tobacco product categories, as discussed in Section 5.*

4.2 Policy options

➢ **OPTION 2A – HARMONISED REGIME FOR HEATED TOBACCO PRODUCTS**

The policy option reviewed here consists of the ***establishment of an ad hoc harmonised excise category for heated tobacco products***. As shown in Figure 4.1, this excise category would be in addition to the other existing or prospective ones on manufactured tobacco products. The HTP category would be distinct from other 'new product' categories (such as e-cigarettes and nicotine pouches), which are discussed in the following sections. Establishing an appropriate definition and tax regime for HTP is not straightforward for at least three main reasons:

(1) HTP products are not standardised and their market is in rapid evolution. The most popular products in the EU consist of small sticks of specially prepared reconstituted tobacco, but there also exist HTP in which the mixture is contained in sealed pods or capsules, hybrid products -- where the tobacco mixture is kept in a small receptacle on the top of an e-liquid refill cartridge -- as well as HTP devices intended to use loose-leaf tobacco. Therefore, the ***HTP excise category should be comprehensive*** in order to capture all possible developments.

(2) The HTP ***excise definition should be clear and unambiguous***, to avoid creating legal uncertainties and administrative classification issues, and to mitigate the risk of 'borderline' products. This requires in the first place clarifying the essential features that – from a fiscal perspective – allow for distinguishing HTP from traditional smoking tobacco products, ensuring at the same time a sufficient degree of coherence with the other definitions and classifications (i.e. customs nomenclature and tobacco control policy definitions) that are relevant internationally. The fact that the customs classification often 'guides' the excise classification at the level of MS administrations needs to be considered. Therefore, relevant divergence among definitions could result in classification disparities between MS, along with implementation issues.

(3) From a tobacco control perspective, the debate on the status, definition and common policies regarding HTP is still open at the FCTC level. In the Conference of Parties that will take place in November 2021 (COP9) the WHO will present research and evidence from its comprehensive report on novel and emerging tobacco products, but the discussion has been postponed to the following FCTC round (COP10). While the proposed policy option is essentially driven by fiscal harmonisation objectives, it seems important to ensure that the wording used in the HTP definition not convey any implicit position on the ***harmful effects of these products*** or otherwise pre-empt or clash with possible FCTC orientations.

The proposed HTP excise regime has been developed in light of the above considerations, as well as the regimes currently in place in MS and the views expressed by national and international authorities on this subject. A review of MS excise policies and a more detailed analysis of the possible approaches to HTP harmonisation is provided in Annex E.4. The salient features of the regime and scenarios which have been proposed and assessed are summarised in Table 4.1.

Table 4.1 – Key features of the proposed tax regime for HTP

Definition and scope	The HTP excise category should refer to its characterising elements which may include: (1) the ***heating*** of products without reaching ignition (various heating sources are possible); (2) the delivery of an ***aerosol for inhalation***; and (2) a substrate which ***may or may not consist of tobacco*** (for analogy with cigarettes and smoking tobacco, substitute products partly or entirely made of substances other than tobacco would be included in the excise category). The precise wording should be formulated to avoid any reference to the industry-claimed reduced health risk of HTP or any controversial terms that might end up conflicting with FCTC's potential future definitions. At the same time, it is fundamental to avoid ambiguities with the concept of 'heating' as opposed to smoking, to prevent legal uncertainties when MS administrations will be called on to distinguish between, e.g. an HTP stick and a cigarette. While any direct reference to the HS/CN classification is not required, there should be no relevant incongruences between the customs and excise classification.
Tax base	The heterogeneity of this class of products may require an articulated tax base reflecting how the product is marketed and, specifically, whether it consists of the 'sticks' (like cigarettes) or other formats. A two-tiered regime can be envisaged, and namely: 1) a ***general HTP regime***, with a sufficiently wide and flexible definition which would be able to capture any current or future formats. To ensure a common denominator applicable to all different product formats, the tax base of this general regime should be 'per weight'; 2) a ***specific regime for HTP sticks***, as a subset of the more general one. This would require a technical definition of 'HTP stick' (size, radius etc.) and should adopt a 'per unit' tax base (like cigarettes). The two-tiered regime would allow, inter alia, to manage MS expectations, which are almost equally split between supporters of the 'per weight' and of the 'per stick' approach. Making the HTP stick regime voluntary, to enhance implementation flexibility, cannot be excluded. If equivalent taxation levels are set for the two regimes, this would not cause major market distortion or regulatory loopholes.
Tax structure	The tax structure may consist of specific or ad valorem taxation, or a combination thereof. The application of a minimum excise duty (MED) should be permitted.
EU excise duty minima	Three EU minima scenarios have been set, adopting for reference the fixed minima intermediate levels envisaged for cigarettes, FCT and OST, and establishing the relative minima based on the ratio between the fixed minima and the current HTP average price in the EU. A partial-PPP approach has also been considered, where one-third of the fixed minimum is adjusted by the PPP level of the MS concerned (see Table 4.2). From a technical perspective, setting two separate minima ('per weight' and 'per stick') would inevitably translate into establishing an implicit equivalence between the two sub-categories of products, or a sort of weight-per-unit standard measure. It is important to highlight that such measure is purely conventional, not only because the size and weight of existing and potential products on the market can vary considerably, but also because the logic of the excise legislation does not strictly follow the tobacco weight but focuses mainly on consumption units, as in the case of cigarettes and, in part, of cigars and cigarillos. For operational purposes, the scenarios tested in this analysis are further articulated into three conventional equivalences: (1) the first purely reflects the actual average unit weight of HTP sticks on the market (approximately 0.3 g); (2) the second purely reflects the 'act of consumption', assuming a conventional equivalence of 1 unit = 0.7 g (which means roughly assuming that one HTP stick correspond to one cigarettes in terms of consumption unit); and finally (3) a mixed approach which combines the previous ones and consisting of an in-between 1 unit = 0.5 g equivalence.

Table 4.2 - EU minima scenarios for HTP

		Excise duty - nominal scenarios			Partial PPP
		A	**B**	**C**	**A-C**
Fixed minimum (€ / kg)		80	105	130	*Same as nominal*
Fixed minimum (€ / 1000 units)	Conversion rates per stick				*Same as nominal*
	(1) 0.3g	24	32	39	
	(2) 0.5g	40	53	65	
	(3) 0.7g	56	74	91	
Relative minimum (% of RSP)		30%	45%	55%	*Same as nominal*

➢ **OPTION 2B – HARMONISED REGIME FOR ELECTRONIC CIGARETTES**

From a market perspective, electronic cigarettes are the most important tobacco substitute products. In this sense, the establishment of a harmonised excise category for e-cigarettes[88] would represent a significant expansion of the traditional scope of the Directive. While there is quite a widespread consensus on the need for EU-level harmonisation (inter alia, to overcome the current fragmented regimes in the internal market), the concrete design of an appropriate excise category requires addressing two challenging aspects:

1) The status of ***nicotine-free liquids***. E-cigarettes are already regulated in the TPD, but nicotine-free liquids are not included there. Similarly, some of the ad hoc fiscal regimes at the MS level do not cover nicotine-free liquids. On the other hand, there is a strong rationale for including nicotine-free liquids in the scope of harmonisation, namely: (1) a comprehensive tax regime could be implemented more straightforwardly and efficiently, as there would be no need for administrations to 'test' products to verify the applicability of excise duties; (2) the taxation of nicotine-free liquids would reduce the incentive behind 'do-it-yourself' (self-mixing of nicotine-free taxed flavoured liquids with nicotine 'booster' solutions).
2) The most suitable ***tax base***. In essence, the debate is between a 'per volume' approach (i.e. taxation proportional to the ml of e-liquid) and a 'per nicotine' approach (i.e. taxation proportional to the mg of nicotine contained in the solution). The 'per-volume' approach has been adopted by all MS, although DK and SE have established two flat levels, one for e-liquids with a high concentration of nicotine and one for all other nicotine-containing ones with two exceptions. Germany had initially announced the intention to adopt a 'per nicotine' tax regime, but eventually opted for a per volume approach, which will enter into force in 2022. The 'per nicotine' approach is promoted especially by public health stakeholders on the assumption that a tax proportional to the amount of nicotine would discourage users to consume liquids with a high concentration of nicotine, which is a highly toxic, addictive substance. In practice, as discussed in Annex F.4, the current market price of e-liquids is not linked from nicotine concentration and setting EU minima to be proportional to nicotine concentration appears to be insufficient for the goal of abating this well-established market practice. So, the expected benefits of the 'per nicotine' approach would hardly materialise. Furthermore, a 'per nicotine' approach would exclude nicotine-free liquids from the scope of the tax[89], would require more burdensome procedures to verify tax declarations (laboratory tests), and would magnify the incentives behind the illicit trade of pure nicotine - a serious risk which is frequently highlighted by MS.

The key features of the proposed regime for e-cigarettes are summarised in Table 4.3 below. Further details and explanations on the rationale behind scenarios are provided in Annex F.4.

[88] In this section, any reference to the taxation of e-cigarettes refers to the consumable part (refill containers, disposable products, etc.) and never to the device.
[89] In theory, this could be avoided by taxing e-liquids both per volume and per nicotine, but this would further reduce the sensitivity of selling price to the tax, as explained in the Annex F.4.

Table 4.3 – Key features of the proposed tax regime for e-cigarettes

Definition and scope	An excise definition of e-cigarettes should build on the key elements of these products, as drawn from the review of (1) the TPD; (2) the customs classification and (3) current MS definitions (thus minimising unnecessary misalignments). There are essentially two key elements: • E-cigarette consumables are generally defined in relation to their ***intended use in an 'electronic cigarette' device***. This definition is coherent with TPD and (implicitly) with the customs classification. Regarding the device definition, some MS make reference to the relevant HS/CN code or define it in the legislation. • The second widespread element is reference to ***vapour, vaporising and inhaling as the output and the acts characterising e-cigarette*** products and consumption, as implicitly opposed to smoke and smoking. Also, the TPD refers to vapour, while the customs classification refers to 'inhalation without combustion'. Additional specifications could be needed for nicotine-free liquids. In particular, the excise category can extend to ***pre-mixed nicotine-free liquids that are ready to use***, but it cannot include flavouring and diluents (i.e. propylene glycol and vegetable glycerine) sold separately, because these products have several other undistinguishable uses.
Tax base	Based on considerations regarding implementation efficiency and coherence with MS approaches, it is suggested to apply a 'per volume' approach, i.e. a flat tax proportional to the volume of the e-liquid concerned, regardless of the nicotine concentration. However, to help MS tackle tax avoidance through 'do-it-yourself' practice, the harmonised regime should include the option of applying a higher level of excise duty to e-liquids with a high concentration of nicotine – i.e. typically, the nicotine 'boosters' that are added to shortfill nicotine-free liquids. An advisable threshold for the differentiate rate is 15 mg/ml.
Tax structure	As for tobacco products, the tax structure may consist of specific or ad valorem taxation, or a combination thereof. A minimum excise duty (MED) should be allowed.
EU excise duty minima	Regarding the minimum rates applicable to e-liquids, two possible tax levels have been tested: ***(1) EUR 0.10 per ml; and (2) EUR 0.30 per ml.***[90] These levels have been selected based on practical considerations, as they correspond to the actual tax levels applied in most EU countries[91] – and emerged as the most suitable for impact analysis from the survey of MS tax authorities. Additionally, a ***relative minimum,*** should also be applied, as an alternative condition to the fixed minimum rate per ml. Two proposed scenarios have been developed for the relative minimum, which correspond to the proposed fixed minima, i.e. (1) 20% and (2) 40%. A further scenario consists of allowing the optional application of a zero-rate regime to nicotine-free products. All scenarios have been tested with minima expressed in nominal and in partial-PPP terms.

➢ OPTION 2C – HARMONISATION OF OTHER MANUFACTURED TOBACCO AND RELATED PRODUCTS

The establishment of an excise category for other manufactured tobacco and related products has three main objectives: (1) ***pre-empting the risk of new 'borderline' products*** being developed to circumvent harmonised tax regimes; (2) ***removing the risk of substitution*** between taxed and non-taxed products, as well as possible distortion of competition caused by different regimes applied across MS; (3) identifying and regulating certain emerging products that are not covered by the TPD, thus ***reducing classification uncertainties*** and assisting with market trend monitoring . In this sense, this excise category should not only cover products already on the market, but also capture near-future developments as much as possible. Two main 'catch all' excise categories (with possible subcategories) are thereby proposed:

- **Other manufactured tobacco (OMT).** As shown in Figure 4.1, this is a residual excise category designed to capture any manufactured tobacco product which does not belong to any smoking tobacco category or to HTP. As discussed in Section 5, raw tobacco should not be included, as this might unintendedly trigger other TPD obligations (such as the traceability

[90] The scenarios proposed here build partly on the results of previous assessments (EA 2017 and EA 2019), which have been tested again via the tax and customs authorities survey.
[91] The EUR 0.10 scenario corresponds to the tax levels adopted for instance in RO, PL, EL, LT, IT and CY. The €0.30 is in line with FI and PT. Most other MS fall between these levels (EE, SE and SI).

and security features systems) that are designed for and applicable to final products. To operationalise this distinction, an explicit reference to end use and/or users can be added to the definition, as well as to objectively verifiable elements such as packaging, selling to unregistered subjects and the like. To deal with the heterogeneity of the products concerned, a two-tiered approach can be envisaged, consisting of (1) a 'catch all' ***standard regime*** covering all hypothetical OMT products that cannot be classified otherwise, and (2) ***special regimes***, for traditional 'non-harmonised' smokeless products, like chewing tobacco and nasal tobacco, building on the TPD definition and on the legacy versions of the tobacco excise Directive.[92] The standard EU minima for OMT should be the same as 'other smoking tobacco', to remove any incentives to abuse of the categorisation. Optional lower EU minima can be envisaged for the products falling under the special regimes in consideration of their marginal and declining consumption (details in Annex F.4).

- **Tobacco-related products**. The second proposed macro-category concerns tobacco-related products, i.e. smokeless products for final consumption that contain nicotine but not tobacco, which are intended for the intake of nicotine in the human body. Two regimes are proposed in this case also: (1) a 'catch all' ***standard regime*** to capture a plethora of products for nicotine intake through chewing, dissolving, sniffing, transdermal absorption, etc., with the exclusion of those falling into more specific categories and (2) a ***special regime for nicotine pouches***, which is the main emerging product in this area. The proposed regime would correspond to the OST regime. Some nicotine-containing products should be excluded explicitly from the scope of the tobacco-substitute products category. Exemptions include: (a) approved nicotine replacement therapies; (b) industrial nicotine (under heading HS/CN 2939); and (c) products containing a minimal amount of nicotine (a hypothetical threshold of 0.01 mg/ml is put forward).

➢ **ANCILLARY REVISIONS: CROSS-BORDER ACQUISITION BY PRIVATE INDIVIDUALS**

As harmonised excise goods, all products described in this section would be subject to the Horizontal Directive rules on cross-border acquisitions by private individuals. To ensure proper functioning of the internal market and prevent fraud, appropriate 'guide levels' for these products should be established under Art. 32.3, regarding the quantities that private individuals can acquire in other MS for their consumption. Table 4.4 below puts forward possible guide levels, based on tentative (and partly speculative) equivalence with traditional products. Such levels are based on the current text of Art 32 and might need to be revised in line with the outcome of the ongoing revision process.

Table 4.4 – Proposed 'guide levels' for other manufactured tobacco and related products

Product category	Proposed guide levels
HTP	Same level as cigarettes for HTP sticks (currently 800) or same level as smoking tobacco for HTP in formats other than sticks (currently 1 kg)
OMT	Same level as smoking tobacco (currently 1 kg)
E-cigarettes	100 ml (based on a conventional equivalence of 1 ml = 7 cigarettes)
Related products	Same level as smoking tobacco, plus a possible total nicotine ceiling of 2 g (based on the proposed e-cigarettes guide levels)[93]

4.3 Impact Analysis

4.3.1 Impact on excise classification and legal certainty

Any new excise definition or boundary between excise categories entails, inevitably, an increased risk of opportunistic behaviours, including: (1) the creation of new products which elude the newly created definitions; and (2) the modification of existing products aimed at meeting the conditions for inclusion in a more favourable excise category (e.g. the so-called 'borderline' products) or to otherwise mitigate the impact of the tax (e.g. via 'do -it yourself'). In this sense,

[92] As discussed in the Annex F.4, the opportunity to include oral tobacco like 'snus' as well, despite its prohibition in all MS except Sweden, have to be duly considered, as its exclusion might create regulatory loopholes and facilitate diversion.
[93] Since the proposed threshold for e-liquids is 100ml and the maximum concentration allowed in the EU is 20mg/ml, then the implicit guide level for nicotine is de facto: 100ml x 20mg/ml = 2g.

the significantly broadened scope of the Directive that is described in this section, which includes several new excise categories, will inevitably create new risks, especially regarding the 'catch all' definitions proposed. In proposing new categories, special attention has been paid to minimising the number of new categories and to removing the risk of overlapping definitions, as can be verified with the ***excise classification flow diagram*** provided in Annex F.4. Still, some of the classification criteria used in the Directive allow some room for interpretation: (1) the 'smokability' criterion used to distinguish smoking products from other manufactured products; (2) the features characterising a 'prepared for consumption' product (as opposed to an intermediate product); and (3) precisely which criteria establish 'intended use'. To help address issues that might emerge in the future with these classification criteria, laying down technical details (e.g. packaging, technology specifications, etc.) in a separate implementing act, which can be more easily updated when required, is recommended.

On the other hand, there are also ***clear advantages in terms of administrative and legal certainty*** associated with the proposed options. These benefits are essentially threefold: (1) limiting issues with ***classification of a certain product for excise purposes***, hence reduced risk of interpretation disparities; (2) improved ***monitoring*** of new products on the market and their consumption trends; and (3) reducing the incentive to develop and place ***'borderline' products*** on the market, because the advantages of non-excise products vis-à-vis excise products would be removed. A more detailed elaboration of these impacts is provided in Annex F.4.

4.3.2 Market Impacts

The market impacts of the proposed policy options have been quantified through the same approach used for traditional tobacco products (see Section 3.3.1). The examined impact areas include (1) the ***impact of EU minima on excise duties*** applied in MS; (2) the effects of tax increases on ***price levels***; and (3) the estimated ***reduction in demand*** connected to price increases. Compared to cigarettes, the data on new products are less robust and there is no conclusive literature on market dynamics. For impact simulation purposes, some fundamental parameters, such as elasticity coefficients, have been drawn from the available independent literature. However, market simulations must be taken as indicative, because in most cases there is no 'precedent' that can be used as a benchmark for prediction.

- **HEATED TOBACCO PRODUCTS**

The effects of the proposed EU minima scenarios on MS excise duty levels are reported in Table 4.5. The simulation is based on the application of the excise duty 'per unit', as the near totality of HTP currently on the market would fall under this regime. In this sense, the three fixed minimum scenarios (A, B and C in Table 4.2) are further articulated in three variants, each based on the weight-to-unit conventional equivalence considered, i.e. (1) 0.3 g per unit (actual weight approach); (2) 0.5 g per unit (mixed approach); and (3) 0.7 g per unit (consumption unit approach). Furthermore, the impact analysis involved the application of EU minima both in nominal and PPP-adjusted terms. In total, 18 scenarios have been examined (see Annex F.4). The results of the simulations can be summarised as follows:

- HTP is taxed in all MS where it is marketed, but excise rates vary greatly, from EUR 86 to EUR 673 per kg (EUR 164 on average), which translates into EUR 24 to EUR 189 per 1,000 units (EUR 48 on average) for the most popular products on the market. The proposed scenarios result in a fixed minimum condition ranging from EUR 24 to EUR 91 per 1,000 units. The lowest scenario (A1) would have no effect on current MS tax levels, the highest scenario (C3) would affect all but two MS, imposing an increase exceeding 100% in some MS. The intermediate scenario (B2) roughly corresponds to the average excise duty level currently applied in MS (EUR 49 per 1,000 units). Under this scenario, 18 MS would have to increase their current excise duty levels, the current average excise duty level in MS would increase by 31%, and the lowest excise duty level would double. PPP-adjusted minima would have similar but more balanced effects, moderately mitigating extreme cases.
- The impacts on excise duty levels applied in MS is expected to influence the selling price of HTP products and, possibly, the demand and the value of the market. This part of the analysis

requires setting some assumptions, since there is limited economic literature focusing specifically on the HTP demand function. Firstly, it has been assumed that the price increase would be proportionally lower than the tax increase or– in other words – that the manufacturers would absorb part of the tax. This seems coherent with empirical observations (however qualitative) of tax and price dynamics in some MS where tax levels have recently increased but the price levels have not. Overall, excise levels have increased by 16% between 2017 and 2020, while prices have only increased by less than 10%.[94] Furthermore, the incidence of excise duty on price levels can vary significantly between MS (between 15% and 30%, excluding outliers), suggesting producers have room to adjust commercial margins. Secondly, it has been assumed that the demand elasticity for HTP is the same as for e-cigarettes (see the next section. Keeping these caveats in mind, it has been estimated that the average price level of HTP would increase from approximately EUR 231 (2020) to between EUR 242 and EUR 271 per 1,000 units. The rate of increase would vary greatly across MS. In the intermediate scenario (B2), the maximum price increase would be 10%, while the maximum price increase would be 26% in the most extreme scenario (C3). The application of PPP-adjusted minima would partly mitigate extreme situations.

- The impact on demand would be partly magnified by the elastic nature of these products. In the intermediate scenario (B2), demand is expected to go down by approximately 1.0 billion units (i.e. 5% of the current sales level). In the most extreme scenario, a market drop of 21% is anticipated (18% in the PPP-adjusted scenario). Considering that over the last two years the HTP market has been growing at an annual rate of 80%, the anticipated impacts would translate into a deceleration rather than a decline in the strict sense. The reduction in the value of sales (including taxes) would correspond to approximately EUR 200 million in the B2 scenario and up to EUR 1.0 billion in the C3 scenario. These estimates regard only HTP consumables. Assuming that device sales would decline proportionally, the economic loss would be about 15% higher.

Table 4.5 – Estimated market impact of proposed EU minima for HTP

	EU minima		ED level			MS affected	Price level			Change in demand		
			nominal		PPP	(PPP)	nominal		PPP	nominal		PPP
	F	R	min	avg	avg	#	min	avg	avg	Unit (bn)	in %	in %
Baseline			*24*	*54*	*49*							
A1	24	30%	24	55	55	0	150	242	242	0	0%	0%
A2	40	30%	40	58	57	9 (8)	155	244	243	-0.3	-2%	-1%
A3	56	30%	45	66	65	18 (18)	158	249	249	-1.2	-6%	-5%
B1	32	45%	32	56	56	4 (4)	150	242	242	-0.1	-1%	0%
B2	53	45%	53	65	63	18 (17)	164	248	247	-1.1	-5%	-4%
B3	74	45%	68	81	79	25 (24)	174	260	259	-2.8	-13%	-11%
C1	39	55%	39	58	57	9 (6)	154	244	243	-0.3	-2%	-1%
C2	65	55%	65	74	72	21 (23)	172	255	254	-2.0	-10%	-8%
C3	91	55%	83	97	95	25 (25)	185	271	270	-4.4	-21%	-18%

***Legend**: ED=excise duties; F=fixed minimum condition; R=relative minimum condition; ED=excise duties; M=million; min, avg, max=minimum, average and maximum values registered among the 27 MS.*
***Notes:** Scenarios (A, B and C) are defined in Table 4.2. For each scenario, three variants are presented corresponding to the following weight-to-unit equivalence: (1) 0.3 g = 1 stick; (2) 0.5 g = 1 stick; (3) 0.7 g = 1 stick. The estimated impacts are based on the application of a 'per unit' excise duty structure (in line with the near totality of the current EU market). For tax-driven price increases, a pass-through rate of 0.7 is assumed. The impact on demand is calculated assuming an elasticity coefficient of -1.36. All monetary figures are expressed in EUR per 1,000 units.*

Albeit not formalised as a policy option95, a further test has been carried out that consisted in ***applying to HTP the same regime as cigarettes*** (and namely the Scenario B described in

[94] These figures are partly influenced the different market coverage over time.
[95] In the interim phases of the study, the possibility of treating HTP as cigarettes was considered. The reference was the Swedish excise rules, for which HTP sticks are subject to the same excise duty of ordinary cigarettes. The application of this approach to the EU legislation was dropped at a later stage due to a series of legal and implementation difficulties Firstly, the inclusion of HTP in the cigarette excise category would require a revision of the 'smokability' concept, which is currently a central element for the definition of cigarettes. However, removing or modifying this concept would generate classification uncertainty between cigarettes and smokeless products and the risk of legal issues and disputes. Furthermore, since this regime could be arguably used for HTP sticks but it would hardly apply to other HTP products

Table 3.1). Full results are provided in Annex F.4. In summary, it can be expected that all but two MS would be affected and the increase of excise duty levels in MS would be substantial: on average, MS will have to increase their current rates by more than 200% (up to nearly 600% in one country). The price increase would be comparatively smaller, as it has been assumed that manufacturers may absorb part of the tax effects. Overall, a sales drop of nearly one-third of the current market (i.e. 6.5 billion units) can be expected. In EUR, this corresponds to a sales loss of approximately EUR 1.4 billion (at current prices). These estimates need to be considered as indicative, because (1) strong assumptions were set regarding the manufacturers' behaviour and demand elasticity, and (2) the reliability of the model declines vis-à-vis large variations of the current market conditions (i.e. large tax level increases).

➢ **ELECTRONIC CIGARETTES**

The analysis of market impact required a set of assumptions regarding market composition, for which details and underlying evidence are provided in Annex F.4. In summary, it has been estimated that: (1) nicotine-free e-liquids account for 26% of consumption; (2) high-strength nicotine products (18 mg/ml) account for 28% of the total – a large part of which consists of 'nicotine boosters' (i.e. the high-strength neutral nicotine solution that is added to 'shortfill' containers); (3) the EU average selling price of e-liquids is nearly EUR 0.4 / ml, but ready-to-use nicotine-containing products are generally more expensive than the products used for 'do-it-yourself' (approximately EUR 0.5/ml vis-à-vis EUR 0.3/ml, on average); (4) per capita consumption can be roughly estimated at approximately 2 ml/day per consumer.

Table 4.6 – Estimated market impact of proposed EU minima on e-cigarettes

Scenarios		ED increase		Affected MS	Price level		Impact on the demand	
		avg	max	#	avg	max	litres (M)	%
Baseline					0.39	0.69	5.4	
All products	**A**	0.04	0.09	19	0.42	0.69	4.6	-14%
	B	0.11	0.19	27	0.48	0.72	3.3	-38%
Except nicotine-free	**A**	0.03	0.07	13	0.41	0.69	4.8	-10%
	B	0.08	0.13	26	0.46	0.72	3.9	-28%
Higher rate for high-strength products*	**A+B**	0.05	0.12	21	0.43	0.69	4.3	-20%

***Legend**: ED=excise duties; avg, max=average and maximum values registered among the 27 MS.*
***Note:** Tax level Scenarios A and B are defined in Table 4.3. For the proposed variant (*) it has been assumed that ordinary products are taxed according to Scenario A, while high nicotine strength products (with any concentration higher than 15 mg/ml) are taxed according to Scenario B. For tax-driven price increases, a pass-through rate of 0.7 is assumed. The impact on demand is calculated assuming an elasticity coefficient of -1.36. All monetary figures are expressed in EUR per ml.*

The market impact simulations developed under these assumptions are reported in Table 4.6. Three observations stand out:

- The EU minima envisaged under Scenario A (EUR 0.1/ml or 20% of the selling price) would lead to a moderate price increase, which would be more marked if also applied to nicotine-free products (+11% on average). The effects would regard especially MS with no tax regimes currently in place. Overall, a decline of 14% in sales over 2020 levels is anticipated.
- The impact of Scenario B (EUR 0.3/ml or 40% of the selling price) would be more substantial. The average price of standard liquids would increase by 24%, and overall, consumption is expected to go down by approximately 38%. The impact on high-strength liquids would be less marked because the relative minimum condition would be easier to meet for less expensive products like 'nicotine boosters'.

(pods, capsules, hybrid products etc.), this solution might lead to a disparity of treatment between analogous products, hence a malfunctioning of the internal market. Finally, the establishment of a separate ad hoc category for HTP seemed more advantageous regarding the monitoring of market trends and the flexible adaptation of tax regimes to future technological developments.

- The effects of applying a higher rate to high-strength liquids seem mixed. For the simulation, it has been assumed that high-strength products (with nicotine concentration higher than 0.15 mg/ml) would be subject to Scenario B, while the rest to Scenario A. In this scenario the price advantage of 'do-it-yourself' would indeed go down, but only by a few percentage points.

➢ **OTHER MANUFACTURED TOBACCO AND RELATED PRODUCTS**

For the other products examined in this section, market data are not sufficient for carrying out a quantitative assessment of impacts. Therefore, the estimated effects of harmonisation on price levels and market sales are based on extrapolations from a few markets and qualitative information. The analysis is limited to two main categories of products: (1) smokeless tobacco products, including chewing tobacco (traditional and modern) and nasal tobacco, but it excludes 'snus' and oral tobacco that is not allowed in the EU; and (2) nicotine pouches.

- ***Smokeless tobacco products*.** Baseline estimates have been elaborated, combining MS authorities' feedback on the targeted survey, Eurobarometer estimates on user's prevalence, market intelligence sources and desk research of online outlets. On this basis, it has been estimated that sales volume totalled 1,280 tonnes in 2020, corresponding to EUR 290 million and approximately 600,000 users across the EU. If all these products were taxed at the same level of OST, an average price increase from 20% to 40% (depending on the scenario) is expected, along with a decline of consumption of the same order of magnitude. Adopting a special, lower excise duty regime for chewing and nasal tobacco, impacts would be more limited, with an indicative decline in consumption of 5%.
- ***Nicotine pouches.*** The baseline market situation for nicotine pouches has been estimated using the same triangulation of sources described for smokeless tobacco products. There is limited information on the number of nicotine pouches sold in the EU in 2020, so figures are only indicative, but a reasonable estimate is 2,100 tonnes, worth more than EUR 0.5 billion. The impact of taxation would possibly increase prices between 20% and 40% and reduce the demand by 15% to 30%. Further details on simulations are provided in Annex F.4.

4.3.3 Impact on excise duty revenues

The application of EU minima to the new product categories described in this section would see an increase in MS excise revenues ***between approximately EUR 500 and EUR 1,500 million*** (depending on the scenarios applied). In relative terms, this represents an increase lying between 0.6% and 1.8% of current aggregated excise duty revenues from tobacco products.

Table 4.7 – Estimated impact of new products on tax revenues (EUR million/year)

	Baseline	Direct revenue from introducing /increasing excise duty levels*		Indirect impact from reduced substitution of cigarettes**	
Product		**Lowest ED scenario**	**Highest ED scenarios**	**Lowest ED scenario**	**Highest ED scenarios**
HTP	938	938	1,508	0	693
E-cigarettes	226 (35)***	390	775	1,088	3,787
Smokeless products	-	23	102	-	-
Nicotine pouches	-	108	184	-	-

Note: *(*) For details on the impact associated with each specific scenario, see Annex F – Appendices. (**) Indirect impacts are virtual effects that may derive from reduced substitution of cigarettes with new products. Substitution causes 'virtual' foregone revenue for MS, because HTP and e-cigarettes are taxed less than cigarettes (or not taxed at all). The introduction or increase of excise duties levied on these products would mitigate such substitution, hence foregone revenues by the amount indicated in the Table. (***) The figure in parentheses reflect the estimated actual revenue collected. Indirect impacts from the substitution of conventional cigarettes have been estimated assuming that where HTP or e-cigarettes are unavailable, consumers will turn to conventional cigarettes. For e-cigarettes it has been assumed that 1 ml of e-liquid = 7 cigarettes.*

Regarding HTP and e-cigarettes, additional indirect revenue effects can be expected from reduced substitution. The 'virtual' foregone revenue associated to switching from cigarettes to new products can be roughly estimated at around EUR 10 billion (i.e. the difference between the amount of revenue collected on new products and the theoretical amount that would be collected on the equivalent quantity of cigarettes). By reducing the consumption of new products, hence substitution, it can be expected that this 'virtual' revenue loss would go down approximately by EUR 1.0 to EUR 4.5 billion.

4.3.4 Regulatory costs and savings

- **ECONOMIC OPERATORS**

The proposed introduction of new harmonised tax categories would affect ***regulatory costs*** – i.e. administrative and substantive compliance costs – incurred by economic operators. These costs would primarily be related to the application of the general excise arrangement obligations, such as the need to obtain authorisation, to fill-in tax declarations, to establish and operate a tax warehouse (where required), to adopt record-keeping tools and procedures, to install and operate software for EMCS management, and to issue financial guarantees where required by the MS of operation.

The approach developed to estimate the impacts associated with these obligations is based on the *Standard Cost Model* methodology. Its specifications and limitations are described in Annex A. A summary of the estimated impacts, split by obligation types and sector, is provided in Table 4.8. The regulatory costs in the table are 'incremental' costs, which, when summed, add up to the regulatory costs already incurred by economic operators. Estimates are largely based on benchmarks which were calculated in previous impact assessments of the Horizontal Directive[96] and should therefore be considered to be indicative. For completeness, the estimation also includes the costs of financial guarantees that MS can require on duty-suspended products and movements. Financial guarantees are envisaged in the EU general excise duty arrangements, but their amount (and, possibly, waivers) are established by MS. In this sense, the corresponding costs are only indirectly attributable to the policy revision concerned.

Overall, estimated incremental costs for the whole new product sector would amount to ***EUR 36.0 million*** in the first year and ***EUR 34.2 million*** in each subsequent year. The bulk of additional costs would regard the e-cigarette segment, since HTP operators can be considered as already being compliant with the majority of obligations (given that this segment consists exclusively of TTC). On the other hand, the other manufactured tobacco segment (including related products) is small and largely controlled by TTC (especially the nicotine pouch segment). For the same reason, most of the estimated additional costs would be borne by SMEs, especially those based in countries where no national tax regimes are currently in place. The additional average cost per EO would amount to approximately ***EUR 17,000 per year***. Were additional costs passed on to consumers, the retail price could be expected to increase by a further 1% compared to the levels estimated in the market impact analysis section.

Table 4.8 – Overview of regulatory costs for new products' economic operators

Obligations	Brief description	Incremental costs, aggregated by sector (EUR million)
Registration in the excise system	Operators must be authorised by the competent MS authority according to the relevant ED profile (warehouse keepers, registered or certified consignor/consignee). Registration for duty-suspension operations is deemed more costly. The same holds true with large companies v. SMEs. HTP operators are assumed to be registered already, and thus compliant	HTP = nil OMT/RP = 0.3 Ecig = 1.5 **Total = 1.8** One-off costs

[96] Namely: (1) Ramboll, "Evaluation of current arrangements for the holding and moving of excise goods under excise duty suspension", for DG TAXUD, 2015 (hereinafter "Ramboll 2015"), and (2) CASE, "Study contributing to an Impact Assessment on Council Directive 2008/118/EC concerning the general arrangements for excise duty", 2017 ("CASE 2017"). Additionally, some estimates are based on the e-cigarettes EOs survey conducted under the EA 2019 study.

Obligations	Brief description		Incremental costs, aggregated by sector (EUR million)
Set up / operate a tax warehouse	This obligation has two main costs components: (1) the investment to set up appropriate premises (calculated as annual depreciation); and (2) recurrent costs for operations, including keeping registers of in/out movements. HTP operators are assumed to be compliant already.		HTP = nil OMT/RP = 4.6 Ecig = 26.3 **Total = 30.9** Recurrent costs
Holding/ storing guarantee	It is connected to authorised warehouse keepers and is related to the size of operations (the amount of duty suspended on the excise good held). The amount is fixed by MS, and it is often higher for small Eos and newly registered players. Costs depend on excise duty levels (intermediate scenarios were used in the simulation).		HTP = negligible OMT/RP = 0.03 Ecig = 0.05 **Total = 0.08** Recurrent costs
EMCS system	This obligation has two main cost components: (1) investment in an IT system; and (2) recurrent costs for operations. MS can waive its use for domestic movement, but, for analytical purposes, it is assumed that no waiver is established. Transaction costs are seen to include book-keeping (for inspections), weighing of products, and all EMCS-related procedures. HTP operators are assumed to be compliant already.		HTP = nil OMT/RP = 0.3 Ecig = 2.9 **Total = 3.2** Recurrent costs
Guarantee on movements	Guarantees on movements under duty suspension are generally calculated on the potential duty on average weekly movements. In the analysis, we assume all MS apply this requirement. Costs depend on excise duty levels. (Intermediate scenarios have been used in the simulation.)		HTP = negligible OMT/RP = 0.03 Ecig = 0.05 **Total = 0.08** Recurrent costs
	GRAND TOTAL	**First Year:** HTP = negligible OMT/RP = 5.2 Ecig = 30.8 **Total = 36.0**	**Following years:** HTP = negligible OMT/RP = 4.9 Ecig = 29.3 **Total = 34.2**

Legend: *Eos=economic operators; HTP=costs for Eos involved in the manufacturing/importing of heated tobacco products; Ecig=costs for EO involved in the manufacturing/importing of e-cigarette consumables; OMT/RP= costs for Eos involved in the manufacturing/importing of other manufactured tobacco and/or related products.*
Notes: *one-off costs = costs applicable to the first year only; recurrent costs = costs incurred annually.*

- **PUBLIC AUTHORITIES**

The introduction of harmonised regimes for the new products examined in this section would require some adjustments in the legal and administrative frameworks for national excise duty. The relevant items that are worth exploring include both the ***compliance costs*** required by extending the scope of excise duties to products which were not previously covered, and the ***enforcement costs and cost savings*** connected to monitoring and prosecution of abuses.

The regulatory costs associated with national tax regimes can provide a useful picture of the impacts that can be expected from the adoption of similar regimes at the EU level, i.e. in countries where the products considered are still not taxed. As the survey of tax authorities revealed, the regulatory costs incurred were higher for e-cigarettes than for HTP. This seems due to various reasons: (1) e-cigarette Eos are far more numerous than HTP ones, (2) HTP manufacturers are already in the excise system (as conventional tobacco manufacturers), and (3) controlling cross-border irregular flows is intrinsically more difficulties for e-liquids. On the other hand, in the view of MS authorities, ***the benefits of harmonisation would clearly outweigh the risks***. The perceived benefits regard aspects that are directly connected with administration and enforcement of the excise system, specifically: the reduction of uncertainties around product definition and – to a lesser extent – the disparities in interpretations of cross-border movements, as well as improved monitoring, and facilitating, detecting and tackling irregularities and fraud.

Table 4.9 provides the results of a hypothetical quantification of the incremental regulatory costs incurred by MS with the extension of certain holding and movement rules to operators and

products which are not currently subject to those provisions. Where national tax regimes are already in place for new products, it has been assumed that additional regulatory costs would be negligible. The results indicate that total additional costs would amount to between ***EUR 4.0 and EUR 10.0 million*** in the first year and around ***EUR 0.7 million*** in each subsequent year. The assumptions and the details behind the estimation are provided in Annex F.4.

Table 4.9 – Overview of additional regulatory costs for MS authorities

Obligation	Description / benchmarks		Aggregated incremental costs (EUR million)
Registration of economic operators	This task regards (1) the one-off issuance of authorisations, including checks and audits on petitioners, and (2) annual renovation costs. Estimates reflect the number of new economic operators that will have to register.		One-off costs: **1.5** Recurrent costs: **0.4**
Movement control	MS will have to update the IT infrastructure to include new products, and issue guidance and/or carry out staff training in connection to it. An upper benchmark of EUR 300,000 (one-off) per MS on average can be drawn from the recent assessment of the costs for introducing duty-paid commercial operations into EMCS. A lower benchmark of EUR 100,000 per MS was offered by internal EU experts. In addition, recurrent costs linked to the increased number of EMCS transactions must be factored in.		One-off costs: between **2.7** and **8.1** Recurrent costs: **0.3**
	GRAND TOTAL	**First year:** between EUR 4.5 and EUR 9.9 million	**Following years:** EUR 0.7 million

4.3.5 Public Health and Environmental Impacts

No tobacco product has been conclusively proven to be safe and risk free. Epidemiological evidence, however, requires a long series of data to build up, and so the debate is still open and ongoing regarding the comparative risks of these new products and if and how this should eventually impact their taxation. For instance, for the time being there is no such thing as an international consensus on how taxation of e-cigarettes should be driven by public health considerations, now how related costs and benefits should be weighted; the related scientific debate is still ongoing. The Commission has requested SCHEER to provide its scientific opinion on the subject and this has recently been released[97]. Moreover, some very preliminary principles in this respect have just been begun to come out at the WHO level[98].

Much in the same vein, there is little sign of consensus on the fact that heated tobacco products should benefit from privileged taxation because of their lower public health impact, so these considerations have not been incorporated into the analysis here[99] or used to determine in any

[97] The Commission has recently commissioned a scientific opinion on electronic cigarettes from the Scientific Committee on Health, Environmental and Emerging Risks (SCHEER). The final SCHEER opinion - adopted in April 2021 - found a moderate to strong risk of adverse health effects for heavy users of e-cigarettes, adding that more research and data are needed to estimate long-term effects, as these products are relatively new. SCHEER also concluded that there is convincing evidence that e-cigarettes play a role in the initiation of smoking, especially for young people, and that, conversely, the evidence that they can help smokers to quit is weak. See: https://ec.europa.eu/health/sites/default/files/scientific_committees/scheer/docs/scheer_o_017.pdf

[98] In its recent report on the global tobacco epidemic, for the first time the WHO has presented new data on electronic nicotine delivery systems, such as 'e-cigarettes'; the report also reiterates concern that children who use these products are up to three times more likely to use tobacco products in the future. The WHO therefore recommends governments implement regulations to prevent non-smokers from starting to use e-cigarettes, to avoid renormalization of smoking in the community, and to protect future generations. However, the then the report does not yet provide operational elements to identify what levels of taxation would be deemed sufficient to achieve this objective. WHO, "WHO report on the global tobacco epidemic 2021: addressing new and emerging products". July 2021. https://www.who.int/teams/health-promotion/tobacco-control/global-tobacco-report-2021

[99] According to the WHO, currently there is insufficient evidence to conclude that HTPs are less harmful than conventional cigarettes. In fact, there are concerns that while they may expose users to lower levels of some toxicants than conventional cigarettes, they also expose users to higher levels of other toxicants. It is not clear how this toxicological profile will translate into short- and long-term health effects. See *WHO Heated Tobacco Products a Brief*, 2020. https://www.euro.who.int/__data/assets/pdf_file/0008/443663/Heated-tobacco-products-brief-eng.pdf

way the ideal taxation of HTP. So the analysis of the public health impacts of these new products has not been developed further here.

There is a notable paucity of information on the environmental impacts of electronic cigarettes and HTP[100]. It has been claimed that because devices are composed of low-value but sophisticated electronics, the ***environmental costs from manufacturing e-cigarettes may be much more severe*** than those of ordinary cigarettes per unit and this might represent a public health concern per se worth researching in more detail[101].

4.4 Comparison of scenarios

This section summarises the results of the above analysis in comparative terms. For each policy option, synthetic ratings and judgments are provided (Table 4.11), which reflect the expected impact on a set of relevant policy objectives. Impact areas that are not marginally affected are not displayed. The policy change options regard different products and are not mutually exclusive. Where the policy options include alternative scenarios, the expected differentiated impacts are reported (see Table 4.10 for a summary of considered scenarios). Finally, a brief reference to main risks and implementation challenges has been added where relevant. Further details on who will be affected and how, and a review of the proportionality of the proposed measures are provided in Annex F.4.

Table 4.10 Summary of change options and scenarios considered

<table>
<tr><th></th><th></th><th colspan="5">Option 3A – Heated tobacco products</th><th colspan="3">Option 3B – E-cigarettes</th><th colspan="5">Option 3C – Other manufactured tobacco and related products</th></tr>
<tr><td rowspan="6">EU minima</td><td rowspan="3">Fixed</td><td>Scen.</td><td>CR</td><td>A</td><td>B</td><td>C</td><td>Scen.</td><td>A</td><td>B</td><td></td><td colspan="2">OMT</td><td colspan="2">RP</td></tr>
<tr><td>Kg</td><td></td><td>80</td><td>105</td><td>130</td><td rowspan="2">€/ml</td><td rowspan="2">0.1</td><td rowspan="2">0.3</td><td>Scen.</td><td>A</td><td>B</td><td>A</td><td>B</td></tr>
<tr><td>1,000 unit</td><td>0.3g</td><td>24</td><td>32</td><td>39</td><td>Std</td><td>As OST</td><td>n/a</td><td>n/a</td><td>n/a</td></tr>
<tr><td></td><td>0.7g</td><td>56</td><td>74</td><td>91</td><td></td><td></td><td></td><td>Sp</td><td>As OST</td><td>€22/kg</td><td>As OST</td><td>As OST</td></tr>
<tr><td rowspan="3">Rel</td><td colspan="2">Scen.</td><td>A</td><td>B</td><td>C</td><td>Scen.</td><td>A</td><td>B</td><td></td><td colspan="2">OMT</td><td colspan="2">RP</td></tr>
<tr><td colspan="2"></td><td>30%</td><td>45%</td><td>55%</td><td></td><td>20%</td><td>30%</td><td>Scen.</td><td>A</td><td>B</td><td>A</td><td>B</td></tr>
<tr><td colspan="2"></td><td></td><td></td><td></td><td></td><td></td><td></td><td>Std</td><td>As OST</td><td>n/a</td><td>20%</td><td>40%</td></tr>
<tr><td>Variants</td><td></td><td colspan="5">V1: Fixed min. in partial PPP terms</td><td colspan="3">V1: Fixed min. in partial PPP terms
V2: No min. on nicotine-free liquids
V3: Higher rates for high-strength nicotine liquid</td><td colspan="5">V1: Fixed min. in partial PPP terms</td></tr>
</table>

Legend: *Scen.: Scenario; CR: weight-to-unit conversion rates (for HTP); Fixed: fixed minimum; Rel: relative minimum; Std: standard regime; Sp: special regime; OMT: other manufactured tobacco; RP: related products; As OST: same minima scenarios as 'other smoking tobacco'; V: variant of the policy option.*

Table 4.11 – Comparison of options and scenarios for the harmonisation of new products

Key objective	No change	Policy change	Rationale, sensitivity across scenarios, and risks
Option 2A – Harmonised regime for heated tobacco products			
Improved harmonisation of fiscal regimes	-2	+2	• Harmonisation would eliminate current fragmentation and disparities in MS' fiscal approach to HTP
Improved legal certainty	0	+1	• An appropriate HTP excise definition would remove the risk of legal and classification uncertainties between HTP and smoking products • Moderate risk that unfit terminology encourages 'borderline' products
Reduction in tax-driven substitution	-1	A: -1 B: 0 C: +1	• The introduction of HTP EU minima would reduce the tax gap between HTP and cigarettes, hence the tax incentive behind substitution. Impact correlated to EU minima levels
Improved market functioning and competition	0	A,B: 0 C: -1 V1: +1	• The highest increase scenarios (Sc. C, under the consumption unit approach, 1 stick= 0.7g) is associated with a possible demand drop exceeding 30% in some MS

[100] The seminal 2017 WHO report, *Tobacco and its environmental impact* maintained that, at that time, there was almost no data available about the environmental impacts of the manufacturing of e-cigarettes and smokeless tobacco.
[101] Yogi Hale Hendlin, "Alert: Public Health Implications of Electronic Cigarette Waste". American Journal of Public Health 108, 1489_1490, 2018

Key objective	No change	Policy change	Rationale, sensitivity across scenarios, and risks
			• The partial-PPP approach would smooth extreme market impacts
Reduction in MS foregone revenues	-1	A: -1 B: 0 C: +1	• Increased revenues expected from both increased excise duty rates and decreased substitution
Reduction in regulatory burden	0	0	• Moderate burden increase for MS authorities, likely offset by the legal and administrative benefits of harmonisation. • Eos can be assumed to already be compliant with excise duty rules
Coherence with public health goals	-1	+1	• Harmonisation of fiscal regimes for HTP would align with international public health policy orientations on the matter. However, the debate is still open on the best approach to it.
Option 2B – Harmonised regime for e-cigarettes			
Improved harmonisation of fiscal regimes	-2	+2 V2,3: +1	• Harmonisation would eliminate the current fragmentation and disparities in MS' fiscal approach to e-The flexibility of proposed variants 2 and 3 may risk translating into persistent differences across regimes
Improved legal certainty	0	+1	• An appropriate e-cigarette definition would remove the risk of legal and classification uncertainties among new products
Reduction in tax-driven substitution	-1	A: +1 B: +2	• EU minima would reduce the tax gap between e-cigarettes and traditional tobacco products, hence the tax incentive behind substitution. Impact correlated to EU minima levels.
Reduction in illicit trade	-1	+1	• Harmonisation and excise duty rules would help reduce tax avoidance • Moderate enforcement risks, especially regarding industrial nicotine smuggling
Reduction in MS foregone revenues	-1	A(V2): 0 B(V3): +2	• Increased revenues expected from higher excise duty rates, and reduction in tax avoidance • Variants V3 more effective against 'do-it-yourself', but not against its most radical versions
Reduction in regulatory burden	0	-1	• Moderate increase in burden for MS authorities, likely offset by the legal and administrative benefits of harmonisation. • Moderate increase in burden for Eos, which can occasionally be significant for smaller, EU-based operators
Improved market functioning, SME competitiveness	0	-1 (V2: 0)	• Mixed impacts on national markets and frameworks, depending on starting condition, which would be partly minimised by V2. • Sector still dominated by SMEs, which would be less capable overall to absorb cost increases than large companies.
Coherence with public health goals	-1	+1	• Harmonisation of fiscal regimes for e-cigarettes would align with international public health policy orientations on the matter. However, the debate is still open on the best approach to it.
Option 2C – Harmonisation of other manufactured tobacco and related products			
Improved legal certainty	0	+1	• 'Catch all' excise categories for other manufactured tobacco and related products will help prevent the risk of 'borderline' products eluding the broadened scope of the legislation • Moderate risk that the increased complexity of the system translates into (minor) issues of classification uncertainties
Reduction in tax-driven substitution	-1	+1	• EU minima would reduce the tax gap with smoking products hence the tax incentive behind substitution (especially for nicotine pouches). • Limited risk of tax-driven substitution under Sc. B for OMT
Reduction in regulatory burden	0	-1	• Moderate increase in burden for MS authorities, likely offset by the legal and administrative benefits of harmonisation • Large Eos can be assumed to already be compliant with excise duty rules, while smaller ones would incur a moderate increase in burden
Improved market functioning, SME competitiveness	0	A: -1 B: 0	• Sector still dominated by SMEs, which would be less capable overall to absorb cost increases than large companies • Moderate risk of substantial market effects on residual, traditional smokeless products (less marked under Sc. B)
Improved market monitoring	-1	+1	• Harmonised categories would help monitor market trends
Coherence with public health goals	-1	+1	• Harmonisation of fiscal regimes for smokeless products would align with international public health policy orientations on the matter.

***Legend**: **+2** = major positive effect; **+1** = moderate positive effect; **0 =** no effect or neutral impact; **-1 =** moderate negative effect; **-2** = major negative effect. **Note:** The 'key objectives' relate to different policy aspects which cannot be combined into an aggregated rating. In this sense, synthetic judgments are also not intended for being added up.*

5. HARMONISATION OF TAX REGIMES FOR RAW TOBACCO

5.1 Policy options

➢ **GENERAL OBJECTIVES OF THE POLICY REVIEW**

The policy measures presented in this section have a twofold purpose: (1) to enhance monitoring and control of the raw tobacco[102] supply chain, in order to facilitate the fight against illicit manufacturing and trade in the EU; and (2) to resolve uncertainties and disparities in interpretation across MS of the demarcation between manufactured tobacco products and raw tobacco for excise purposes. The formulation of the proposed policy options has been informed by a series of criteria and considerations which can be summarised as follows:

- The proposed measures are ***not intended to generate tax revenues directly*** from genuine intermediate operators and any double taxation risk should be avoided.
- These measures should prove effective in ***helping tackle illicit manufacturing,*** as the intended benefits of the policy revision consist of a reduction of tax fraud.
- The focus of the proposed reform is on ***extending to raw tobacco the holding and movement control measures*** envisaged in the EU excise duty legislation and, specifically, applying the ***EMCS system*** to cross-border movements. Alternative approaches requiring the adoption of additional legal instruments and/or the establishment of new ad hoc administrative tools emerged as being poorly viable and have been discarded.
- As suggested in the 2020 Council Conclusions, the proposed measures build on the ***legal and administrative instruments*** for raw tobacco control already in place in the MS.

Two separate actions have been identified and assessed. The first consists of creating a ***new suitable excise duty regime for raw tobacco*** for the purpose of monitoring movements and helping prevent diversion to illicit channels. The second consists of ***revising the definition of smoking tobacco*** provided in Article 5.1 of the Directive, also taking into account the possibly broadened scope of the Directive presented in Section 4. These two options are presented separately but should be understood as complementary and not mutually exclusive.

➢ **5.2.1 OPTION 3A – ESTABLISHMENT OF A NEW EXCISE CATEGORY FOR RAW TOBACCO**

'Raw tobacco' denotes a product that does not fall into any of the harmonised manufactured-tobacco categories of the excise legislation, as defined in Articles 2-5 of the Directive. This includes a variety of products, which come from various phases of the supply chain, from green tobacco (the harvested leaf) to heavily processed intermediate products, like reconstituted tobacco. To cope with the heterogeneity of the products concerned, in most fiscal national frameworks, raw tobacco has been defined in contrast with the existing product categories.[103] In practice, ***raw tobacco is any form of tobacco that is neither a live plant nor a manufactured tobacco product***. The same approach should be applied in establishing a harmonised excise duty category at the EU level, as this would have two main advantages: (1) it facilitates complete sealing of the supply chain (every tobacco product not included in one of the existing categories would automatically fall into this new category); and (2) it adapts more easily to different national contexts and local supply-chain and markets specificities.

The new category would require drawing two boundaries, as illustrated in the diagram below. The ***demarcation line with manufactured tobacco products*** would follow from their definitions, as raw tobacco would be defined in relation and 'as opposed' to them. The other boundary would be sensitive and complicated to draw, as it would determine when and how tobacco would become an excise good, i.e. at which stage of the farming process ('green' leaf,

[102] In this Study, the 'raw tobacco' concept encompasses several types of tobacco that are not suitable nor conditioned for final consumption, including agricultural produce (e.g. the harvested leaf), first-processed tobacco (and by-products) and second-processed tobacco (e.g. 'reconstituted tobacco'). In this sense, the term 'raw tobacco' aims to designate a wider range of products than the term 'unmanufactured tobacco', which is currently used in the customs nomenclature.
[103] For a comprehensive review of Member States' definitions of raw tobacco, see Annex E.3.

cured tobacco etc.).[104] The approach proposed here envisages that the new category would cover tobacco from its harvesting on, as this would avoid the risk of unintended incentives for the diversion of 'green leaf' tobacco.[105] Furthermore, it gets rid of the difficulty of finding a workable distinction between 'green tobacco' and 'cured tobacco', which is raw tobacco that has undergone the first drying or curing but is still managed at farm level (or in agricultural settings) and is not yet a first-processed product. On the other hand, this approach may require adopting some special implementation rules for farmers, which are discussed below.

Figure 5.1 – The boundaries of the new excise category for raw tobacco



The establishment of a harmonised excise category for raw tobacco would automatically trigger the application of the same ***holding and movement rules*** that are currently applied to manufactured tobacco products. These rules and provisions – outlined in the Horizontal Directive – are briefly recapitulated in Table 5.1, with reference to the 'building blocks' of the monitoring system that they would contribute to setting up. Table 5.1 describes the standard rules, while possible special provisions are discussed further below.

Table 5.1 – Building blocks and standard rules for the raw tobacco monitoring system

Building blocks	Corresponding tools and provisions
Authorisation of involved operators	Economic operators engaged in holding and moving raw tobacco would be subject to the authorisation requirements set out in the Horizontal Directive, according to the different available profiles, namely: tax warehouse keeper, the registered consignor / consignee, and certified consignor / consignee. The conditions for granting and managing authorisations are set up by MS' competent authorities and involve technical, financial and legal requirements. There are no mandatory EU minimum standards, but no significant disparities between MS have been registered.[106] Additionally, all authorised excise good traders must be registered on the System for the Exchange of Excise Data (SEED) and use their SEED Excise ID number to enrol for EMCS and compile electronic Administrative Documents (eAD) for the cross-border movement of excise goods.
Monitoring stocks	Excise goods produced, processed, and held under duty suspension arrangements must be kept in a tax warehouse. In addition to the authorisation requirements (see the previous point), warehouse keepers must keep accounts of stock and movements of excise goods and must consent to any monitoring and stock checks requested by authorities. Tax warehouses are also subject to specific security requirements established by MS. Record-keeping and stock-check obligations also apply to registered and certified consignees of excise goods. For movements of duty-paid excise goods (as defined under Section 2 of the recast Horizontal Directive), setting up a tax warehouse is not required, which makes this option lighter and more suitable for small and/or occasional traders.

[104] It is worth noting that the raw tobacco supply chain may differ geographically and by tobacco variety. For instance, oriental varieties are always sun-cured at the farm, do not require any first-processing (only in some cases for the commercial grading of leaves) and can be sold directly to final manufacturers.
[105] This is a theoretical event. No evidence was collected on the diversion of green tobacco.
[106] Source: Evaluation of current arrangements for the holding and moving of excise goods under excise duty suspension, Ramboll, 2015.

Building blocks	Corresponding tools and provisions
Movement control and validation	Excise good movement in the EU shall take place under the EMCS system. This regards both movements under duty suspension and, as of 2024, also duty-paid cross-border movements for commercial purposes. The EMCS allows the validation of electronic Administrative Documents (eADs) against SEED to determine if the traders involved in the transaction are indeed entitled to dispatch/receive the declared products, as well as the tracking of every stage of the movement, thus facilitating control and helping prevent irregularities.
Financial guarantees covering excise duty risks	The Horizontal Directive envisages two main types of financial guarantees that can be requested of operators to cover the fiscal risk inherent in duty payment suspension: (a) a general guarantee for the production, processing, holding and storage of goods on duty suspension (applicable to authorised warehouse keepers); and (b) a specific guarantee on movements under duty suspension and, as of 2024, cross-border movements of duty-paid goods. The amount and management of these guarantees are established by MS, which can also waive this obligation in specific circumstances.
Sanctioning irregularities	The sanctioning of irregularities and fraud remains the exclusive competence of the MS. It is worth noting that the inclusion of a product in the scope of the excise system can act as a major deterrent against irregular movements, because of the excise duty liability risk and the related higher fines involved.

All obligations listed in Table 5.1 would apply to all operators by default, regardless of type, size or role in the raw tobacco supply chain. However, special requirements can be envisaged for specific situations where the implementation may be technically difficult or disproportionately onerous:

- ***Obligations applicable to harvested tobacco in the initial stage of the supply chain.*** The application of the standard rules described in Table 5.1 fits poorly with the specificities of agriculture practices and produces. Specifically, in the initial stages, raw tobacco is moved from field to farm or collection centres and/or curing facilities in bulk, and it would be extremely complicated to perform the weighing and excise duty determination operations that are typically performed when a final product is shipped through EMCS. Furthermore, the weight of tobacco changes rapidly and unpredictably after harvesting, which would make record-keeping cumbersome and subject to large variations. In keeping with these facts, none of the national fiscal regimes for raw tobacco examined impose obligations involving tax warehouses or, at any rate, the weighing of green tobacco in the initial stage. Therefore, the proposed system does not involve the application of obligations involving the weight and excise duty determination (tax warehouse, record keeping) while harvested tobacco is held by the farmer (or collection centres) provided that no processing other than drying or curing is carried out. Such waiver regimes would terminate when tobacco (green or cured but not otherwise processed) is eventually sold or consigned to the first buyer/processor. This proposed system is not completely exempt from vulnerabilities and loopholes at the local level which, however, cannot be addressed through EU fiscal harmonisation. In this sense, it would be crucial that MS maintain and, where necessary, strengthen their national monitoring rules and obligations applicable to tobacco farming, such as: (1) registering obligations for farmers and producer organisations; (2) obligations to sell to authorised operators through registered contracts; (3) specific procedures to follow in case of product rejections, destruction, loss, etc.; (4) obligations related to boxing and sealing; and (5) information obligations regarding planned movement and routes between agricultural premises.
- ***Weight losses or gains.*** Another aspect to consider regards the weight losses or gains that would occur in raw tobacco across the steps of the value chain. By nature, raw tobacco is subject to substantial weight fluctuations in connection to natural or artificial drying and moistening processes. These procedures are controlled but there is a margin of unpredictability that would need to be managed under an excise duty regime to avoid the undue application of duties or abuses. As detailed in Annex F.5, this can be addressed through the adoption of tolerance thresholds and/or more general technical guidelines.

Regarding the ***EU minima*** that could be applied to the raw tobacco category, two approaches can be considered, each characterised by advantages and drawbacks (summarised in Table 5.2),

namely: (1) no mandatory EU minima (zero rate); and (2) positive EU minima applied (equal to the EU minima for OST, for analytical purposes).

Table 5.2 – Benefits and drawbacks of different approaches to EU minima for raw tobacco

	Scenario A – Zero rate	Scenario B – Positive rate
Benefits	• Reduced implementation costs • No risk of double taxation	• Effective against diversion • Eliminates the incentive to abuse of raw v. manufactured tobacco definition
Drawbacks	• Little deterrent against diversion • Demarcation with manufactured tobacco remains sensitive	• Requires a more burdensome duty suspension arrangement to avoid double taxation

In principle, the benefits of a zero-rate approach could be obtained also through a system of ***exemptions***[107] for intermediate products, as is, for instance, the case with partially denatured alcohol that is used as a production input of non-excise goods like detergents, cosmetics, perfumes, etc. However, as described in Annex F.5, this measure would imply some sort of denaturation of raw tobacco; otherwise it could be easily circumvented and abused. At the same time, denaturation would make the products no longer suitable for use in the tobacco chain. Still, it can be advantageous to apply such an exemption to only the first step of the supply chain, i.e. on green or cured tobacco held by farmers or collection centres and before it is dispatched to the first processor/buyer. This solution would enable the application of positive rates on raw tobacco while removing the need for farmers and their organisations to become liable for the payment of excise duties (amounting to nearly 40 times the price of harvested tobacco) or to deal with duty suspension arrangements.[108] In other words, raw tobacco would remain an excise good in this initial step, but the chargeability of the tax would be postponed to the moment where the product is sold or consigned to the first buyer/ processor.

- **OPTION 3B – REVISION OF THE SMOKING TOBACCO DEFINITION (ART. 5.1)**

MS have adopted different solutions to cope with uncertainties inherent in the definition of smoking tobacco and in its feeble demarcation line with raw tobacco. These various solutions can be roughly grouped in three main approaches (described in Annex F.5), namely: (a) the ***revision of the definition of smoking tobacco***; (b) the introduction of the ***'intended use' criterion*** to distinguish legitimate supply chain transactions from irregular, potentially suspect movements; and (c) the de facto ***removal of any distinction*** for any practical purposes.

The proposed policy option builds upon the benefits and the drawbacks of national approaches and puts forward a revision of the definition in Art. 5.1. It is articulated into the following steps:

(1) ***Revision of the characterising product features.*** This regards possible clarifications of the first conditions that require tobacco to be "*cut or otherwise split, twisted or pressed into blocks*". Based on the CJEU *Eko-Tabak* ruling, this could be further specified. For instance, the CJEU ruling mentioned that "*leaves have been partly stripped in order to remove the petiole*".

(2) ***Revision of the 'smokability' condition***. The 'smokability' condition reportedly causes most of the interpretation issues with reference to both the concept of 'being smoked' as well as that of the expression 'without further industrial processing'. In the CJEU *Eko-Tabak* ruling this condition translates into "simple processing by means of crushing or hand-cutting", thus removing (in part) ambiguities in what qualifies as an 'industrial process'.

(3) ***Addition of conditions related to the intended use as a final product.*** The revisions mentioned under point (2) would make it easier for first-processed tobacco (prepared according to current industry standard) to be subsumed under the smoking tobacco definition. Indeed, this is what happened when some MS authorities started applying the CJEU interpretation of Art. 5.1's definition. In this sense, a revision of this kind could help

[107] The exemptions discussed in this paragraph refer only to the applicability and payment of excise duty, but not to the holding and movement rules.

[108] Among other things, the obligations related to duty suspension arrangements would accumulate along with the obligations and the control provisions that already exist for growers in most tobacco-producing countries (see Annex E.3).

remove some classification disparities but would not help distinguish a genuine intermediate product from a final product for excise purposes. For this reason, other additional criteria should be considered and, specifically, criteria related to the intended use of the product, rather than to its characteristics. Incidentally, this principle is already embedded in Art. 5.1 with reference to tobacco refuse, which is classified as 'smoking tobacco' only when 'put up for retail sale'. Tobacco refuse sold in bulk is excluded, even if it can be smoked. The 'retail sale' criterion would nonetheless require some specifications. Two conditions can be established: (a) whether products are portioned and packaged for retail sale and/or the weight of the package does not exceed a certain threshold; and (b) whether buyers/sellers are registered operators (otherwise the product would be deemed for final use).

A detailed review of how the various criteria should be combined in order to maximise benefits and, more generally, a review of the expected impact on legal certainty and market functioning are provided in Annex F.5.

5.2 Impact Analysis

- **IMPACT ON ILLICIT MANUFACTURING AND TRADE**

Impact on illicit manufacturing and trade is the main goal for the proposed measure and the underlying driver of the policy revision itself. The justification behind Option 3A lies specifically in its benefits in terms of the expected reduction of illicit manufacturing in the EU. However, this is an impact that cannot be precisely quantified because (1) the magnitude of the problem can only be roughly estimated[109] and (2) the proposed measure is a radical innovation for which there is no benchmark and the impact of similar MS regimes can only partly be leveraged to this end.[110] Nonetheless, on a more qualitative level, MS with fiscal regulation of raw tobacco often reported ***satisfactory results regarding diversion*** to illicit manufacturing and direct selling to consumers, even though these were not precisely quantifiable. Furthermore, the majority of MS authorities surveyed expect positive impacts from the prospected EU-level harmonisation, especially in terms of the decline in illicit manufacturing.

For most authorities with a fiscal regime on raw tobacco in place, the main weakness of the current arrangements relates to the fact that their coverage is limited to the national territory and that there is no coordinated, efficient mechanism to track movements across borders. In this sense, the proposed measure would likely provide a ***clear and substantial EU added value***. On the other hand, as the case studies provided in Annex E.3 shows, MS regimes also include specific rules that go beyond the obligations that would be imposed by the extension to raw tobacco of the Horizontal Directive holding and movement rules. These are, for instance: the obligation to notify the competent authorities of any movements (including transit) with very short notice (e.g. 2 days), and the obligation to sell/buy tobacco only to/from recognised supply chain operators, with penalising conditions applied to other types of traders.

All in all, expected impacts would vary across countries, and it can be assumed that MS that already have a tax regime for raw tobacco benefits would be more limited than in MS with no mechanisms in place. The effectiveness of the proposed measure would also vary depending on the diversion modus operandi: more positive for raw tobacco diverted from the legitimate supply chain, but less crucial for irregularly imported (or cultivated) raw tobacco. Evidently, the reduction of EU-manufactured illicit products would not necessarily entail a reduction in the overall availability of illegal tobacco products, given that the former can be compensated – to varying degrees – by an increase in smuggling flows from non-EU countries, the extent of which

[109] The estimates elaborated for this Report indicate that the output of illicit manufacturing in the EU can amount to roughly 15 billion cigarettes, annually.

[110] A simple model to estimate the order of magnitude of benefits has been developed in this Study and is reported in Annex F.5. The model shows a drop in profitability for unlawful players, connected to the increased financial risks that would derive from the application of excise duties to raw tobacco. Overall, the 'positive rate' scenario (Scenario B) could reduce diversion to illicit manufacturing within the EU by 52%, while under Scenario A (zero-rate) the decline would be around 27%.

cannot be predicted. It should also be noted that the increase of EU minima discussed in Section 3 is expected to encourage further expansion of illicit trade activities.

- **IMPACT ON TAX REVENUES**

The anticipated reduction in sales of illicit manufactured tobacco described in the previous section would have direct positive effects on MS tax revenues, as the losses caused by tax fraud will be partially recovered. A tentative assessment of the possible magnitude of this impact has been carried out, based on the estimated decline in illicit product volumes. The results of the scenario analysis (illustrated in Annex F.5) indicate a reduction in foregone tax revenues of approximately ***EUR 1.0 billion*** in Scenario A and of nearly ***EUR 2.0 billion*** in Scenario B (i.e. with a positive excise duty applied). Considering that the total excise duty loss associated with ITTP is estimated to exceed EUR 10 billion, the impact of the proposed measures, in relative terms, would translate into recovering 10% to 20% of current tax fraud.

- **REGULATORY COSTS FOR ADMINISTRATIONS**

The introduction of a harmonised excise category for raw tobacco would require MS to revise their national administrative and legal framework, with a possible increase in overall regulatory costs. In the MS in which raw tobacco is already in the excise system, a moderate increase of costs has been registered especially in relation to enhanced ***monitoring and control*** efforts, followed by ***IT system adaptation costs.*** No respondent was, however, in the position to precisely quantify the increase in the administrative burden. Overall, the incurred regulatory costs do not seem to have represented a major obstacle to the implementation of raw tobacco regimes. In most cases, the limited magnitude of these costs appears to be connected to the ***lack of fiscal registration requirements for farmers***, which substantially simplified operations. Based on the survey results, the total number of new entities that became subject to the new regime seldom exceeded a dozen operators (first-processors and traders) per country.

About ***half of the respondents expect an increase in administrative costs*** from the proposed establishment of a harmonised excise category for raw tobacco, but in most cases only moderate increases are anticipated. No respondent foresees a reduction in law enforcement costs, although EMCS and the other control measures are expected to facilitate cross-border investigations and the prosecution of frauds.

For a tentative quantification of the regulatory costs that would be incurred by MS authorities, the same methodology (and – where relevant – benchmarks) used in Section 4 for new products has been applied. Two main kinds of regulatory costs have been identified as relevant: (1) the costs for including new economic operators in the excise system, which relate to ***registration and authorisation*** activities (one-off and periodic renewal); and (2) the costs related to operations, which include capital costs of adapting ***IT infrastructure*** (EMCS interface, etc.) to the broadened scope of the system, and the costs of individual ***transactions*** (verification and confirmation of movements under EMCS). The key results of the analysis can be summarised as follows (further details in Annex F.5)[111]:

- In the first year, the total incremental costs would be between EUR 3.0 and EUR 9.0 million. The bulk of the estimated additional costs relates to the adjustment of the IT system and related training costs. However, these costs would not cumulate with the analogous costs estimated in Section 4 for the harmonisation of new products.
- Annual operating costs would be around EUR 0.4 million.
- These figures are based on the key assumption that collective registration of farmers would be feasible. Conversely, substantially higher costs can be expected in the case that individual registration is required for each tobacco grower (close to EUR 20 million in the first year).
- The costs incurred would vary across MS, depending on the number of operators and transactions.

[111] The estimates provided are net of the operational and administrative costs already incurred in the MS where similar fiscal measures exist.

➢ **REGULATORY COSTS FOR ECONOMIC OPERATORS**

The regulatory costs (administrative and substantive compliance costs) incurred by economic operators have been estimated using the same approach described in Section 4.3.4 for new products, including deducting costs already incurred in the MS where certain fiscal policy obligations are already in place. The results of the analysis inevitably present some degrees of uncertainty due to the lack of verified, granular data on production, movement and supply chain operators (see the reconstructed supply chain in Annex E.3), and due to variability in the unit costs of required actions for different types of operators (by country, size, efficiency and position on the value chain).[112] Further methodological caveats are worth highlighting, namely:

- It has been assumed that the proposed measures would be equally implemented in all MS, although ***various aspects will actually remain up to MS to decide*** (e.g. actual excise duty rates, level of guarantees required, registration criteria and conditions, treatment of internal movements, etc.);
- We can assume that Eos would theoretically react to the new rules by choosing the options that would minimise the costs incurred (e.g. establishing a tax warehouse or not, moving products under the duty-paid or duty-suspension procedures), but ***operator choices would also be influenced by other factors***, which cannot be considered in the model, and relate to individual EO capacity, operations, local business environment, etc.
- The proposed policy revision can be expected to ***impact how the EU raw tobacco sector is currently composed and structured*** but the simulations developed in this section are based on the current situation, as it is not feasible to predict how players, practices and flows would change as a consequence of the reform (e.g. shift toward shorter / domestic supply chains, storage at farm level, recourse to offshore processing, establishment of storing facilities outside of the EU, and, possibly, reliance on non-EU raw tobacco etc.).

As emerges from the summary presented in Table 5.3 (details in Annex F.5), the regulatory costs for economic operators triggered by the proposed reform would fall in the ***EUR 3 to EUR 37 million range*** annually – slightly higher the first year due to registration costs. In the event growers would be subject to the required measures individually, and not collectively, such costs would increase (up to EUR 80 million) but this is a purely hypothetical scenario because such an increase in costs would probably put many growers (especially the smaller ones) out of the market.

The most substantial cost component relates to the setting up and operation of tax warehouses for the storage and control of raw tobacco***.*** The costs of financial guarantees can be considered as being an indirect burden, given that these depend on MS-level implementation. Regarding operators, the burden would be comparatively greater for storage facilities operators, due to the specificities of their business, which involves long storage periods of large quantities of tobacco products and very frequent cross-border movements. Of course, MS could always be in a position to abate these costs by lowering the guarantee required or even waiving it, but this would simultaneously decrease their deterrent role.

Table 5.3 – Overview of regulatory costs for raw tobacco economic operators

Obligation	Brief description	Aggregated incremental costs (EUR million)
Registration in the excise system	Operators must be authorised by the competent MS authority according to the relevant ED profile (warehouse keepers, registered or certified consignor/consignee). Registration for duty-suspension operations is deemed more costly. In 15 MS, Eos are already deemed compliant (national fiscal regimes are in place). As an alternative scenario (which is in line with sector practices), it is assumed that the	DP= 0.15 DS= 0.30 One-off costs

[112] Also in this case, reference was made to the unit cost estimates elaborated in previous studies (Ramboll 2015, CASE 2017, EA 2017 and EA 2019).

Obligation	Brief description		Aggregated incremental costs (EUR million)
	formal consignors of harvested tobacco are not individual growers but rather collective organisations.		
Set up / operate a tax warehouse	This obligation would regard primarily first and second processors, storage warehouse operators and manufacturers (They already operate tax warehouses for finished products, but they would have to set up new ones for incoming raw tobacco.). It is applicable only where the proposed raw tobacco regime involves a positive excise duty rate (Scenario B). The obligation has two main cost components: (1) the investment to set up appropriate premises (annual depreciation); (2) the recurrent costs of operations, including keeping registers of in/out movements.		DS=26.4 Recurrent costs
Holding/ storing guarantee	This obligation is connected to authorised warehouse keepers and relates to the size of operations (the amount of duty suspended on excise good held). The amount is fixed by MS, and it is often higher for small Eos and newly registered players. The costs depend on the excise duty levels.		DS=7.3 Recurrent costs
EMCS system	This obligation has two cost components: (1) the investment in an IT system; and (2) recurrent costs of operations. The estimated costs per transaction include not only data inputting on EMCS, but also weighing operations, keeping registers, etc.		DP/DS=3.0 Recurrent costs
Guarantee on movements	Guarantees on movements are generally calculated on the potential duty suspended on average weekly movements. For Scenario A, no estimation is feasible, as the amount of the guarantee depends on how MS assess the fiscal risk for a zero-rate product. For Scenario B, excise duty rates in line with OST have been assumed.		DP/DS=1.2 Recurrent costs
	GRAND TOTAL	**First Year:** DP= € 3.4 million DS= € 37.3 million	**Following years:** DP= € 3.3 million DS= € 37.0 million

Legend: *DS=duty suspension; DP=duty paid;*
Notes: *one-off costs = costs applicable to the first year only; recurrent costs = costs incurred annually. Regarding growers, it is assumed that the formal consignors of harvested tobacco are not individual growers but collective organisations. Alternative scenarios, based on growers' individual registration, IT investments etc. would lead to approximately EUR 40 million of additional costs.*

- **IMPACT ON COMPETITIVENESS AND SMES**

The additional regulatory costs estimated in the previous sub-section will affect economic operators' competitiveness differently, depending inter alia on their size (due to economies of scale) and position in the supply chain. The costs associated with Scenario B (positive rates) in the first year, would have an incidence of about 0.2% on the aggregate value of the raw tobacco market. However, for EU growers, the negative impacts would be more pervasive, especially in the case where obligations are applied to each grower individually instead of to collective organisations. The cost increase, in this scenario, can reach EUR 0.18 per kg, i.e. about 7% of the current average selling price of leaf tobacco. Assuming these costs are passed on to the next steps (i.e. first and second processors and logistics) and adding the costs expected for these Eos, the total extra costs would amount to EUR 0.27 per kg. For comparison, the additional costs which could be imposed on imported (first-processed) raw tobacco would be approximately EUR 0.01 per kg.

Substantial savings could be achieved by exempting individual growers from some holding and movement obligations and their related costs, and encouraging collective management of procedures through Producer Organisations or the like. This would reduce the downstream impact on the price of first-processed tobacco to approximately EUR 0.05 per kg – only slightly higher than the expected impact on imported tobacco. Since management of the excise regime is characterised by economies of scale in administrative and financial costs, SMEs (including growers) would be disproportionately affected by the small scale of their operations. In the simulations provided in Annex F.5, SMEs account for roughly 10% of tobacco volume, but their share of additional costs would amount to nearly 20%. Marginal tobacco growers operating in

niche markets (sun-cured, fire-cured tobacco, etc.) whose profits can be estimated in the region of EUR 2,000 to EUR 4,000 for 2 ha cultivations might face serious difficulties.

On a positive note, stricter controls would reduce the availability of illicit tobacco and tobacco products in the market, so that legal players would experience lower competitive pressure from the illegal value chain, and this could compensate for some of these extra costs.

- **PUBLIC HEALTH IMPACT**

A positive impact on tobacco control is expected to stem mainly from the increased effectiveness of taxation policies in curbing consumption. This assumes that the inclusion of raw tobacco within the excise and EMCS systems will result in an increased price for illicit products and diminished availability of raw tobacco for direct consumption and illicit manufacturing. Raw tobacco available for retail consumption can particularly promote the down-marketing of illicit tobacco products and therefore affect the consumption behaviour of those consumers who are under more stringent income constraints and are more sensitive to price.

Consequently, a harmonised regime for raw tobacco is also expected to ***decrease health inequalities in implementing tobacco control policies***. The impact would differ across MS, because the ITTP composition and the share of non-EU illicit products vary greatly.

5.3 Comparison of scenarios

This section summarises the results of the above analysis in comparative terms. For each policy option, synthetic ratings and judgments are provided (Table 5.4), which reflect the expected impact on a set of relevant policy objectives. Impact areas that are not affected or only marginally affected are not displayed. The policy change options presented in this section are not mutually exclusive. Where the policy options include alternative scenarios, the differentiated impacts expected are reported. Finally, a brief reference to main risks and implementation challenges have been added where relevant. Further details on who will be affected and how, and a review of the proportionality of the proposed measures are provided in Annex F.5.

Table 5.4 – Comparison of options and scenarios for the introduction of a harmonised raw tobacco category

Key objective	No change	Policy change	Rationale, sensitivity across scenarios, and risks
Option 3A – Establishment of a new excise category for raw tobacco ***Scenario A:*** *EU minima set at zero* ***Scenario B:*** *EU minima set at the OST / OMT rate* ***Variant 1:*** *Excise exemptions for the first stage of the supply chain (green/cured-but-not-processed tobacco)*			
Improved market monitoring	-2	+1	• Movements or raw tobacco across the EU would be monitored • Illegal techniques for circumventing the EMCS exist
Reduction in illicit trade	-2	A: 0 B: +1	• Diversion or raw tobacco would be more easily detected, and excise duties (Sc. B) would be a strong deterrent • Moderate risk of internal ITTP being replaced by external ITTP
Reduction in regulatory burden	0	A: -1 B: -2	• Moderate regulatory costs for MS (less substantial if the individual registration of farmers is excluded) • Low (Sc. A) to moderate (Sc. B, with Var.1) regulatory costs for EO, proportional to the volume of cross-border transactions (and depending on MS-level implementation rules
Improved market functioning, SME competitiveness	-1	A: +1 B: 0	• Harmonisation would contribute to removing uncertainties and reducing the competitiveness pressure of illicit products • In Sc. B, unless collective registration of farmers is envisaged, EU-grown tobacco would be more affected than foreign tobacco
Coherence with ITTP policy	-1	+1	• First relevant step for closer alignment of fiscal and ITTP policy
Tobacco control benefits	-1	0	• Moderate benefits from curbing consumer's accessibility to low-price illicit products
Option 3B – Revision of the smoking tobacco definition (art. 5.1)			
Improved legal certainty	-1	+1	• More robust, clear definitions would improve the legal demarcation between raw tobacco and final manufactured products, which will become an even more pressing need with Option 3A (especially Sc. A) • Moderate risk of persistence of partly subjective terminology

Reduction in regulatory burden	-1	+1	• Improved definitions would reduce classification issues and the administrative burden connected to them (including disputes)

***Legend**: **+2** = major positive effect; **+1** = moderate positive effect; **0 =** no effect or neutral impact; **-1 =** moderate negative effect; **-2** = major negative effect. **Note:** The 'key objectives' relate to different policy aspects which cannot be combined into an aggregated rating. In this sense synthetic judgments are also not intended for being added up.*

6. CONCLUSIONS

6.2 Rationale and objectives of policy change

The results of the policy problem analysis carried out in the Study, complemented by the findings of the retrospective evaluation published by the Commission in 2020, showed that a variety of issues and challenges constrains achievement of the Directive's objectives. The most urgent and pervasive ones can be summarised in five main points, as follows:

- ***Affordability of tobacco products and public health issues.*** The EU excise duty minima have become obsolete over time and are no longer capable of guaranteeing a sustained increase in the excise duty levels applied to different tobacco products in MS. The loss of traction of EU minima on the excise duty levels (hence on price levels) hampers the Directive's capacity to contribute to public health protection, which is one of its two overarching goals. Furthermore, the EU has recently stepped up its ambition in this area through Europe's Beating Cancer Plan, which requires, inter alia, to increase efforts to curb smoking prevalence in Europe. To support this goal, the current EU minima for tobacco products need to be revised, especially where they appear more affordable or accessible to consumers
- ***Tax-induced substitution between harmonised products***. The differential in excise duty levels applied to different tobacco products can encourage price-sensitive consumers (especially youth) to substitute cigarettes with less expensive alternatives. Tax-induced substitution can have several adverse effects, such as competitive distortions, tax revenue losses, and undermining tobacco control policies. Compared to a few years ago, however, tax-induced substitution of cigarettes with fine-cut tobacco and cigarillos appears to be largely under control. Nevertheless, reoccurrence of the problem is always possible in connection with cigarette price hikes and the less stringent rules applicable to cigarillos under the TPD. The increase in EU minima – especially for products like 'cigars and cigarillos' and 'other smoking tobacco', where current levels are well below the actual excise duty levels applied in MS – would contribute to preventing / mitigating tax-induced substitution across products.
- ***Abuse of rules on cross-border purchasing for private consumption.*** Significant price differences between MS continue to be a major driver of 'cross-border flows', i.e. the purchasing of (duty-paid) tobacco products in a MS different from the MS of final consumption. In some MS, the magnitude of cross-border flows has reached an estimated 15% of domestic demand. This indicates that the current rules on cross-border acquisition for own use of a private individual – as laid down in Article 32 of Directive 2008/118/EC – are not sufficient for the prevention of distortions and abuses, and that they need to be revised. A revision of EU minima can also help mitigate disparities in price differentials among MS. However, even with revised minima, substantial price-level convergence among MS would still be difficult to achieve, considering the structural disparities of MS economies.
- ***Illicit manufacturing and trade***. Illicit (tax-evaded) products represent another major, persistent threat to the functioning of the internal market and to tobacco control policies. This issue regards primarily cigarettes, but in recent years this phenomenon has extended progressively to smoking tobacco (sold in 'bulk') and waterpipe tobacco. There are no validated data on the magnitude of the problem, but some market intelligence sources suggest illicit products account for between 8% and 11% of total consumption. A part of these illicit products originates in third countries and is smuggled into the EU across external borders. Another substantial part (estimated between 30% and 50% of the total) is manufactured within the EU, in clandestine factories scattered all over several MS. The growing number of law enforcement raids against these illicit factories suggests the need for improved coordination at the EU level and better prevention tools, including a system for

monitoring raw tobacco cross-border movements to prevent diversion of raw tobacco to illicit manufacturing.

- ***Lack of harmonised regimes for new products.*** In the recent past, the tobacco market has experienced the appearance of new products being promoted as substitutes for cigarettes and other traditional tobacco products. These include, notably, e-cigarettes, heated tobacco products (HTP) and, more recently, nicotine pouches. Since these products were scarcely present on the market at all when the Directive was approved, no specific excise categories were created for them. MS have therefore adopted varying solutions to address this gap; they range from setting up ad hoc national taxation regimes to including new products in existing harmonised categories. This caused a certain fragmentation of the EU internal market and triggered the possibility of tax avoidance practices via uncontrolled cross-border movements. In this respect, the Directive appears to be misaligned also with the TPD and, looking ahead, with what will be the revised customs nomenclature. Given that the demand for these products is rising, excise duties harmonisation appears in order.

6.2 Summary of key findings

The above issues can be addressed through a set of policy measures, those which have been developed and investigated in this Study. These measures fall into three main categories: (1) revision of the current EU minima; (2) introduction of new products in the scope of the Directive; and (3) introduction of a harmonised regime for raw tobacco, for monitoring and controlling purposes. The key findings presented below address these three main policy areas.

- **REVISION OF EU EXCISE DUTY MINIMA**

Various scenarios for increasing EU minima have been identified and assessed. The scenarios we have considered differ across products on both the starting conditions (how low are current EU minima compared to actual excise duty levels) and the targeted minima condition (i.e. monetary fixed amount or relative minimum incidence on retail price). Three or four different increase levels have been tested for each condition. For instance, in the case of cigarettes, the monetary increases we have examined range from 28% to 100% of the baseline situation. For other products, more substantial increases have been considered, given their currently lower baseline (e.g. in the case of fine-cut tobacco, the increase scenarios we have examined range from 50% to 170% of the current level; while for cigars and cigarillos the scenarios we have looked at are from five times to ten times higher than the current EU minima).

In evaluating the different alternatives, due consideration was paid to the various possible intended objectives of this revision, i.e.: (1) ***foster the convergence*** of tax levels applied in MS, to minimize unintended effects on cross-border flows; (2) ***contribute to fair competition*** between different types of products, preventing or mitigating tax-induced substitution; and (3) support public health protection objectives, by promoting revisions able to ***curb smoking prevalence*** and achieve Europe's Beating Cancer Plan objectives.

At the same time, alternative approaches to the current mechanisms of EU-minima application have been investigated and an approach has been proposed where the minima are ***partly expressed in purchasing power parities (PPP)*** instead of purely nominal values. The rationale behind this option is to avoid the increase in minima affecting only low-tax countries, which are often markets where – in real terms – tobacco products are already less affordable than they are for the average EU consumer. A PPP-adjusted approach would allow for impacts to be distributed more equally across MS, thus making more ambitious increases possible. The main analytical findings in this policy area can be summarised as follows:

Finding #1: overall, the upward revision of the current EU minima would deliver net beneficial effects, compared to the 'no change' option. This holds true for all harmonised products that are currently within the scope of the Directive and for all the minima-increase scenarios we have examined. Different increase scenarios are expected to deliver different effects, in particular:

- Regarding smoking prevalence reduction, most scenarios appear conducive to meeting initial targets in Europe's Beating Cancer Plan's (for 2025), with an estimated decline around 3-5 percentage points, in proportion to the extent of the proposed underlying minima increase. Regarding the long-term objectives of the plan – i.e. to help create a 'Tobacco-Free Generation' where less than 5% of the population uses tobacco by 2040 – the proposed revisions can contribute to around 20% of the ultimate targets. The contribution is therefore tangible, although further steps, including the use of complementary non-fiscal policy, will evidently be necessary at a later stage if the long-term goal is to be met.
- The number of MS affected by minima revision is proportional to the extent of the minima increase. In the case of cigarettes, it ranges between 12 and 22 countries, while for other products the number of countries affected is somewhat lower because the disparities in excise levels applied there are currently larger than for cigarettes.
- MS tax authorities expressed divergent opinions regarding scenarios for minima revision. This reflects the differentiated effects that the revision would have at the country level, as some countries would remain unaffected, while others would be compelled to increase their national excise levels. In the case of cigarettes, the maximum increase envisaged would be of 27% in the lowest increase scenario and 99% in the highest increase scenario considered. In the case of fine-cut tobacco, the maximum expected increase at country level would range between 22% and 50%, while for cigars and cigarillos a few MS would face an increase of national levels exceeding 100% (in the lowest increase scenario) or 300% (in the highest increase scenario).
- The impact on excise duty revenues is linked to market sales, but since the demand for tobacco products is not especially responsive to price levels (low elasticity), in most scenarios a nominal increase in excise duty yields can be expected (between 1% and 14%).
- A parallel increase in the minima for all harmonised products would minimise the risk of cross-product substitution. On the other hand, some of the high-increase scenarios considered have no precedent in MS' experience, so model-based predictions have to be taken with due caution.
- Increasing minima will only moderately mitigate price-levels difference among MS, hence the economic incentive behind cross-border flows. Based on the quantitative simulations carried out, a reduction of flows running between 4% (low/middle-increase scenario) and 12% (high-increase scenario) of the pre-COVID19 estimated total flows is expected. As we have seen in the qualitative analysis, the distortion induced by cross-border flows still requires the adoption of other additional measures, such as the revision of rules on private acquisition (Art. 32 of Directive 2008/118). Regarding the assessment of cross-border flows, the quantitative model used in the Study, based on the Commission's traceability system data, returned promising results, although they were influenced by the confinements adopted by MS in response to the COVID19 pandemic. These results could be further refined and employed for future ad hoc assessments.

Finding #2: the proposed 'partial PPP approach' (i.e. one-third of the EU minima expressed in PPP terms) enables the adoption of more ambitious EU minima, because it would mitigate the risk of disproportionate impacts on MS where, in nominal terms, excise duty levels are the lowest. Furthermore, this approach would extend the EU minima effects to MS that have traditionally been exempted, despite the relative affordability of tobacco there. In this sense, this approach would introduce more equity in EU minima implementation. Among other downsides, this approach is less supportive (although still conducive) of the Directive's price convergence objective, which is of mitigating cross-border flows, which would nonetheless decline by an estimated 2% (low/middle-increase scenario) or 10% (high-increase scenario), compared to pre-COVID19 levels.

Finding #3: there would be beneficial effects of establishing a separate category for waterpipe tobacco which would lie within the larger 'smoking tobacco' category. The EU minima for this category should be lower than the minima for other smoking tobacco, as this would allow setting more ambitious excise duty levels on the latter without creating further economic incentives for illicit trade of waterpipe tobacco. Nevertheless, MS should remain free to apply the same rate levels.

Finding #4: similarly, there would be beneficial effects of separating the regime of cigars and cigarillos, as this would allow MS to adopt a more tailored taxation regime for cigarillos. On the other hand, this would not per se eliminate the issue of borderline cigarillos (or 'low-price cigarillos') and/or of other opportunistic products designed to circumvent certain TPD obligations. In this sense, MS tax authorities expressed mixed views on this option.

- **HARMONISATION OF EXCISE DUTY REGIMES FOR NEW PRODUCTS**

The rationale for an EU-level legislative intervention regarding the taxation of new products relates to the overarching objective of ensuring proper 'functioning of the internal market' through harmonisation. Of course, these products can raise questions also in other policy respects and, primarily, in the field of tobacco control and public health. In this respect, some of them have already been regulated under the TPD and have been the subject of policy discussion at the FCTC level. However, while the debate on the health risks of these products progresses and new scientific evidence is being produced, their proposed harmonisation under the Directive is essentially linked to fiscal policy objectives, while it is not connected to any health risk assessment. More specifically, the harmonisation of these products is driven by the ***need to close possible loopholes in the EU excise system*** and remove the internal market inefficiencies and issues caused by the current disparities of MS approaches. This perspective is consistent with the priorities expressed by MS authorities in previous consultations and with the 2020 Council Conclusions.

The starting point of the proposed reform is a revision of the Directive's established perimeter. At present, the Directive's scope is 'manufactured tobacco', which is cumulatively defined as the sum of cigarettes, cigars and cigarillos, and smoking tobacco (Art. 2), including also substitute products consisting in whole or in part of substances other than tobacco, while excluding medical products. The harmonisation of new products would require two main building blocks: (1) extending the Directive's scope to include ***'tobacco-related products',*** i.e. alternative products containing nicotine which can be considered as substitutes of tobacco products from a fiscal perspective; and (2) adopting a ***'catch all' approach***, to ensure that future market developments would not be able to elude the new established categories easily. In summary, the conclusions that can be put forward in this policy area are as follows:

Finding #5: there is a need and widespread demand to establish a new excise category for heated tobacco products (HTP). This would close a regulatory gap and remove substantial fragmentation caused by various different national regimes adopted in the past few years. It would also be coherent with FCTC orientation which already considers HTP to be taxable, since they are tobacco products in all respects. Components which may be required for the establishment of an HTP excise regime can be summarised as follows:

- As there is currently no definition of HTP in EU legislation, an ad hoc excise definition must be devised. This can be inspired by definitions currently in place in MS, and should take into account the salient features of the prospective new customs nomenclature definition, to avoid the risk that serious mismatches may foster classification uncertainties, disparities of treatment and other harmonisation issues. The wording shall reflect international agreements, especially as far as the characterisation of emission and the difference with ordinary smoking tobacco are concerned.
- The new category should be flexible enough to adapt to different shapes and formats of current (and ideally future) products and, specifically, differentiated tax bases should be envisaged, i.e. 'per weight' and 'per unit', appropriately designed to ensure equal treatment of different types of HTP. As for other tobacco products, the proposed excise duty structure can be specific, ad valorem, or a mix thereof.
- Different EU minima scenarios have been examined with respect to expected market and tax revenue effects, however the novelty of HTP hampers robust market predictions. Overall, the current tax incidence on price levels is lower than for other tobacco products, and this suggests that tax increases may not be entirely passed on to consumer. At the same time, the demand for HTP is likely more sensitive to price than traditional cigarettes, so tax-driven price increases would reduce consumption more significantly.

Finding #6: there is a widespread, recognised need among national authorities to establish a new excise category for electronic-cigarette consumables (e-liquids and other refill containers). This would remove the substantial fragmentation that the various different national regimes adopted in the past few years have caused, and it would help address the significant tax revenue gaps registered in various MS. It would also be coherent with the broader orientation of the FCTC which is favourable to controlling and monitoring their use and with the recent WHO technical recommendation of discouraging youth consumption of these products also by means of taxation. Possible components of the e-cigarette excise regimes can be summarised as follows:

- The definition of e-cigarettes and refill containers should be coherent with the TPD, adjusted – where relevant – to reflect market evolution and specific policy needs.
- In particular, compared to TPD, it would be useful to include in the excise legislation also nicotine-free e-liquids (pre-mixed liquids ready to use with/without the addition of a nicotine solution), in line with the practices which have already been adopted in several MS. The inclusion of nicotine-free liquids has pros and cons, but appears to be necessary in the end to avoid tax harmonisation translating into massive tax avoidance practices ("do-it-yourself"). Furthermore, it would also make possible products containing cannabidiol (CBD) but not nicotine being included in the tax regime.
- In line with the regime currently in place in most MS, a simple structure based on the volume (in ml) of liquids appears to be more straightforward and efficient to implement. However, the scenarios examined also include possible differentiated rates for both products with high nicotine concentration (to help mitigate 'do-it-yourself' practices) and nicotine-free liquids. Tax levels which are proportional to the nicotine concentration have also been considered, but as the market price of these products is expected to continue being unrelated to their nicotine content, the theoretical, intended benefits of driving consumers toward low-concentration products would not likely materialise. On the contrary, the system would be more complex and burdensome for both authorities and operators to implement and enforce.

Finding #7: enlargement of the Directive's perimeter can extend to other 'smokeless' manufactured tobacco and related products, such as chewing tobacco, nicotine pouches and other tobacco- or nicotine-containing products. The twofold purpose of this option would be: (1) to address a regulatory gap concerning products that, although still a niche market, have the potential of becoming popular, particularly among youth; and (2) to prevent the risk of new products falling outside the Directive's revised scope being commercialised. To this end, a catch-all category with a broad, flexible definition should be adopted. The downside of this option is that additional implementation burdens and legal uncertainty are possible; this has to be weighed against the current marginality of the market segments involved.

Finding #8: the current rules regarding cross-border private acquisition for own use of a private individual will have to be extended to include the newly established product categories, to prevent the risk of new, tax-induced cross-border flows.

- **HARMONISATION OF EXCISE DUTY REGIMES FOR RAW TOBACCO**

The policy measures examined in this area have a twofold purpose: (1) to enhance the monitoring and control of the raw-tobacco supply chain, thereby facilitating the fight against illicit manufacturing within the EU; and (2) to resolve the uncertainties and disparities of interpretation across MS on the demarcation between manufactured and raw tobacco for excise classification purposes. These objectives are connected but may require two separate actions. The first is to create a new, suitable excise category and regime for raw tobacco; while the second is to revise the definition of smoking tobacco that is currently laid down in Article 5.1 of the Directive. Regarding a possible harmonised excise category for raw tobacco, the proposed options have been devised keeping in mind the need to ensure effectiveness in tackling the issue of raw tobacco diversion and the fact that the proposed measures are not intended to generate tax revenues directly. The existing MS fiscal frameworks concerning raw tobacco have also been reviewed and taken as benchmarks for reference. Finally, the key Study findings in this area are as follows:

Finding #9: the establishment of a harmonised category for raw tobacco in the EU excise legislation would allow for the holding and movement control measures envisaged in the EU excise duty legislation to be extended to include raw tobacco. This option envisages applying the EMCS system to cross-border movements. In this sense, MS authorities would have access to a readily available tool that allows punctual monitoring of supply-chain operations, and they could more easily detect irregularities and potential diversion routes. This option constitutes substantial broadening of the Directive's scope, which is currently limited to final manufactured products. Hence, the analysis of prospective impacts is inevitably subject to some degree of uncertainty, especially as regards quantifying effects. Regarding the possible design and implementation of the excise category for raw tobacco, the key outcomes of the analysis are as follows:

- To avoid creating loopholes, the regime should cover any tobacco that is not a live plant nor a manufactured product. On the other hand, at the operational level, special exemptions can be envisaged for the initial stage of the supply chain (i.e. from the field to the farm or agricultural collection centre), since certain obligations may prove to be disproportionate or unmanageable at that level.
- The application of a positive excise duty to the newly established raw tobacco category, with a minimum rate established at the EU level, would enhance the deterrent effect against diversion to illicit manufacturing, because fraudulent movements would become liable to duty payment (in addition to sanctions envisaged in the country's legislation). The application of a positive rate may also encourage the adoption by MS of financial guarantee requirements, which would also concur to deter unlawful transactions.
- The implementation of this option would generate additional costs for MS authorities and supply-chain operators. In the case of authorities, such costs would be offset, and possibly overcome, by the benefits of a reduction in tax fraud. Regarding economic operators, as the estimated additional costs are primarily of a transactional nature, the impact would be largely proportional to the volume of activities, so storage platforms and operators dependent on transnational supply chains would be more likely to be affected than other types of players. The actual costs of the reform, especially for farmers, would depend on which requirements and mechanisms would be adopted at the MS level. Overall, it is not expected that these costs would significantly affect the competitiveness of EU-grown tobacco, but some sectoral rearrangements can nonetheless be expected. The possible impacts on the sector would need to be monitored to address any unintended or disproportionate adverse effects.
- The proposed option would enable more effective actions against illicit manufacturing, but it might not be sufficient to eradicate the problem, since EMCS is not *per se* designed as a law enforcement tool, and the way MS would implement the raw tobacco regime would make a difference. Complementary actions should also be adopted in the framework of the EU Strategy on the fight against the illicit tobacco trade such as, for instance, laboratory testing and characterisation of seized raw tobacco, to investigate the origin of the diversion.

Finding #10: the definition of smoking tobacco would benefit from a review aimed at specifying certain terms and adding criteria linked to the intended use of these products (i.e. their packaging and the nature of the transaction involved), to ensure a clear distinction from raw tobacco. It is important to ensure that raw tobacco remain qualified for all legal purposes as an intermediate product and not as a final manufactured good.

APPENDIX - Acronyms and Abbreviations

CAP	Common agricultural policy			**Member States**
C&C	Cigars and cigarillos		AT	Austria
CJEU	Court of Justice of the European Union		BE	Belgium
CN	Combined Nomenclature		BG	Bulgaria
COP	Conference of the Parties		CY	Cyprus
DG AGRI	Directorate-General for Agricultural and Rural Development		CZ	Czech Republic
DG SANTE	Directorate-General for Health and Food Safety		DE	Germany
DG TAXUD	Directorate-General for Taxation and Customs Union		DK	Denmark
DiY	Do-it-yourself		EE	Estonia
EC	European Commission		EL	Greece
ED	Excise duties		ES	Spain
EDT	Excise Duty Tables		FI	Finland
EDY	Excise duty yield		FR	France
EA	Economisti Associati		HR	Croatia
EMCS	Excise Movement and Control System		HU	Hungary
E(N)NDS	Electronic (non-)nicotine delivery systems		IE	Ireland
EO	Economic operator		IT	Italy
EPC	Excise Product Code		LT	Lithuania
EPS	Empty-pack survey		LU	Luxembourg
EU	European Union		LV	Latvia
FCT	Fine-cut tobacco		MT	Malta
FCTC	Framework Convention on Tobacco Control		NL	Netherlands
FMC	Factory-made cigarettes		PL	Poland
GDP	Gross domestic product		PT	Portugal
GNI	Gross national income		RO	Romania
HS	Harmonised System		SE	Sweden
HTP	Heated tobacco products		SI	Slovenia
ITTP	Illicit trade of tobacco products		SK	Slovakia
MED	Minimum Excise Duty			
MS	Member State(s)			
NDL	Non-domestic legal			
NGO	Non-government organisation			
NRT	Nicotine replacement therapy			
OLAF	European Anti-Fraud Office			
OMT	Other manufactured tobacco			
OMT / RP	Other manufactured tobacco and related products			
OPC	Open public consultation			
OST	Other smoking tobacco			
PHA	Public health authorities			
PLI	Price level index			
PPP	Purchasing power parity			
RfC	Release for consumption			
RIP	Relative income price			
SEED	System for Exchange of Excise Data			
SME	Small and medium-size enterprise			
TCA	Tax and customs authorities			
TPD	Tobacco Products Directive			
TTC	Transnational tobacco companies			
VAT	Value-added tax			
WAP	Weighted Average Retail Selling Price			
WCO	World Customs Organization			
WHO	World Health Organization			
WPT	Waterpipe tobacco			

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